

**Global Logistics****Supply Chain Pulse Check: Rates elevated as Middle East tensions flare again**

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*Recent months have seen freight rates continue to rise, with ocean freight rates now more than 100% above pre-conflict levels, and air rates +25-30% YoY with capacity tightness and fuel surcharges. Volumes have remained resilient, with May ocean container volumes up 4%, Maersk raising FY industry volume growth expectations to ~4%, and air volumes continuing to grow and supporting utilization and guidance, while air freight volumes have recently been running at 0-5% growth. Consumer demand appears to be holding up despite inflationary pressures and oil prices remaining above pre-conflict levels, though easing. At the same time, ongoing supply chain complexity continues to support freight forwarders. All in, this creates a favorable near-term earnings environment.*

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**Data wrap-up.** Ocean volumes were +4% in May. Versus pre-conflict levels, the SCFI is currently +131% and the WCI +139%. Airfreight chargeable weight grew c. 9% in June, falling to 4-5% in July. Yields remain elevated following the conflict, up 26% YoY at the last read and contributing to 30% airfreight industry revenue growth. April PMIs remained expansionary: the US at 54.0 (+1.3 MoM), China at 51.8 (-0.4), and Europe at 51.6 (-0.6).

**Airfreight rates remain elevated.** Airfreight capacity tightened at the start of the conflict but has recovered since April, May and June, returning to LSD growth YoY. Meanwhile, freight rates remain 20-30% above pre-conflict levels and have so far held at these elevated levels. Both DHL and IATA expect demand to grow by 2-3% in 2026, supported by AI, semiconductor and high-value electronics shipments. Tighter capacity, robust demand, and fuel surcharges are all placing upward pressure on pricing.

**Ocean: demand strong though H1.** Spot rates spiked following the start of the conflict on higher fuel prices, and have risen further amid a demand spike, with a rush of cargo ahead of quarter end and coming higher surcharges. The WCI and SCFI are now both more than 100% above pre-conflict levels. Maersk, among others, has raised financial guidance, and its outlook for total industry volume growth. While this is a near-term positive for the industry, we remain cautious given the significant supply wave still looming on the horizon and potential demand deterioration in H2.

**Spot TL rate ex. fuel YoY growth continues to surge mostly on supply-side tightness, some glimmers of hope on the demand side.** Spot TL rate ex. fuel is +48% YoY so far this month, up from +34% YoY growth seen in May and ~ +20-25% YoY in prior 3 months. While this has mostly been a supply story, there have been recent signs of demand uplift, e.g. multiple consecutive months of positive ISM manufacturing readings, better shipper sentiment around manufacturing activity (likely bolstered by industrial activity like data center builds), and YTD total domestic intermodal volume turning to positive YoY growth (YTD ~ +1% YoY in May) for the first time this year. Still supply has driven the sizable rate growth, with enforcing existing regulations (language, domicile, operating domain, hours of service, training) and higher fuel all factors at play. Issues are structural and bullish for U.S. surface transport rates.

## BERNSTEIN TICKER TABLE

| Ticker                            | Rating | 23 Jul 2026 |               | Price Target | TTM Rel. Perf. | Adjusted EPS |        |        |          | Adjusted P/E (x) |       |        |
|-----------------------------------|--------|-------------|---------------|--------------|----------------|--------------|--------|--------|----------|------------------|-------|--------|
|                                   |        | Cur         | Closing Price |              |                | Cur          | 2025A  | 2026E  | 2027E    | 2025A            | 2026E | 2027E  |
| DHL.GR (DHL)                      | M      | EUR         | 56.10         | 45.00        | 22.5%          | EUR          | 2.94   | 3.40   | 3.50     | 19.1             | 16.5  | 16.0   |
| DSV.DC (DSV)                      | O      | DKK         | 1,409.00      | 2,100.00     | (23.8)%        | DKK          | 54.56  | 67.07  | 90.34    | 25.8             | 21.0  | 15.6   |
| KNIN.SW (Kuehne+Nagel)            | M      | CHF         | 204.40        | 200.00       | 1.7%           | CHF          | 8.57   | 8.70   | 9.42     | 23.8             | 23.5  | 21.7   |
| MAERSKB.DC (Maersk)               | U      | DKK         | 17,110        | 10,700       | 10.6%          | USD          | 151.58 | 121.59 | (113.01) | 17.2             | 21.4  | (23.0) |
| FDX (FedEx)                       | O      | USD         | 315.62        | 397.00       | 48.3%          | USD          | 0.00   | 20.81  | 22.82    |                  | 15.2  | 13.8   |
| UPS (United Parcel)               | O      | USD         | 114.10        | 133.00       | (6.3)%         | USD          | 7.16   | 7.39   | 8.79     | 15.9             | 15.4  | 13.0   |
| CSX (CSX)                         | M      | USD         | 52.81         | 48.00        | 34.5%          | USD          | 1.61   | 2.05   | 2.16     | 32.8             | 25.8  | 24.4   |
| NSC (Norfolk Southern)            | O      | USD         | 348.55        | 396.00       | 7.9%           | USD          | 12.50  | 12.64  | 14.12    | 27.9             | 27.6  | 24.7   |
| UNP (Union Pacific)               | O      | USD         | 304.33        | 346.00       | 15.2%          | USD          | 11.68  | 12.82  | 14.52    | 26.1             | 23.7  | 21.0   |
| CNR.CN (Canadian Natl Railway)    | M      | CAD         | 183.77        | 196.00       | 24.0%          | CAD          | 7.63   | 7.93   | 8.93     | 24.1             | 23.2  | 20.6   |
| CNI (Canadian Natl Railway)       | M      | USD         | 130.58        | 139.16       | 19.1%          | USD          | 5.46   | 5.63   | 6.34     | 23.9             | 23.2  | 20.6   |
| CP.CN (Canadian Pac. Kansas City) | M      | CAD         | 130.06        | 144.00       | 7.2%           | CAD          | 4.61   | 5.15   | 5.92     | 28.2             | 25.2  | 22.0   |
| CP (Canadian Pac. Kansas City)    | M      | USD         | 92.32         | 102.24       | 2.9%           | USD          | 3.30   | 3.66   | 4.21     | 28.0             | 25.2  | 22.0   |
| JBHT (JB Hunt)                    | O      | USD         | 289.37        | 329.00       | 76.6%          | USD          | 6.14   | 7.52   | 10.18    | 47.1             | 38.5  | 28.4   |
| CHRW (CH Robinson)                | M      | USD         | 205.51        | 153.00       | 87.8%          | USD          | 4.60   | 4.95   | 5.65     | 44.6             | 41.5  | 36.4   |
| EDME                              |        |             | 1,586.63      |              |                |              |        |        |          |                  |       |        |
| SPX                               |        |             | 7,408.30      |              |                |              |        |        |          |                  |       |        |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

FDX base year is 2026; CHRW base year is 2024;

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

In **Europe**, we rate DSV Outperform, DHL and Kuehne+Nagel Market-Perform, and Maersk Underperform. In **North America**, we rate UNP Outperform, NSC Outperform, CSX Market-Perform, CNI/CNR.CN Market-Perform, CP/CP.CN Market-Perform, CHRW Market-Perform, JBHT Outperform, UPS Outperform, and FDX Outperform.

## EUROPE

**DSV (Outperform, TP DKK 2,100.00)** DSV is our top pick in European Logistics. This is principally because **we see synergies as inadequately reflected in valuations**. DSV has a superb **track record of synergy realization** in M&A across five deals in the last twenty years, and we **expect it to repeat this success** in its latest, largest deal for DB Schenker. Following the integration, we see it as delivering post-synergy (2028) EPS of DKK 100+. Once leverage has returned to c. 2x, share buybacks should restart; we see the company capable of repurchasing DKK24bn of shares p.a. in steady state, vs a current market cap of DKK338,786m. Further deals also then become possible, and M&A ambitions remain at the company.

**DHL (Market-Perform, TP €45.00)** DHL is really five logistics companies under a single corporate umbrella. Its **earnings are levered to ecommerce and world trade**: c. 80% of EBIT to the former, 70% to the latter, and 60% to both. Around 50% of earnings comes from **Express: a healthy three-player oligopoly** with supportive pricing and GDP-plus structural growth (trade + ecommerce). The **asset-heavy nature of this division gives it meaningful operating leverage to volumes**, however there is more flex than may at first be obvious with **~25% of capacity on short-term lease**. The group is particularly **levered to an eventual B2B volume rebound**, and when that happens **asset utilization should rise**, boosting margins. We think this will require some improvement in challenged customer verticals, such as automotive, cap goods and tech. The **other potential upside opportunity is a break-up**: DHL has begun a simplification project of unpicking the domestic business from the holding company and eliminating cross-border legal entities. Both are necessary before any divisional separation can happen. The company trades at a SOTP discount, and a separation should help to close the gap. For the medium-long term, **GDP-plus growth** and a **well-covered, reliable dividend** hold appeal: DHL has maintained or grown its dividend every year since the sale of Postbank in 2009, and pays out 40-60% of net income. The dividend **currently yields 3.4%**.

**Kuehne+Nagel (Market-Perform, TP CHF 200.00)** Kuehne+Nagel is the other large listed pure-play freight forwarder, alongside DSV. It follows a different strategy, focused on organic growth and with high dividend payouts. Recent quarters have seen the company **regaining its stride**. Volume growth has been fine, and **cost reduction is supporting earnings**. Moreover, the company is actively positioning itself as an **AI winner in freight forwarding**, highlighting its cloud-native owned TMSs, workflow ownership and clean data as key factors for success. As with DSV, as a freight forwarder it enjoys a flexible cost base and asset-light business model that protects it in a downturn.

**AP Moller - Maersk (Underperform, TP DKK 10,700)** We see **Maersk's core business of container shipping as challenged**. The Red Sea closure prevented a collapse in freight rates in 2024, and we are now lapping this. War in the Middle East likely leads companies to remain cautious on restoring transits, however any lasting peace deal should enable restoration of the Red Sea / Suez route between Asia and Europe would add further pressure on rates. Over the medium-term, the **high, and growing, industry-wide container ship orderbook** suggests an ongoing challenged rate environment in this commoditized, price-taking sector, at least until we get meaningful vessel scrapping. Finally, we **see the company's integrator strategy as flawed**, having failed to deliver promised revenue synergies for seven years.

## NORTH AMERICA

*Market conditions continue to tighten on the supply side and have tightened more due to higher oil prices, which raised the cost on inland transport for international shipping, but potential for further tightening from the oil component is in flux given Middle East peace talk developments. Elevated oil (may or may not hold, but elimination of financially struggling carriers = less fleeting positive impact) / capacity reads bullish for trucking / domestic intermodal. Recent signs of slight demand uplift could persist and provide some boost to the supply-side muscle, though we expect that this will remain a supply-driven story for some time, as more consumer-oriented demand components like housing still look quite weak (e.g. housing starts dipped -8.7% YoY in May to 1,177 and missed economists' estimates that had expected +10.9% YoY growth).*

**Spot TL rate ex. fuel YoY growth continues to surge mostly on supply-side tightness, some glimmers of hope on the demand side.** Supply constraints are still driving up rates: spot TL rate ex. fuel is +48% YoY so far this month, well above the already high +34% YoY growth seen in May and the ~ +20-25% YoY over the prior 3 months. Enforcing existing regulations (language, domicile, operating domain, hours of service, training) and higher fuel are all factors at play. The recent SCOTUS ruling on broker liability should, over time, put further downward pressure on capacity but don't expect too much too fast. The impact will eventually be significant, but it may take time to work its way into rates. Issues are structural and bullish for U.S. surface transport rates. Should drive consolidation in brokerage, but a net negative on customer behavior and buy rates. While this has mostly been a supply story, there have been some more recent signs of demand uplift starting to unfold too, including multiple consecutive months of positive ISM manufacturing readings, better shipper sentiment around manufacturing activity (likely bolstered by industrial activity like data center builds), and YTD total domestic intermodal volume turning to positive YoY growth (YTD ~ +1% YoY in May) for the first time this year.

We rate **NSC Outperform, PT \$396.00; UNP Outperform, PT \$346.00, UPS Outperform, PT\$133.00; and FDX (Outperform, PT\$397.00).**

We rate **CP / CP.CN Market-Perform, PT C\$144.00 / US\$102.24; CNI / CNR.CN (Market-Perform, PT C\$196.00 / US \$139.16); CSX (Market-Perform, PT \$48.00); JBHT (Outperform, PT \$329.00); CHRW (Market-Perform, PT \$153.00).**

## VALUATION COMPS TABLE

EXHIBIT 1: European logistics comps table

|                                                      | DSV                | Kuehne+Nagel          | DHL Group             | A.P. Møller – Maersk | SXTP Index     |
|------------------------------------------------------|--------------------|-----------------------|-----------------------|----------------------|----------------|
| <b>Bernstein Rating</b>                              | <b>Outperform</b>  | <b>Market-Perform</b> | <b>Market-Perform</b> | <b>Underperform</b>  |                |
| <b>Consensus Rating</b>                              | 25xO<br>1xM<br>0xU | 5xO<br>11xM<br>6xU    | 9xO<br>11xM<br>3xU    | 1xO<br>10xM<br>16xU  |                |
| <b>Closing price</b>                                 | <b>DKK 1,409</b>   | <b>CHF 204</b>        | <b>€56.10</b>         | <b>DKK 17,110</b>    | <b>€268.77</b> |
| <b>YoY change</b>                                    | (9%)               | 20%                   | 38%                   | 24%                  | (3%)           |
| <b>Target price</b>                                  | <b>DKK 2100</b>    | <b>CHF 200</b>        | <b>€45.00</b>         | <b>DKK 10,700</b>    |                |
| Target price reporting ccy                           | 2,100              | 200                   | 45.00                 | 10,700               |                |
| % upside / downside                                  | 49%                | (2%)                  | (20%)                 | (37%)                |                |
| Market cap (€m)                                      | 45,322             | 26,542                | 64,538                | 32,958               |                |
| EV (€m)                                              | 56,396             | 30,218                | 87,958                | 34,048               |                |
| <b>EBIT (Reporting currency,m)</b>                   |                    |                       |                       |                      |                |
| Last reported year                                   | 19,611             | 1,242                 | 6,103                 | 3,500                |                |
| CY                                                   | 24,520             | 1,504                 | 6,713                 | 3,047                |                |
| FY+1                                                 | 31,613             | 1,567                 | 6,868                 | 250                  |                |
| FY+2                                                 | 34,952             | 1,676                 | 7,208                 | 1,978                |                |
| <b>Last reported-FY+2 CAGR</b>                       | <b>21.2%</b>       | <b>10.5%</b>          | <b>5.7%</b>           | <b>(17.3%)</b>       |                |
| <b>CY vs. consensus</b>                              | <b>(0.7%)</b>      | <b>6.5%</b>           | <b>1.7%</b>           | <b>(21.7%)</b>       |                |
| <b>FY+1 vs. consensus</b>                            | <b>5.5%</b>        | <b>4.4%</b>           | <b>(1.7%)</b>         | <b>660.8%</b>        |                |
| <b>FY+2 vs. consensus</b>                            | <b>3.4%</b>        | <b>4.6%</b>           | <b>(3.3%)</b>         | <b>992.4%</b>        |                |
| <b>EPS (Reporting currency)</b>                      |                    |                       |                       |                      |                |
| Reported                                             | 54.6               | 8.6                   | 2.9                   | 151.6                |                |
| CY                                                   | 67.1               | 8.7                   | 3.4                   | 121.6                |                |
| FY+1                                                 | 90.3               | 9.4                   | 3.5                   | (113.0)              |                |
| FY+2                                                 | 106.3              | 10.1                  | 3.7                   | (0.3)                |                |
| <b>Last reported-FY+2 CAGR</b>                       | <b>24.9%</b>       | <b>5.7%</b>           | <b>8.1%</b>           | <b>(112.0%)</b>      |                |
| <b>CY vs. consensus</b>                              | <b>11.4%</b>       | <b>3.5%</b>           | <b>(0.2%)</b>         | <b>(19.6%)</b>       |                |
| <b>FY+1 vs. consensus</b>                            | <b>7.5%</b>        | <b>5.5%</b>           | <b>(5.5%)</b>         | <b>170.5%</b>        |                |
| <b>FY+2 vs. consensus</b>                            | <b>6.2%</b>        | <b>5.7%</b>           | <b>(8.0%)</b>         | <b>(98.5%)</b>       |                |
| <b>Implied P/E (Based on Bernstein forecast)</b>     |                    |                       |                       |                      |                |
| CY                                                   | 21.0x              | 23.5x                 | 16.5x                 | 21.4x                |                |
| FY+1                                                 | 15.6x              | 21.7x                 | 16.0x                 | (23.0x)              |                |
| FY+2                                                 | 13.3x              | 20.2x                 | 15.1x                 | (9,876.1x)           |                |
| <b>Implied EV/EBIT (Based on Bernstein forecast)</b> |                    |                       |                       |                      |                |
| CY                                                   | 17.2x              | 18.7x                 | 13.1x                 | 12.7x                |                |
| FY+1                                                 | 13.3x              | 17.9x                 | 12.8x                 | 154.7x               |                |
| FY+2                                                 | 12.1x              | 16.8x                 | 12.2x                 | 19.6x                |                |

Pricing date:23/07/2026

Source: Bloomberg, Bernstein estimates and analysis

## EXHIBIT 2: Transport Comp Tables

| As of 05/20/2026                   |        | Price / Earnings |         |      |      |      | Enterprise Value / EBITDA |         |      |      |      |
|------------------------------------|--------|------------------|---------|------|------|------|---------------------------|---------|------|------|------|
| Company Name                       | Ticker | CY-2026          | CY-2027 | LTM  | NTM  | STM  | CY-2026                   | CY-2027 | LTM  | NTM  | STM  |
| <b>Railroads</b>                   |        |                  |         |      |      |      |                           |         |      |      |      |
| Csx Corp                           | CSX    | 24.2             | 21.4    | 26.7 | 23.0 | 20.5 | 14.7                      | 13.7    | 15.6 | 14.3 | 13.4 |
| Norfolk Southern Corp              | NSC    | 26.3             | 23.7    | 25.8 | 25.2 | 22.8 | 15.5                      | 14.5    | 15.4 | 15.1 | 14.1 |
| Union Pacific Corp                 | UNP    | 21.8             | 19.7    | 22.3 | 20.9 | 19.0 | 14.5                      | 13.5    | 15.0 | 14.1 | 13.2 |
| Canadian National Railway Co       | CNI    | 19.9             | 17.8    | 20.2 | 19.0 | 17.1 | 13.3                      | 12.4    | 13.5 | 13.0 | 12.1 |
| Canadian Pacific Kansas City       | CP     | 23.2             | 20.2    | 24.7 | 22.0 | 19.1 | 15.6                      | 14.3    | 16.3 | 15.1 | 13.8 |
| Average                            |        | 23.1             | 20.5    | 23.9 | 22.0 | 19.7 | 14.7                      | 13.7    | 15.2 | 14.3 | 13.3 |
| Median                             |        | 23.2             | 20.2    | 24.7 | 22.0 | 19.1 | 14.7                      | 13.7    | 15.4 | 14.3 | 13.4 |
| <b>Parcels</b>                     |        |                  |         |      |      |      |                           |         |      |      |      |
| United Parcel Service, Inc.        | UPS    | 13.6             | 12.2    | 13.6 | 13.0 | 11.8 | 8.5                       | 7.8     | 8.5  | 8.2  | 7.7  |
| Fedex Corporation                  | FDX    | 17.7             | 15.5    | 19.0 | 16.7 | 14.5 | 10.5                      | 9.6     | 11.0 | 10.0 | 9.2  |
| Average                            |        | 15.7             | 13.8    | 16.3 | 14.9 | 13.1 | 9.5                       | 8.7     | 9.8  | 9.1  | 8.4  |
| <b>Logistics</b>                   |        |                  |         |      |      |      |                           |         |      |      |      |
| C.H. Robinson Worldwide, Inc.      | CHRW   | 28.2             | 23.6    | 31.5 | 26.2 | 22.6 | 20.4                      | 17.5    | 22.0 | 19.2 | 17.1 |
| J.B. Hunt Transport Services, Inc. | JBHT   | 34.9             | 28.0    | 38.9 | 31.9 | 26.7 | 14.7                      | 13.0    | 15.6 | 14.0 | 12.5 |
| Average                            |        | 31.5             | 25.8    | 35.2 | 29.0 | 24.7 | 17.6                      | 15.2    | 18.8 | 16.6 | 14.8 |

|                                    |        | Price / Sales |         |     |     |     | Free Cash Flow Yield |         |     |     |     |
|------------------------------------|--------|---------------|---------|-----|-----|-----|----------------------|---------|-----|-----|-----|
| Company Name                       | Ticker | CY-2026       | CY-2027 | LTM | NTM | STM | CY-2026              | CY-2027 | LTM | NTM | STM |
| <b>Railroads</b>                   |        |               |         |     |     |     |                      |         |     |     |     |
| Csx Corp                           | CSX    | 5.8           | 5.4     | 6.0 | 5.6 | 5.2 | 3.7                  | 3.9     | 2.7 | 3.8 | 4.1 |
| Norfolk Southern Corp              | NSC    | 5.6           | 5.4     | 5.8 | 5.6 | 5.3 | 2.5                  | 3.0     | 2.8 | 2.7 | 3.2 |
| Union Pacific Corp                 | UNP    | 6.2           | 5.9     | 6.4 | 6.1 | 5.8 | 2.2                  | 2.5     | 1.7 | 2.3 | 2.6 |
| Canadian National Railway Co       | CNI    | 5.2           | 4.9     | 5.5 | 5.1 | 4.7 | 4.2                  | 4.7     | 3.8 | 4.4 | 4.9 |
| Canadian Pacific Kansas City       | CP     | 6.5           | 6.0     | 6.9 | 6.3 | 5.7 | 3.2                  | 3.8     | 2.5 | 3.4 | 4.0 |
| Average                            |        | 5.9           | 5.5     | 6.1 | 5.7 | 5.4 | 3.1                  | 3.6     | 2.7 | 3.3 | 3.8 |
| Median                             |        | 5.8           | 5.4     | 6.0 | 5.6 | 5.3 | 3.2                  | 3.8     | 2.7 | 3.4 | 4.0 |
| <b>Parcels</b>                     |        |               |         |     |     |     |                      |         |     |     |     |
| United Parcel Service, Inc.        | UPS    | 0.9           | 0.9     | 0.9 | 0.9 | 0.9 | 6.5                  | 8.2     | 6.1 | 7.2 | 8.3 |
| Fedex Corporation                  | FDX    | 0.9           | 0.9     | 1.0 | 0.9 | 0.9 | 5.0                  | 6.3     | 4.7 | 5.3 | 7.1 |
| Average                            |        | 0.9           | 0.9     | 0.9 | 0.9 | 0.9 | 5.8                  | 7.2     | 5.4 | 6.3 | 7.7 |
| <b>Logistics</b>                   |        |               |         |     |     |     |                      |         |     |     |     |
| C.H. Robinson Worldwide, Inc.      | CHRW   | 1.2           | 1.1     | 1.3 | 1.2 | 1.1 | 3.5                  | 4.5     | 3.8 | 3.9 | 4.7 |
| J.B. Hunt Transport Services, Inc. | JBHT   | 1.9           | 1.7     | 2.0 | 1.8 | 1.7 | 3.2                  | 3.4     | 4.0 | 3.3 | 3.5 |
| Average                            |        | 1.6           | 1.4     | 1.6 | 1.5 | 1.4 | 3.4                  | 3.9     | 3.9 | 3.6 | 4.1 |

Source: Visible Alpha, Bernstein Analysis

## DETAILS

**April volume growth rebounds.** Export volumes rose 5.0% YoY in April, driven by strong growth in the U.S. (+6%), continued expansion in emerging markets (+3%), and Europe (+2%). Japan turned negative (-2%). U.S. imports also returned to growth, rising 6% and lapping the tariff-related disruption seen in 2025. Looking ahead, forward-looking indicators remained broadly stable in June 2026: the U.S. PMI declined to 53.3 (-0.7), China edged down to 51.7 (-0.1), and Europe slipped to 51.4 (-0.2).

**Ocean volumes increased 4% YoY in May, building on Q1's +5% growth, while commentary remains supportive.**

Among major trade routes, Transpacific volumes rose strongly in May (+21% YoY), while Asia-Europe volumes increased by 3%. Intra-Asia traffic also remained robust, growing 5% YoY. Industry commentary suggests that volume trends strengthened further toward the end of Q2, as shippers sought to get ahead of additional surcharges scheduled to take effect at the start of Q3. Meanwhile, the closure of the Strait of Hormuz continues to have only a limited impact on global container volumes, given that just 2% of global traffic transits through this route. Against this backdrop, Maersk increased its 2026 guidance on 30 June, now expecting underlying EBIT of \$2bn–\$4bn, up from a previous range of -\$1.5bn to \$1bn. The upgrade reflects strong demand, supportive freight rates, and the significant operating leverage inherent in container shipping. While part of the strength likely reflects a pull-forward of demand into Q2, Maersk also raised its outlook for global container trade growth to 4% for the full year, compared with its previous guidance of 2-4%. That said, higher oil prices remain a risk, as they could trigger inflation-led demand destruction later in the year.

**Ocean rates rise with the peak season demand and capacity tightness.** Rates remained supported, having spiked following the outbreak of war, drifting higher with additional surcharges, and now rising again on demand-led factors. The SCFI is now up 131% (stable vs a month ago) and the WCI up 139% (vs +109% a month ago) vs pre-conflict levels. Longer term, ongoing fleet expansion and a gradual return to Red Sea/Suez transits (also becoming likelier with a path to peace) could require meaningful capacity cuts to prevent a sharp rate correction. Such discipline appears unlikely until balance sheets come under greater pressure, suggesting another phase of market share competition instead.

**More orders, minimal scrappage = higher capacity.** An expanding orderbook and ongoing low scrappage rates, due to the Red Sea disruption and supported by robust balance sheets across the industry, look set to underpin a steady flow of capacity supply growth in the near and medium-term. Scrappage has to date remained low, as shipping lines have been required to deploy every vessel in operations to ensure adequate levels of reliability across their networks. Even if rates decline significantly, we would expect shipping lines to return to a battle for market share until high cash reserves are exhausted. We expect industry supply growth to be +3% in 2026 and +7% in 2027, accelerating to +10% in 2028. By the end of this year, this results in the in-service fleet some 48% ahead of 2019, with 15-20% net fleet growth across 2027-28. This is well ahead of structural demand growth, and coming on top of an already record fleet expansion since pre-pandemic.

**Restoration of Red Sea/Suez still questionable.** In early July, Maersk and Hapag-Lloyd (not covered) indicated that they would gradually return to the Suez Canal under their Gemini network. Traffic through Suez in July 2026 remained only marginally above 2025 levels and is still very limited overall. This has created some psychological pressure on freight rates, although the recent strikes and security incidents suggest that the actual capacity relief remains modest. Prior to Operation Epic Fury, the region had experienced more than six months of relative stability, with no major Houthi attacks since autumn 2025.

**Airfreight rates remain elevated.** Recent geopolitical disruptions have lifted air cargo rates, which are now around 30% above pre-conflict levels. At the same time, stranded ocean freight and war-related surcharges continue to support near-term demand. The conflict has reduced available capacity, with Emirates (private), Qatar Airways (private), and Etihad (private) operating at roughly 80%, 70%, and 70% of normal flying levels, respectively (together accounting for c.13% of global air traffic). As a result, capacity has tightened not only in the Middle East but also on key Asia-Europe trade lanes. Against this backdrop, chargeable weight recovered from around -10% YoY in early March to between 0% and +5% YoY in July. Revenues improved markedly, shifting from an approximately 10% YoY decline in March to growth of around 30% in July. Importantly, this recovery has been driven in part by higher yields, reflecting fuel, insurance, and other surcharges. More broadly, IATA data show that global air cargo demand rose 6% YoY in May, marking the fifteenth consecutive month of growth. Consequently, express carriers are benefiting in two ways: first, from improved pricing as alternative air cargo capacity becomes more expensive, and second, from stronger fuel cost recovery through surcharge pass-through mechanisms. Reflecting these favourable conditions, DHL raised its guidance on July 7. Specifically, a roughly €300m Q2 EBIT beat led to a €300m increase in FY EBIT guidance, from >€6.2bn to >€6.5bn. The outperformance was largely driven by the Express division, where tight airfreight capacity resulting from the conflict in the Middle East supported both yields and earnings.

**Spot ex. fuel TL rates still hover around +20% YoY, contract +LSD, JBHT insinuates belief that the cycle has turned.**

The story hasn't changed much in recent weeks, but confidence in the durability of rate inflection and the reality of an actual TL / intermodal cycle inflection has increased. Since Dec/Jan spot truckload rates (ex. fuel) being around +10% YoY, we've seen rates skyrocket to +24% YoY in Feb, +19% in March, and so far +25% this month. This surge reflects the positive impacts of (1) stricter government oversight of the trucking market — foreign CDLs, CDL schools, ELD compliance, English Language Proficiency, the Dahlia law, etc. — and (2) elevated fuel prices (due to Iran war) shaking out truckers that have already been struggling with prolonged profitability pressure. During the JBHT earnings call last week, management solidified confidence in the idea that this time around, these positive indicators seem real: "As we moved through the first quarter, the freight environment felt meaningfully different than what we've operated in over the past several years," as "we experienced strong demand for our service offerings as a predominantly supply driven freight recovery continued to gain steam." All in, the move in oil and capacity continues to read bullish for trucking and domestic intermodal.

## GLOBAL TRADE AND LEADING INDICATORS

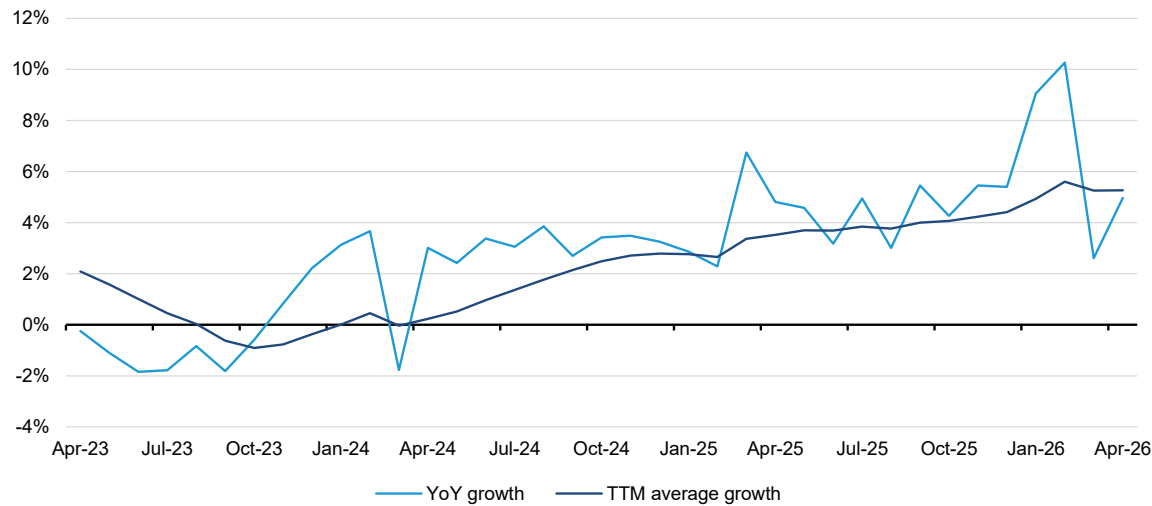
## EXHIBIT 3: Global trade dashboard

|                                           | Q1<br>2022 | Q2<br>2022 | Q3<br>2022 | Q4<br>2022 | Q1<br>2023 | Q2<br>2023 | Q3<br>2023 | Q4<br>2023 | Q1<br>2024 | Q2<br>2024 | Q3<br>2024 | Q4<br>2024 | Q1<br>2025 | Q2<br>2025 | Q3<br>2025 | Q4<br>2025 | Jan<br>2026 | Feb<br>2026 | Mar<br>2026 | Q1<br>2026 | Apr<br>2026 | May<br>2026 | Jun<br>2026 | Q2<br>2026 |
|-------------------------------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|-------------|-------------|-------------|------------|-------------|-------------|-------------|------------|
| World                                     |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Total exports volume                      | 3.0%       | 3.9%       | 5.2%       | (0.2%)     | 0.3%       | (1.1%)     | (1.5%)     | 0.8%       | 1.7%       | 2.9%       | 3.2%       | 3.4%       | 4.0%       | 4.2%       | 4.5%       | 5.0%       | 9.1%        | 10.3%       | 2.6%        | 7.3%       | 5.0%        |             |             |            |
| Average export price (\$)                 | 14.4%      | 11.3%      | 7.0%       | 1.7%       | (2.1%)     | (6.3%)     | (5.2%)     | (2.9%)     | (3.1%)     | (1.1%)     | (0.1%)     | (0.5%)     | 0.3%       | 1.7%       | 2.5%       | 3.5%       | 5.4%        | 3.4%        | 7.4%        | 5.4%       | 10.3%       |             |             |            |
| USA                                       |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Volumes                                   |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 8.8%       | 7.9%       | 5.8%       | 0.5%       | (3.1%)     | (3.4%)     | (1.6%)     | 0.3%       | 1.8%       | 4.4%       | 7.7%       | 7.4%       | 24.7%      | 0.8%       | (2.4%)     | (4.3%)     | (15.9%)     | (11.6%)     | (14.7%)     | (14.1%)    | 5.7%        |             |             |            |
| Exports                                   | 1.6%       | 4.1%       | 10.3%      | 1.9%       | 6.8%       | 1.4%       | 0.4%       | 3.9%       | 2.1%       | 4.5%       | 3.3%       | (0.4%)     | 0.7%       | 4.4%       | 0.4%       | 5.8%       | 9.9%        | 12.0%       | 10.5%       | 10.8%      | 6.4%        |             |             |            |
| Unit price (\$)                           |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 11.7%      | 11.6%      | 7.5%       | 3.4%       | (1.7%)     | (5.6%)     | (3.1%)     | (1.9%)     | (0.6%)     | 1.3%       | 0.8%       | 1.4%       | 1.4%       | (0.3%)     | (0.3%)     | (0.1%)     | 0.2%        | 1.0%        | 2.3%        | 1.2%       | 4.2%        |             |             |            |
| Exports                                   | 16.7%      | 18.5%      | 11.3%      | 6.0%       | (1.3%)     | (9.4%)     | (6.1%)     | (4.2%)     | (2.0%)     | 0.3%       | (0.4%)     | 1.0%       | 2.7%       | 2.1%       | 3.2%       | 3.2%       | 2.5%        | 3.8%        | 5.5%        | 3.9%       | 9.1%        |             |             |            |
| Europe                                    |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Volumes                                   |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 6.8%       | 6.6%       | 9.1%       | 0.5%       | (2.9%)     | (4.6%)     | (7.7%)     | (6.7%)     | (5.4%)     | (4.6%)     | (2.1%)     | (1.1%)     | 1.1%       | 1.0%       | 2.1%       | 1.8%       | (1.9%)      | (0.6%)      | 1.1%        | (0.5%)     | 4.0%        |             |             |            |
| Exports                                   | 2.2%       | 2.1%       | 4.3%       | 1.8%       | (1.1%)     | (2.7%)     | (4.7%)     | (4.1%)     | (3.1%)     | (2.6%)     | (1.6%)     | (2.5%)     | (0.5%)     | (1.3%)     | (0.1%)     | (0.1%)     | (2.7%)      | (2.6%)      | (2.7%)      | (2.6%)     | 2.2%        |             |             |            |
| Unit price (\$)                           |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 16.1%      | 12.7%      | 8.5%       | 5.3%       | 1.7%       | (1.5%)     | (0.8%)     | (0.3%)     | (2.2%)     | (0.6%)     | 2.5%       | 1.0%       | 1.5%       | 6.7%       | 6.7%       | 8.5%       | 12.4%       | 13.0%       | 9.1%        | 11.5%      | 7.7%        |             |             |            |
| Exports                                   | 10.3%      | 7.5%       | 3.4%       | 3.2%       | 3.7%       | 2.7%       | 5.2%       | 3.4%       | 0.1%       | 0.5%       | 3.0%       | 2.1%       | 2.8%       | 7.9%       | 8.1%       | 10.5%      | 14.2%       | 12.7%       | 7.8%        | 11.6%      | 7.9%        |             |             |            |
| Emerging economies                        |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Volumes                                   |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 1.3%       | (0.9%)     | 2.6%       | (0.8%)     | 2.2%       | 4.6%       | 3.0%       | 6.9%       | 7.2%       | 6.0%       | 5.8%       | 3.8%       | 1.1%       | 3.9%       | 5.4%       | 3.3%       | 13.3%       | 13.6%       | 11.1%       | 12.6%      | 4.2%        |             |             |            |
| Exports                                   | 3.9%       | 4.8%       | 4.5%       | (2.2%)     | 1.8%       | 0.8%       | 1.5%       | 3.9%       | 4.8%       | 6.8%       | 6.3%       | 8.8%       | 6.3%       | 5.8%       | 7.0%       | 6.3%       | 16.4%       | 18.7%       | (1.4%)      | 11.2%      | 3.1%        |             |             |            |
| Unit price (\$)                           |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 16.3%      | 15.3%      | 9.5%       | 2.0%       | (3.8%)     | (10.1%)    | (9.4%)     | (6.2%)     | (5.3%)     | (2.1%)     | 0.6%       | 0.8%       | 1.8%       | 1.5%       | 0.6%       | 3.7%       | 2.3%        | 1.9%        | 2.9%        | 2.4%       | 11.9%       |             |             |            |
| Exports                                   | 18.6%      | 15.3%      | 10.6%      | 2.6%       | (5.2%)     | (11.8%)    | (11.9%)    | (8.0%)     | (6.0%)     | (2.6%)     | (2.3%)     | (2.2%)     | (1.0%)     | (1.5%)     | (0.2%)     | (0.6%)     | 0.2%        | (3.3%)      | 5.8%        | 0.9%       | 11.0%       |             |             |            |
| Japan                                     |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Volumes                                   |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 6.3%       | 3.6%       | 6.7%       | 8.5%       | (2.3%)     | (3.9%)     | (5.7%)     | (4.8%)     | (5.3%)     | (0.6%)     | 3.4%       | (1.0%)     | 9.1%       | 7.0%       | 2.4%       | 5.4%       | (1.1%)      | 7.4%        | 0.7%        | 2.3%       | (4.5%)      |             |             |            |
| Exports                                   | 3.4%       | (0.9%)     | 3.3%       | 3.2%       | (4.0%)     | (0.9%)     | (1.9%)     | (0.8%)     | (0.6%)     | (1.9%)     | 1.5%       | (0.4%)     | 6.3%       | 5.7%       | 0.5%       | 1.2%       | 7.0%        | (5.5%)      | 0.0%        | 0.5%       | (1.8%)      |             |             |            |
| Unit price (\$)                           |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Imports                                   | 16.7%      | 15.1%      | 9.6%       | 1.9%       | (2.2%)     | (10.0%)    | (12.9%)    | (10.7%)    | (10.0%)    | (5.0%)     | (1.8%)     | (1.9%)     | (4.8%)     | (2.3%)     | (3.6%)     | (4.3%)     | 3.5%        | 0.2%        | (0.8%)      | 0.9%       | 2.7%        |             |             |            |
| Exports                                   | 1.6%       | (1.1%)     | (5.7%)     | (7.3%)     | (4.5%)     | (2.9%)     | (0.8%)     | 0.4%       | (3.6%)     | (2.0%)     | 0.0%       | 0.4%       | (0.4%)     | 1.9%       | 1.0%       | 2.6%       | 8.5%        | 7.4%        | 4.3%        | 6.7%       | 6.2%        |             |             |            |
| Leading indicators                        |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| US ISM PMI manufacturing                  | 57.2       | 53.5       | 51.1       | 48.0       | 46.3       | 46.3       | 48.7       | 46.9       | 49.8       | 48.3       | 47.3       | 49.2       | 48.9       | 49.0       | 48.9       | 47.9       | 52.6        | 52.4        | 52.7        | 52.7       | 52.7        | 54.0        | 53.3        | 53.3       |
| China ISM PMI manufacturing               |            |            |            |            |            |            | 50.6       | 50.8       | 51.1       | 51.8       | 49.3       | 50.5       | 51.2       | 50.4       | 51.2       | 50.1       | 50.3        | 52.1        | 50.8        | 50.8       | 51.6        | 52.2        | 51.8        | 51.7       |
| Eurozone ISM PMI manufacturing            |            |            |            |            |            |            | 43.4       | 44.4       | 46.1       | 45.8       | 45.0       | 45.1       | 48.6       | 49.5       | 49.8       | 48.8       | 49.5        | 50.8        | 51.6        | 51.6       | 52.2        | 51.6        | 51.4        | 51.4       |
| US inventory / sales                      | 1.31       | 1.34       | 1.39       | 1.43       | 1.43       | 1.42       | 1.38       | 1.40       | 1.40       | 1.41       | 1.40       | 1.39       | 1.38       | 1.38       | 1.37       | 1.36       | 1.35        | 1.33        | 1.32        | 1.32       | 1.30        | 1.28        |             |            |
| US retail inventory / sales               | 1.21       | 1.22       | 1.25       | 1.28       | 1.28       | 1.27       | 1.26       | 1.28       | 1.29       | 1.32       | 1.33       | 1.30       | 1.29       | 1.30       | 1.28       | 1.28       | 1.28        | 1.27        | 1.26        | 1.26       | 1.26        | 1.25        |             |            |
| US retail inventory / sales ex-automotive | 1.18       | 1.19       | 1.19       | 1.20       | 1.20       | 1.18       | 1.14       | 1.13       | 1.13       | 1.12       | 1.13       | 1.13       | 1.14       | 1.14       | 1.12       | 1.12       | 1.12        | 1.11        | 1.09        | 1.09       | 1.09        | 1.08        |             |            |
| China manufacturing new export orders     | 47.2       | 49.5       | 47.0       | 44.2       | 50.4       | 46.4       | 47.8       | 45.8       | 51.3       | 48.3       | 47.5       | 48.3       | 49.0       | 47.7       | 47.8       | 49.0       | 47.8        | 45.0        | 49.1        | 49.1       | 50.3        | 48.6        | 50.1        | 50.1       |

Source: CPB, ISM, National Census Bureau, National Logistics Federation, Bernstein analysis

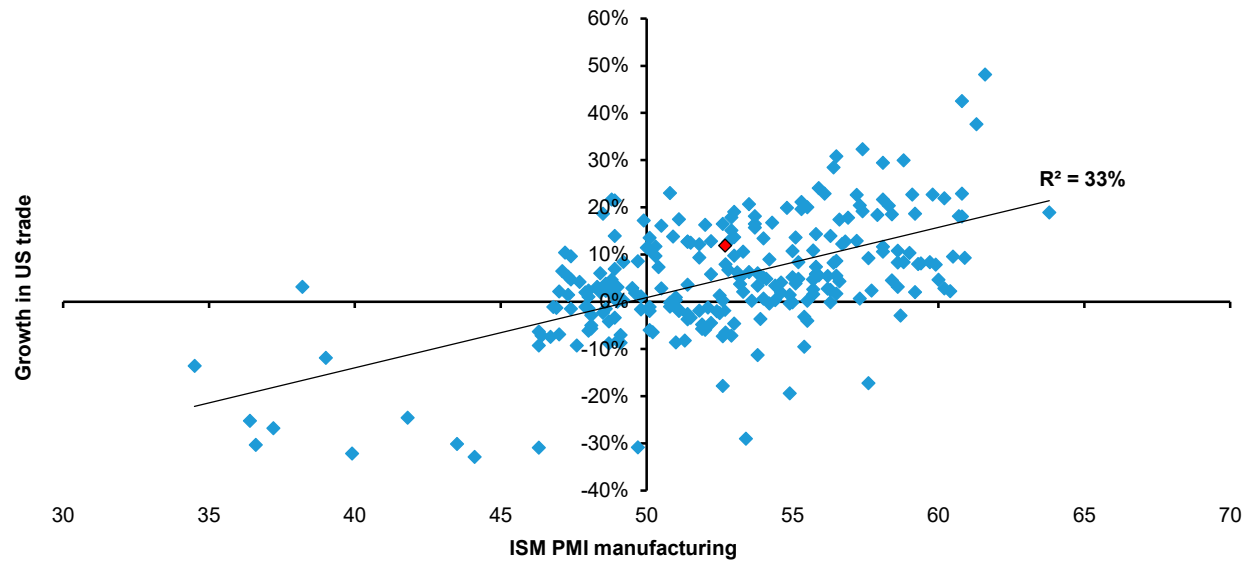
GLOBAL TRADE

EXHIBIT 4: World trade volume growth



Source: CPB, Bernstein analysis

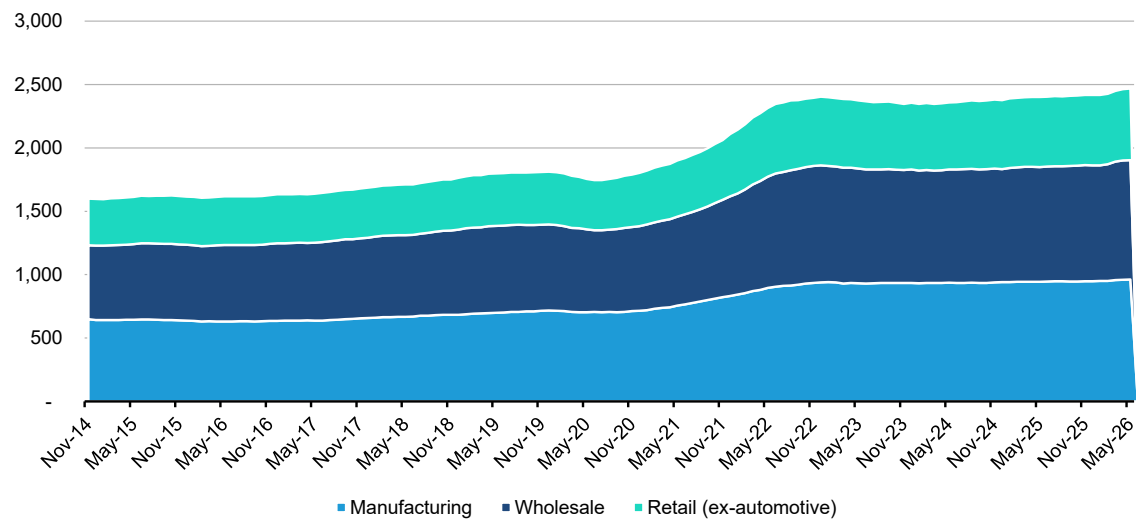
EXHIBIT 5: US PMI and trade growth



Source: ISM, US Census Bureau, Bernstein analysis

EXHIBIT 6: **Value of US inventories per sector (excl. automotive)**

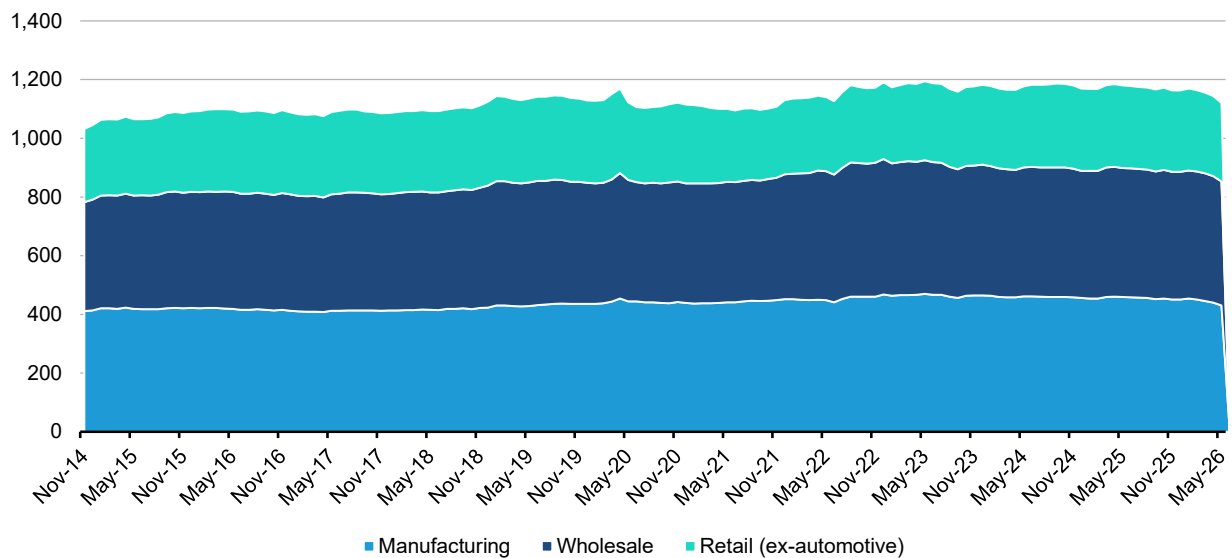
\$bn



Source: Bureau of Economic Analysis, Bernstein analysis

EXHIBIT 7: **Real value of US inventories per sector (excl. automotive), adjusted for US producer price inflation**

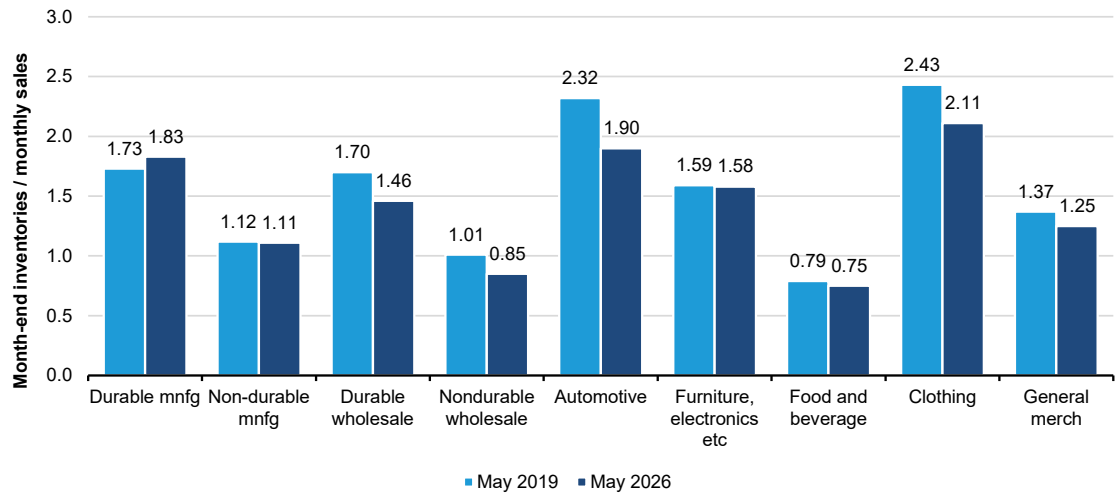
\$bn, 1980 price level



Values are inflation-adjusted until 1980.

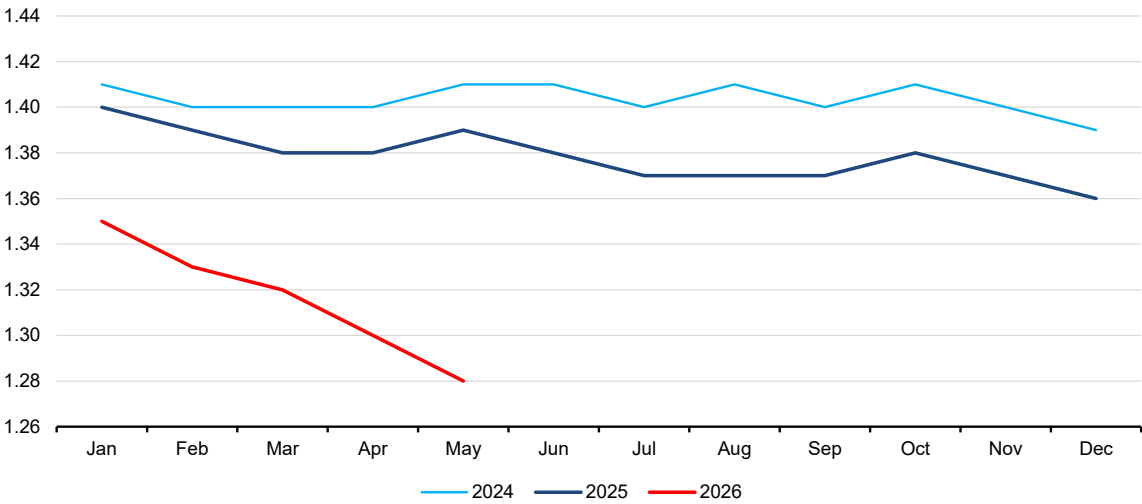
Source: Bureau of Economic Analysis, Bureau of Labor Statistics, Bernstein analysis

EXHIBIT 8: US monthly inventory / sales by sector



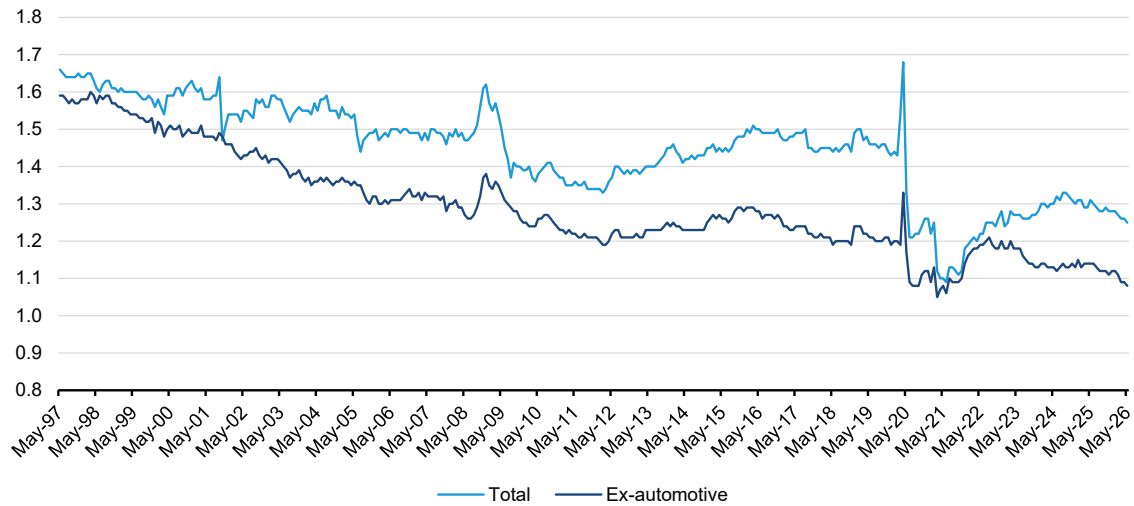
Source: Bureau of Economic Analysis, Bernstein analysis

EXHIBIT 9: US inventory / sales



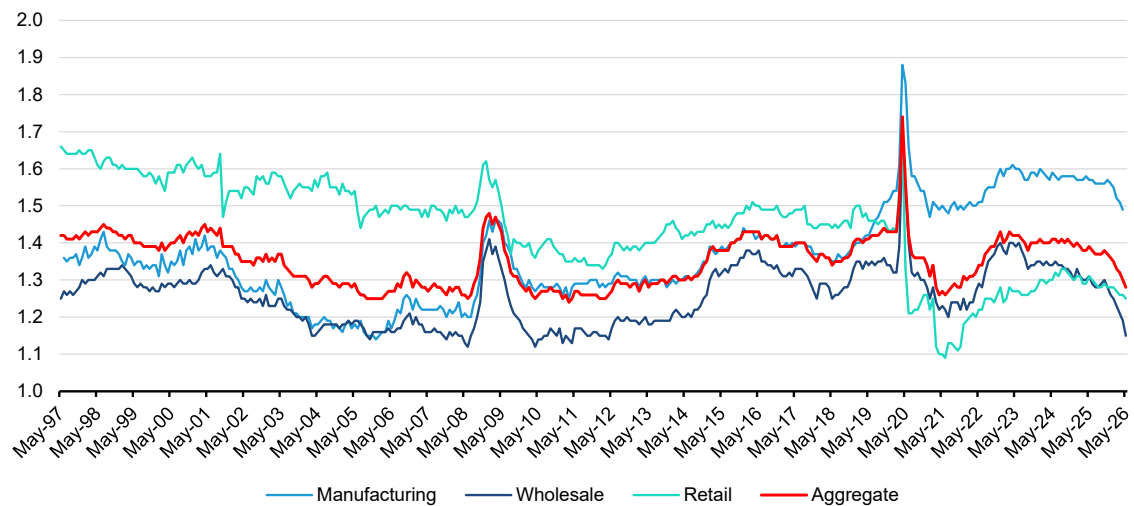
Source: US Census Bureau, Bernstein analysis

EXHIBIT 10: **US retail inventory / sales**



Source: Census Bureau, Bernstein analysis

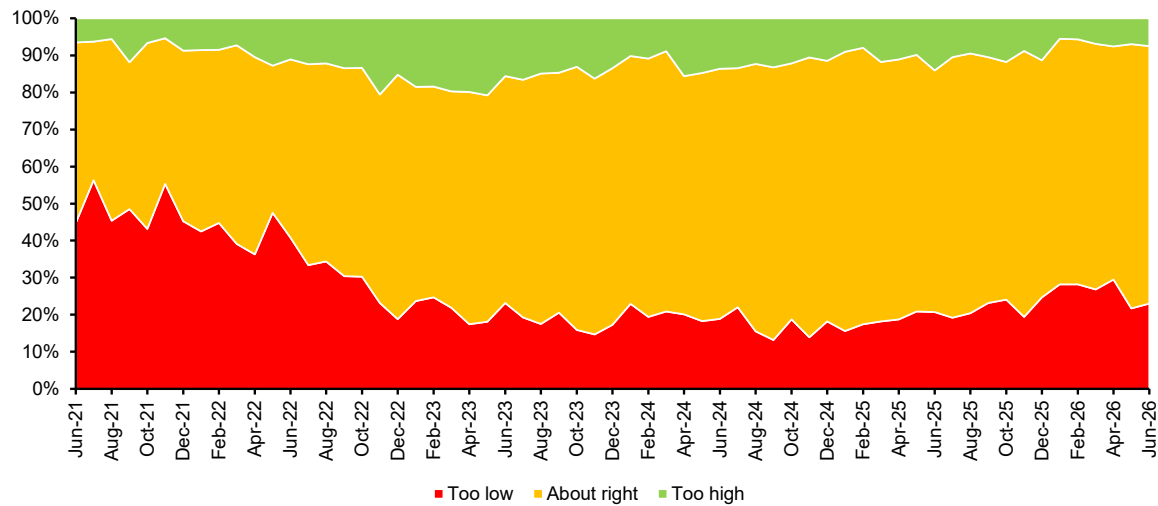
EXHIBIT 11: **US inventory / sales ratio**



Source: Bureau of Economic Analysis, Bernstein analysis

## EXHIBIT 12: US ISM PMI: Customer inventories

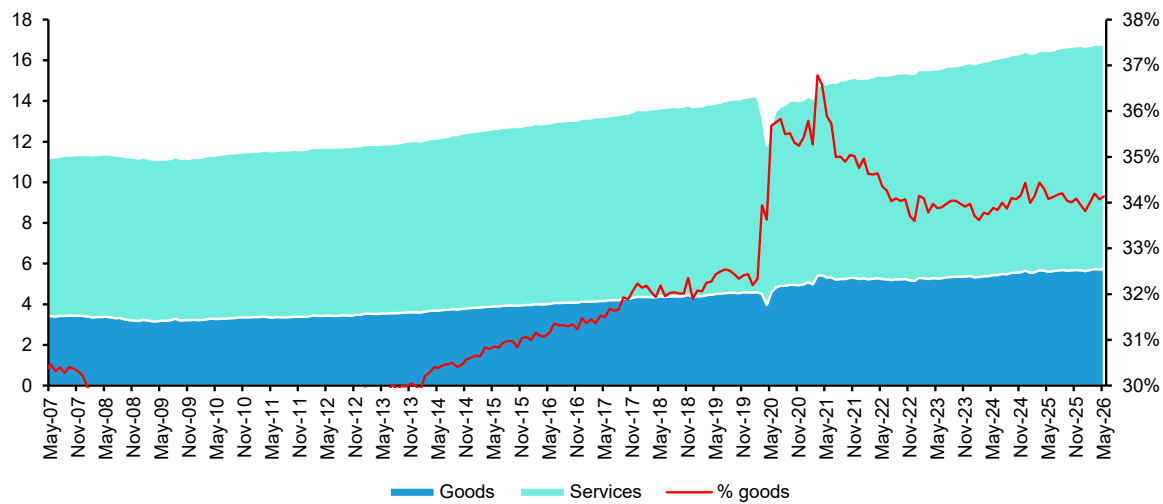
US ISM PMI: Customer inventories



Source: ISM, Bernstein analysis

## EXHIBIT 13: US consumer spending on goods and services

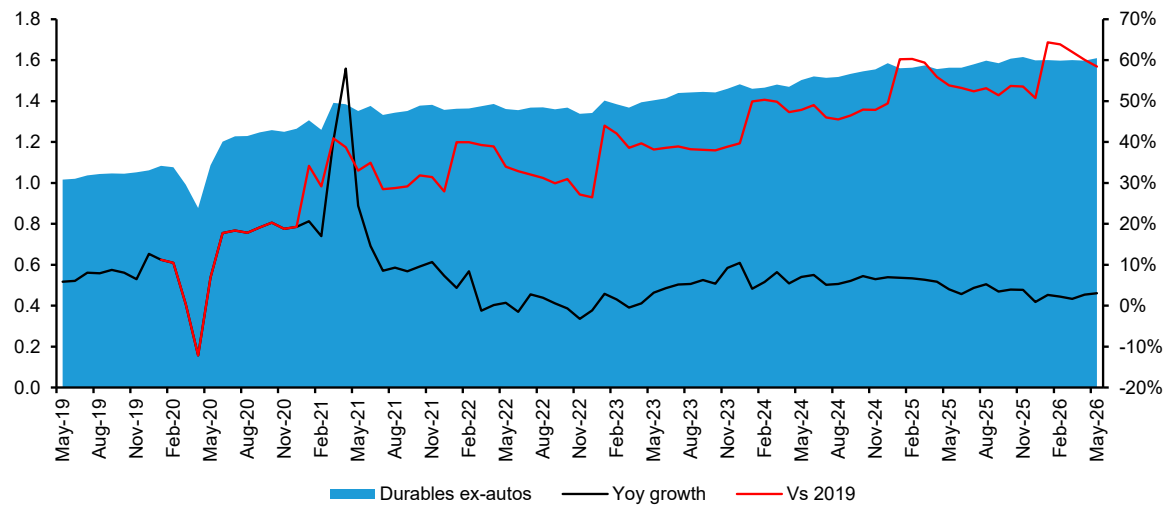
US real personal consumption expenditure (seasonally adj. annual rate) (\$tn)



Source: Bureau of Economic Analysis, Bernstein analysis

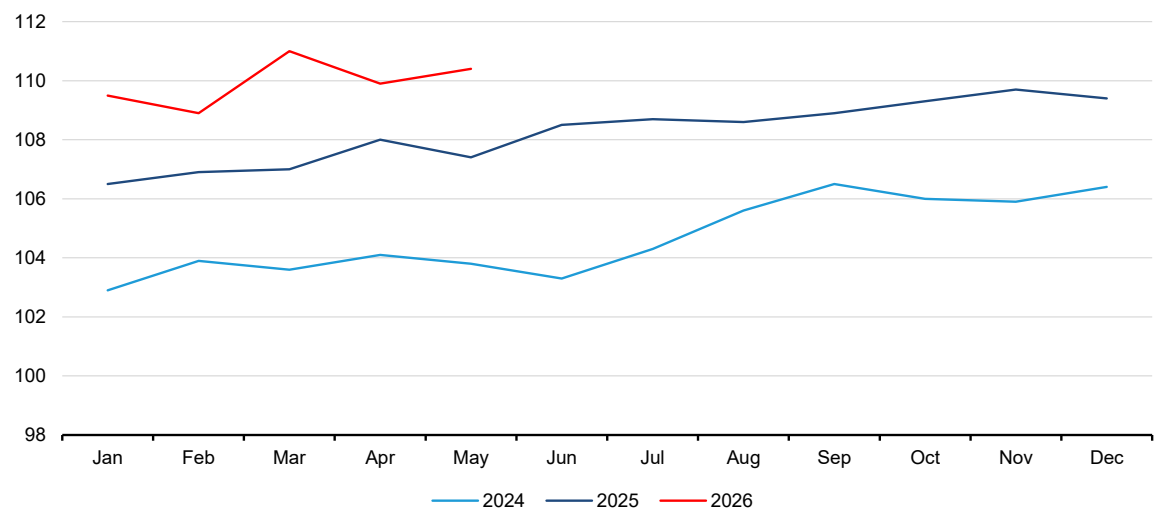
EXHIBIT 14: **US real personal expenditure on durable goods ex-automotive**

Seasonally adjusted annual rate, \$tn



Source: Bureau of Economic Analysis, Bernstein analysis

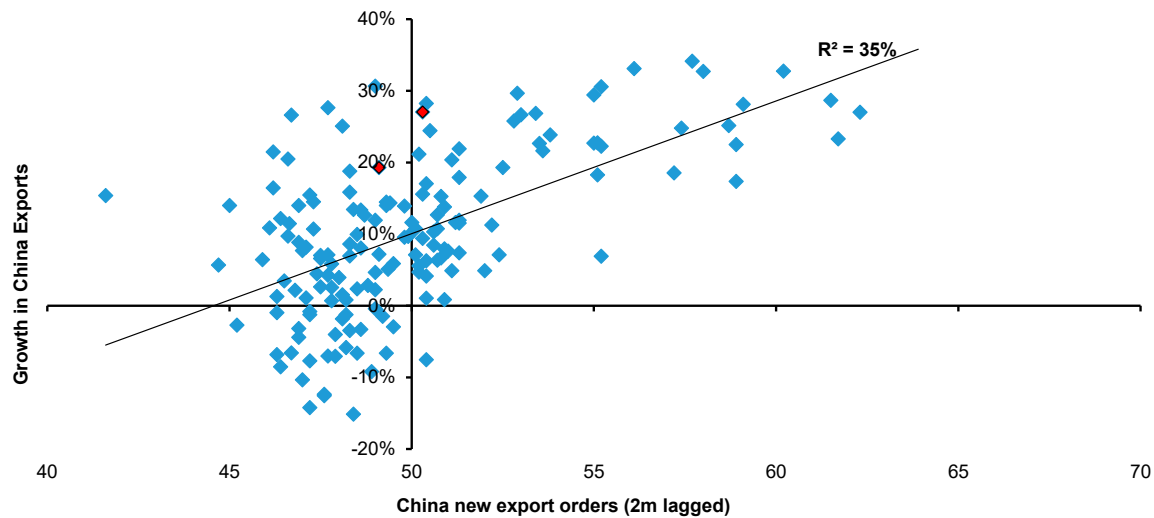
EXHIBIT 15: **EU-27 real retail sales ex-food, ex-fuel index**



Source: Eurostat, Bernstein analysis

EXHIBIT 16: **China new export orders vs China exports**

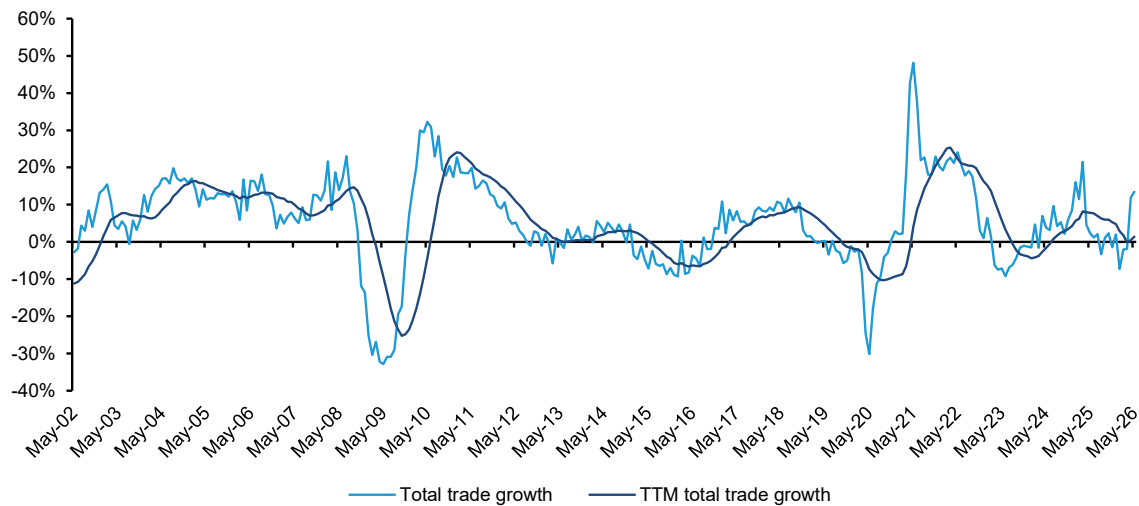
China new export orders vs China exports



Source: National Logistics Federation, Customs General Administration PRC, Bernstein analysis

EXHIBIT 17: **US total trade growth**

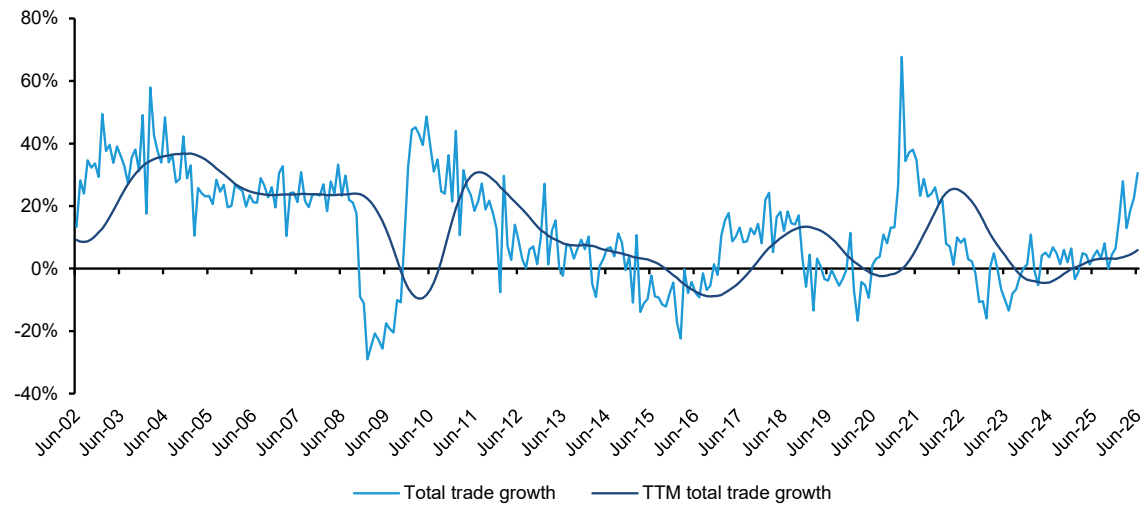
US total trade growth



Source: US Census Bureau, Bernstein analysis

EXHIBIT 18: **China total trade growth**

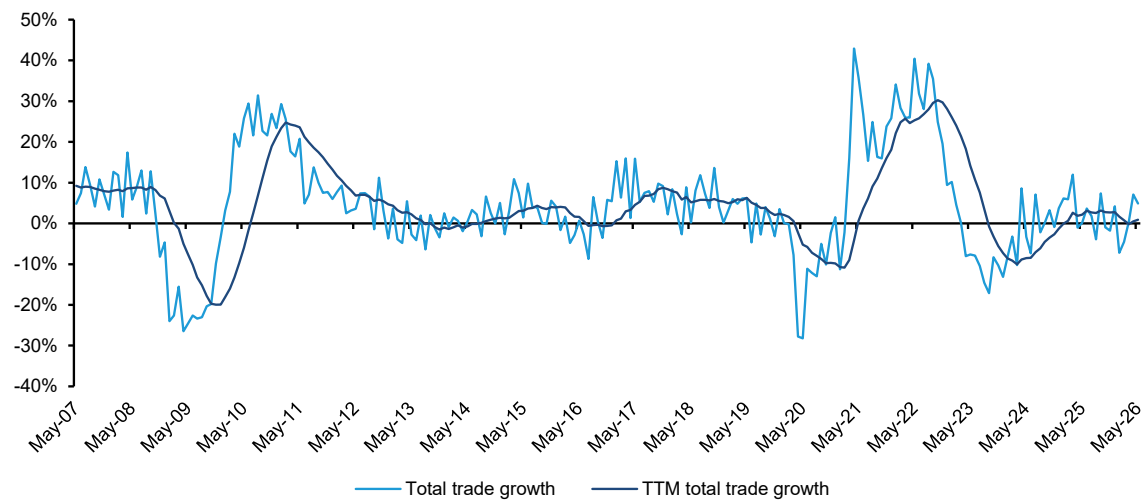
China total trade growth



Source: Customs General Administration PRC, Bernstein analysis

EXHIBIT 19: **Eurozone total trade growth**

Eurozone total trade growth



Source: Eurostat, Bernstein analysis

## TRADE LANES

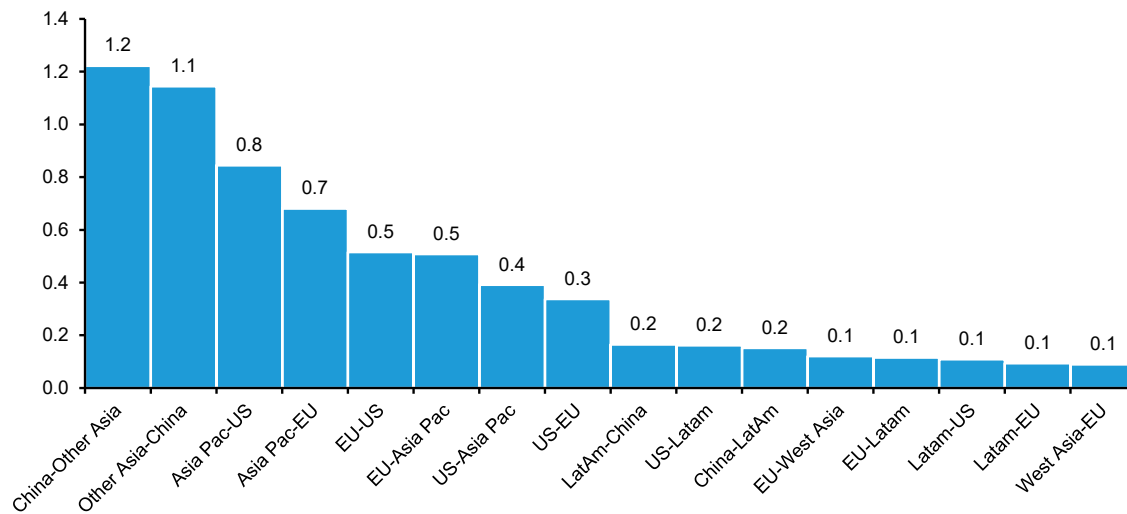
## EXHIBIT 20: Monthly developments in trade value by lane

|                     | Q1<br>2022 | Q2<br>2022 | Q3<br>2022 | Q4<br>2022 | Q1<br>2023 | Q2<br>2023 | Q3<br>2023 | Q4<br>2023 | Q1<br>2024 | Q2<br>2024 | Q3<br>2024 | Q4<br>2024 | Q1<br>2025 | Q2<br>2025 | Q3<br>2025 | Q4<br>2025 | Jan<br>2026 | Feb<br>2026 | Mar<br>2026 | Q1<br>2026 | Apr<br>2026 | May<br>2026 | Jun<br>2026 | Q2<br>2026 |
|---------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|-------------|-------------|-------------|------------|-------------|-------------|-------------|------------|
| USA (\$m)           |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Total Pacific Rim   | 19%        | 11%        | 12%        | (3%)       | (11%)      | (12%)      | (10%)      | (3%)       | 2%         | 7%         | 10%        | 5%         | 9%         | (4%)       | (9%)       | (6%)       | (11%)       | 1%          | 11%         | 0%         | 13%         | 27%         |             |            |
| Imports             | 23%        | 14%        | 10%        | (5%)       | (17%)      | (14%)      | (12%)      | (4%)       | 3%         | 6%         | 11%        | 9%         | 15%        | (6%)       | (11%)      | (7%)       | (17%)       | (3%)        | 3%          | (7%)       | 11%         | 22%         |             |            |
| Exports             | 10%        | 5%         | 16%        | 2%         | 1%         | (7%)       | (8%)       | (1%)       | 1%         | 9%         | 6%         | (4%)       | (3%)       | (1%)       | (5%)       | (4%)       | 7%          | 11%         | 26%         | 15%        | 19%         | 36%         |             |            |
| Total Europe        | 19%        | 23%        | 16%        | 17%        | 14%        | 0%         | 5%         | (0%)       | (0%)       | 4%         | 6%         | 4%         | 23%        | 7%         | 2%         | (2%)       | (16%)       | (11%)       | (26%)       | (19%)      | 0%          | (0%)        |             |            |
| Imports             | 11%        | 17%        | 7%         | 16%        | 13%        | 0%         | 7%         | (2%)       | 0%         | 6%         | 9%         | 6%         | 36%        | 2%         | (7%)       | (10%)      | (30%)       | (30%)       | (42%)       | (35%)      | (10%)       | (13%)       |             |            |
| Exports             | 32%        | 33%        | 33%        | 19%        | 14%        | 0%         | 2%         | 4%         | (0%)       | 1%         | 1%         | 1%         | 3%         | 15%        | 17%        | 12%        | 8%          | 27%         | 11%         | 14%        | 16%         | 21%         |             |            |
| Total Latin America | 36%        | 41%        | 25%        | 8%         | 2%         | (15%)      | (12%)      | (3%)       | 0%         | 5%         | 7%         | 9%         | 8%         | 8%         | 0%         | 1%         | 0%          | 2%          | 5%          | 3%         | 10%         | 8%          |             |            |
| Imports             | 36%        | 31%        | 22%        | 9%         | 4%         | (6%)       | (7%)       | (0%)       | 3%         | 8%         | 12%        | 14%        | 10%        | 11%        | (4%)       | (6%)       | (2%)        | 6%          | 0%          | 1%         | (4%)        | 4%          |             |            |
| Exports             | 36%        | 49%        | 28%        | 7%         | (0%)       | (20%)      | (16%)      | (6%)       | (2%)       | 2%         | 4%         | 6%         | 6%         | 6%         | 3%         | 5%         | 2%          | (0%)        | 9%          | 4%         | 22%         | 12%         |             |            |
| Europe (€m)         |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Total Asia Pacific  | 25%        | 28%        | 30%        | 16%        | 1%         | (7%)       | (14%)      | (14%)      | (9%)       | (3%)       | 4%         | 4%         | 7%         | 0%         | (2%)       | 2%         | (2%)        | (2%)        | 4%          | 0%         | 7%          | 6%          |             |            |
| Imports             | 9%         | 8%         | 13%        | 13%        | 7%         | (0%)       | (7%)       | (10%)      | (7%)       | (3%)       | (0%)       | (2%)       | (3%)       | (6%)       | (5%)       | (1%)       | (4%)        | (8%)        | 0%          | (4%)       | 2%          | (4%)        |             |            |
| Exports             | 37%        | 43%        | 40%        | 17%        | (2%)       | (11%)      | (18%)      | (16%)      | (11%)      | (3%)       | 6%         | 8%         | 14%        | 4%         | 1%         | 3%         | (1%)        | 2%          | 6%          | 3%         | 10%         | 12%         |             |            |
| Total US            | 33%        | 43%        | 42%        | 32%        | 10%        | (6%)       | (6%)       | (3%)       | (0%)       | 5%         | 4%         | (0%)       | 24%        | 2%         | 2%         | (9%)       | (23%)       | (18%)       | (27%)       | (23%)      | (8%)        | (2%)        |             |            |
| Imports             | 50%        | 59%        | 65%        | 45%        | 16%        | (7%)       | (12%)      | (6%)       | (6%)       | (1%)       | (3%)       | (6%)       | 5%         | 5%         | 11%        | 4%         | (14%)       | (1%)        | 4%          | (4%)       | 1%          | 18%         |             |            |
| Exports             | 24%        | 34%        | 28%        | 23%        | 7%         | (5%)       | (2%)       | (0%)       | 4%         | 9%         | 8%         | 4%         | 37%        | 0%         | (3%)       | (16%)      | (29%)       | (28%)       | (39%)       | (33%)      | (14%)       | (14%)       |             |            |
| Total Latin America | 27%        | 35%        | 33%        | 26%        | 18%        | (7%)       | (8%)       | (7%)       | (8%)       | 2%         | 2%         | 5%         | 6%         | (0%)       | 2%         | 1%         | (9%)        | (2%)        | 6%          | (1%)       | 9%          | 13%         |             |            |
| Imports             | 36%        | 36%        | 38%        | 31%        | 12%        | (14%)      | (20%)      | (13%)      | (11%)      | 2%         | 13%        | 13%        | 15%        | 6%         | 5%         | (0%)       | (9%)        | (2%)        | 9%          | (0%)       | 19%         | 28%         |             |            |
| Exports             | 19%        | 35%        | 29%        | 21%        | 24%        | (0%)       | 4%         | (2%)       | (6%)       | 2%         | (5%)       | (2%)       | (1%)       | (5%)       | (0%)       | 2%         | (8%)        | (1%)        | 3%          | (2%)       | (0%)        | (1%)        |             |            |
| Total Western Asia  | 46%        | 57%        | 73%        | 38%        | 17%        | (5%)       | (24%)      | (16%)      | (14%)      | (5%)       | (4%)       | 1%         | 5%         | (5%)       | (0%)       | (2%)       | (10%)       | (9%)        | (14%)       | (11%)      | (8%)        | (9%)        |             |            |
| Imports             | 21%        | 22%        | 27%        | 17%        | 11%        | 5%         | (6%)       | 1%         | 1%         | 2%         | 7%         | 8%         | 9%         | 7%         | 10%        | 9%         | (7%)        | (1%)        | (29%)       | (13%)      | (10%)       | (7%)        |             |            |
| Exports             | 87%        | 107%       | 131%       | 64%        | 23%        | (15%)      | (37%)      | (32%)      | (29%)      | (12%)      | (15%)      | (9%)       | (0%)       | (19%)      | (13%)      | (17%)      | (16%)       | (20%)       | 9%          | (9%)       | (4%)        | (11%)       |             |            |
| China (\$m)         |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Total Other Asia    | 6%         | 7%         | 5%         | (5%)       | (3%)       | (11%)      | (11%)      | (4%)       | 2%         | 7%         | 6%         | 6%         | 4%         | 8%         | 10%        | 7%         | 24%         | 26%         | 16%         | 21%        | 19%         | 25%         | 33%         | 25%        |
| Imports             | 7%         | 2%         | (1%)       | (8%)       | (14%)      | (14%)      | (13%)      | (3%)       | 1%         | 5%         | 6%         | 2%         | 2%         | 3%         | 5%         | 3%         | 29%         | 17%         | 27%         | 24%        | 26%         | 29%         | 33%         | 29%        |
| Exports             | 5%         | 12%        | 11%        | (1%)       | 8%         | (9%)       | (10%)      | (4%)       | 3%         | 9%         | 5%         | 9%         | 6%         | 12%        | 14%        | 9%         | 21%         | 33%         | 8%          | 19%        | 14%         | 22%         | 33%         | 23%        |
| Total North America | 8%         | 8%         | (1%)       | (11%)      | (9%)       | (14%)      | (14%)      | (5%)       | (2%)       | 3%         | 6%         | 8%         | 2%         | (18%)      | (22%)      | (26%)      | (20%)       | (2%)        | (20%)       | (15%)      | 11%         | 33%         | 21%         | 21%        |
| Imports             | (6%)       | 5%         | 10%        | 7%         | 14%        | (2%)       | (12%)      | (12%)      | (7%)       | 0%         | 10%        | 3%         | (3%)       | (12%)      | (14%)      | (25%)      | (16%)       | (30%)       | (6%)        | (17%)      | 11%         | 40%         | 40%         | 29%        |
| Exports             | 14%        | 9%         | (4%)       | (18%)      | (16%)      | (18%)      | (15%)      | (3%)       | (0%)       | 4%         | 5%         | 10%        | 4%         | (21%)      | (25%)      | (26%)      | (21%)       | 13%         | (25%)       | (14%)      | 11%         | 30%         | 14%         | 18%        |
| Total Europe        | 5%         | 3%         | 8%         | (8%)       | 7%         | 5%         | (8%)       | (2%)       | (0%)       | (0%)       | 3%         | 3%         | (7%)       | 1%         | 6%         | 6%         | 18%         | 39%         | 20%         | 25%        | 22%         | 17%         | 25%         | 21%        |
| Imports             | (0%)       | (1%)       | 9%         | (3%)       | 9%         | 7%         | (4%)       | 2%         | 4%         | (2%)       | (3%)       | (7%)       | (20%)      | (8%)       | 6%         | 5%         | 36%         | 18%         | 37%         | 31%        | 35%         | 26%         | 34%         | 31%        |
| Exports             | 9%         | 5%         | 8%         | (12%)      | 5%         | 3%         | (11%)      | (4%)       | (3%)       | 1%         | 8%         | 10%        | 3%         | 7%         | 7%         | 6%         | 10%         | 56%         | 10%         | 21%        | 15%         | 11%         | 21%         | 16%        |
| Total Latin America | 11%        | 11%        | 11%        | (4%)       | 7%         | (5%)       | (5%)       | 10%        | 9%         | 7%         | 7%         | 1%         | (2%)       | 3%         | 8%         | 18%        | 17%         | 33%         | 11%         | 19%        | 19%         | 13%         | 32%         | 21%        |
| Imports             | 10%        | 9%         | 6%         | 5%         | 8%         | (8%)       | (1%)       | 19%        | 9%         | 1%         | 1%         | (13%)      | (14%)      | 1%         | 11%        | 28%        | 41%         | 23%         | 30%         | 32%        | 25%         | 22%         | 36%         | 28%        |
| Exports             | 11%        | 14%        | 16%        | (11%)      | 7%         | (2%)       | (9%)       | 2%         | 9%         | 13%        | 13%        | 17%        | 10%        | 5%         | 6%         | 9%         | (1%)        | 44%         | (4%)        | 9%         | 14%         | 6%          | 28%         | 16%        |

Source: US Census Bureau, Customs General Administration PRC, Eurostat, Bernstein analysis

## EXHIBIT 21: Relative magnitude of trade lanes

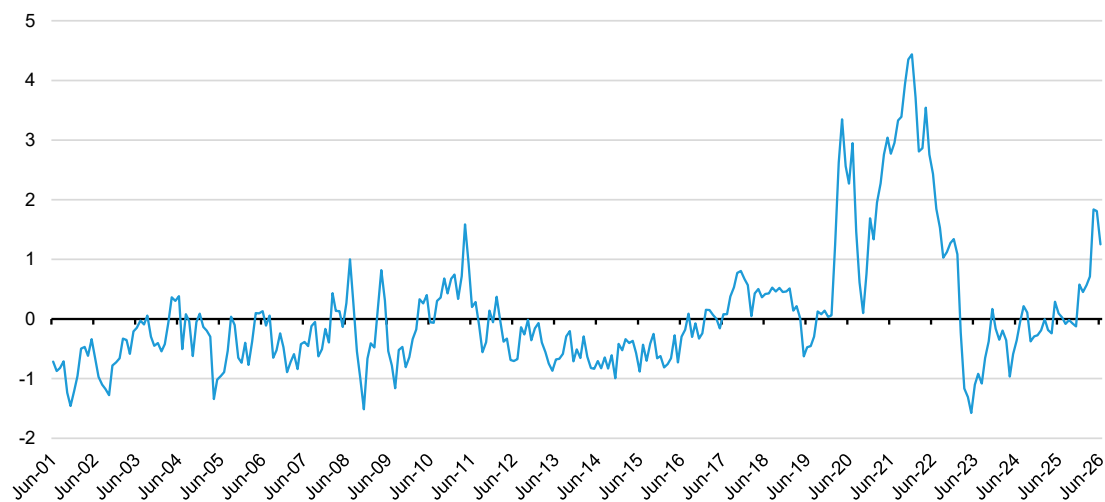
Selected intercontinental trade lanes by 2019 value (\$tn)



Source: US Census Bureau, Customs General Administration PRC, Eurostat, Bernstein analysis

## EXHIBIT 22: NY Fed Supply Chain Pressure index

Global Supply Chain Pressure Index, standard deviations from the mean



Source: NY Fed, Bernstein analysis

## SEAFREIGHT

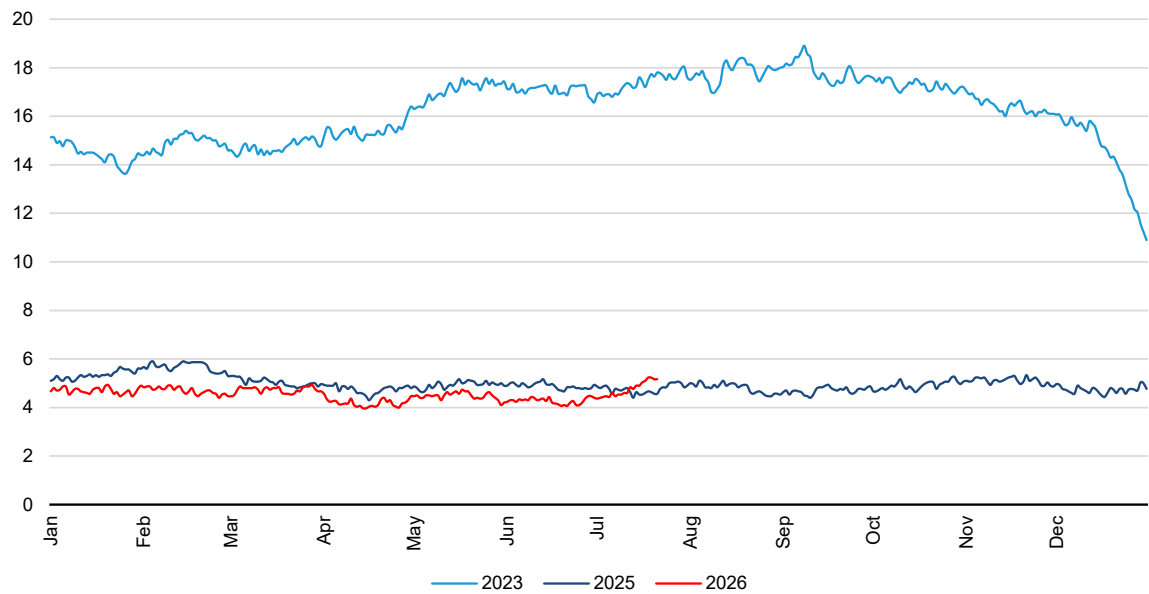
### EXHIBIT 23: Ocean dashboard

|                            | Q1     | Q2     | Q3     | Q4     | Q1     | Q2     | Q3    | Q4    | Q1    | Q2    | Q3    | Q4    | Q1    | Q2    | Q3    | Q4    | Jan   | Feb   | Mar    | Q1    | Apr   | May  | Jun  | Q2   |
|----------------------------|--------|--------|--------|--------|--------|--------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|--------|-------|-------|------|------|------|
|                            | 2022   | 2022   | 2022   | 2022   | 2023   | 2023   | 2023  | 2023  | 2024  | 2024  | 2024  | 2024  | 2025  | 2025  | 2025  | 2025  | 2026  | 2026  | 2026   | 2026  | 2026  | 2026 | 2026 | 2026 |
| Aggregate                  |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Seafreight TEUs (m)        | 43     | 45     | 43     | 42     | 40     | 44     | 45    | 45    | 43    | 46    | 47    | 48    | 45    | 48    | 49    | 50    | 16    | 15    | 16     | 48    | 16    | 17   |      |      |
| YoY change                 | (1.1%) | (1.5%) | (4.4%) | (9.1%) | (7.6%) | (4.4%) | 3.2%  | 6.9%  | 9.0%  | 6.9%  | 5.2%  | 6.7%  | 4.8%  | 4.1%  | 4.7%  | 4.8%  | 5.1%  | 14.4% | (2.2%) | 5.2%  | 4.9%  | 4.4% |      |      |
| WCI (\$000s / FEU)         | 9.2    | 7.7    | 6.0    | 2.8    | 2.0    | 1.7    | 1.6   | 1.4   | 3.4   | 3.8   | 5.2   | 3.4   | 3.0   | 2.6   | 2.3   | 1.9   | 2.3   | 1.9   | 2.1    | 2.1   | 2.3   | 2.6  | 3.8  | 2.9  |
| YoY change                 | 79%    | 29%    | (37%)  | (71%)  | (79%)  | (78%)  | (73%) | (48%) | 74%   | 123%  | 220%  | 137%  | (12%) | (31%) | (56%) | (45%) | (37%) | (35%) | (9%)   | (29%) | 2%    | 16%  | 13%  | 11%  |
| SCFI (\$000s / TEU)        | 4.9    | 4.2    | 3.3    | 1.4    | 1.0    | 1.0    | 1.0   | 1.1   | 2.0   | 2.6   | 3.1   | 2.2   | 1.8   | 1.7   | 1.5   | 1.4   | 1.5   | 1.3   | 1.7    | 1.5   | 1.9   | 2.2  | 3.0  | 2.4  |
| YoY change                 | 74%    | 28%    | (24%)  | (70%)  | (80%)  | (77%)  | (70%) | (25%) | 108%  | 167%  | 211%  | 111%  | (14%) | (37%) | (52%) | (36%) | (33%) | (24%) | 25%    | (16%) | 36%   | 38%  | 50%  | 42%  |
| CCFI (\$000s / TEU)        | 3.5    | 3.2    | 3.0    | 1.7    | 1.1    | 0.9    | 0.9   | 0.8   | 1.3   | 1.4   | 2.0   | 1.4   | 1.4   | 1.2   | 1.2   | 1.1   | 1.2   | 1.1   | 1.1    | 1.1   | 1.2   | 1.3  | 1.6  | 1.4  |
| YoY change                 | 77%    | 45%    | (1%)   | (49%)  | (68%)  | (70%)  | (70%) | (49%) | 18%   | 53%   | 127%  | 70%   | 4%    | (19%) | (39%) | (26%) | (22%) | (19%) | (6%)   | (17%) | 9%    | 17%  | 21%  | 16%  |
| Volumes (m TEU)            |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Headhaul                   |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Transpacific Eastbound     | 5.8    | 6.1    | 5.5    | 4.6    | 4.4    | 5.3    | 5.8   | 5.5   | 5.4   | 6.1   | 6.6   | 6.2   | 5.8   | 5.6   | 6.1   | 5.8   | 2.0   | 1.8   | 1.8    | 5.6   | 2.0   | 2.1  |      |      |
| YoY change                 | 3%     | 2%     | (11%)  | (24%)  | (24%)  | (13%)  | 5%    | 21%   | 22%   | 17%   | 13%   | 11%   | 7%    | (9%)  | (8%)  | (6%)  | (8%)  | 12%   | (11%)  | (3%)  | 16%   | 21%  |      |      |
| Asia-Europe                | 4.0    | 4.0    | 3.9    | 3.5    | 3.8    | 4.4    | 4.3   | 4.0   | 4.1   | 4.7   | 4.7   | 4.7   | 4.5   | 5.1   | 5.2   | 5.0   | 1.9   | 1.7   | 1.6    | 5.2   | 1.8   | 1.9  |      |      |
| YoY change                 | (1%)   | (8%)   | (9%)   | (20%)  | (5%)   | 10%    | 13%   | 15%   | 8%    | 7%    | 8%    | 16%   | 9%    | 8%    | 12%   | 7%    | 6%    | 49%   | 2%     | 15%   | 12%   | 3%   |      |      |
| Europe-North America       | 1.3    | 1.5    | 1.4    | 1.3    | 1.2    | 1.2    | 1.2   | 1.3   | 1.3   | 1.3   | 1.3   | 1.3   | 1.3   | 1.4   | 1.3   | 1.3   | 0.3   | 0.4   | 0.5    | 1.2   | 0.5   | 0.5  |      |      |
| YoY change                 | 0%     | 0%     | (2%)   | (6%)   | (9%)   | (17%)  | (11%) | (5%)  | 7%    | 8%    | 6%    | 4%    | 1%    | 2%    | (1%)  | (1%)  | (8%)  | 2%    | (3%)   | (3%)  | 0%    | 0%   |      |      |
| Asia-Middle East / India   | 1.9    | 1.9    | 1.9    | 2.0    | 1.9    | 2.1    | 2.2   | 2.3   | 2.3   | 2.4   | 2.4   | 2.6   | 2.5   | 2.7   | 2.8   | 2.9   | 1.1   | 0.9   | 0.7    | 2.7   | 0.8   | 0.9  |      |      |
| YoY change                 | 1%     | 0%     | (3%)   | (6%)   | 1%     | 9%     | 17%   | 15%   | 22%   | 13%   | 6%    | 13%   | 11%   | 15%   | 19%   | 13%   | 15%   | 32%   | (20%)  | 7%    | (17%) | (5%) |      |      |
| Backhaul                   |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Transpacific Westbound     | 1.5    | 1.6    | 1.4    | 1.5    | 1.6    | 1.5    | 1.5   | 1.7   | 1.7   | 1.6   | 1.5   | 1.6   | 1.6   | 1.5   | 1.5   | 1.6   | 0.5   | 0.5   | 0.6    | 1.6   | 0.5   | 0.5  |      |      |
| YoY change                 | (13%)  | (6%)   | (3%)   | 2%     | 4%     | (4%)   | 3%    | 10%   | 8%    | 9%    | 2%    | (5%)  | (8%)  | (9%)  | 0%    | 4%    | 2%    | 5%    | 2%     | 3%    | 4%    | 12%  |      |      |
| Europe-Asia                | 1.7    | 1.7    | 1.6    | 1.7    | 1.6    | 1.6    | 1.6   | 1.7   | 1.6   | 1.6   | 1.6   | 1.5   | 1.5   | 1.5   | 1.5   | 1.5   | 0.4   | 0.5   | 0.6    | 1.5   | 0.5   | 0.5  |      |      |
| YoY change                 | (13%)  | (17%)  | (14%)  | (7%)   | (10%)  | (5%)   | (3%)  | 1%    | 2%    | 1%    | (2%)  | (10%) | (5%)  | (10%) | (6%)  | (2%)  | (8%)  | (3%)  | (0%)   | (3%)  | 4%    | 4%   |      |      |
| North America-Europe       | 0.6    | 0.7    | 0.6    | 0.7    | 0.7    | 0.7    | 0.6   | 0.6   | 0.7   | 0.7   | 0.6   | 0.6   | 0.7   | 0.8   | 0.7   | 0.7   | 0.2   | 0.2   | 0.3    | 0.7   | 0.2   | 0.3  |      |      |
| YoY change                 | (6%)   | (5%)   | (4%)   | 1%     | 6%     | (3%)   | (8%)  | (4%)  | 4%    | 2%    | 8%    | 1%    | 0%    | 12%   | 5%    | 9%    | 1%    | (4%)  | 4%     | 1%    | (6%)  | 5%   |      |      |
| Middle East / India - Asia | 0.8    | 0.8    | 0.8    | 0.8    | 0.7    | 0.7    | 0.8   | 0.8   | 0.8   | 0.8   | 0.8   | 0.9   | 0.8   | 0.8   | 0.8   | 1.0   | 0.3   | 0.3   | 0.2    | 0.8   | 0.2   | 0.3  |      |      |
| YoY change                 | 6%     | 4%     | 6%     | 13%    | (6%)   | (12%)  | (3%)  | (2%)  | 5%    | 7%    | 1%    | 6%    | 9%    | 4%    | 6%    | 10%   | 11%   | 13%   | (22%)  | (0%)  | (11%) | (6%) |      |      |
| Intra-region               |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Intra-Asia                 | 10.8   | 12.6   | 11.7   | 11.5   | 10.1   | 11.5   | 11.7  | 11.9  | 10.7  | 12.0  | 12.2  | 12.5  | 11.1  | 12.8  | 12.7  | 13.2  | 4.3   | 3.7   | 4.3    | 12.3  | 4.3   | 4.8  |      |      |
| YoY change                 | 2%     | 2%     | (1%)   | (7%)   | (6%)   | (9%)   | 0%    | 3%    | 6%    | 5%    | 4%    | 6%    | 5%    | 6%    | 4%    | 5%    | 14%   | 11%   | 6%     | 10%   | 10%   | 5%   |      |      |
| Intra-Europe               | 2.3    | 2.1    | 1.9    | 2.0    | 1.9    | 2.0    | 1.8   | 1.9   | 2.0   | 2.0   | 2.0   | 2.1   | 2.1   | 2.2   | 2.0   | 2.1   | 0.6   | 0.7   | 0.8    | 2.1   | 0.8   | 0.8  |      |      |
| YoY change                 | (0%)   | (8%)   | (13%)  | (14%)  | (16%)  | (6%)   | (5%)  | (3%)  | 6%    | 4%    | 11%   | 11%   | 4%    | 6%    | (1%)  | 0%    | (7%)  | 5%    | 2%     | 0%    | 6%    | 1%   |      |      |
| Rates (\$000s /FEU)        |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Headhaul                   |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Shanghai-Los Angeles       | 10.6   | 8.6    | 6.1    | 2.3    | 2.0    | 1.8    | 2.1   | 2.0   | 4.0   | 4.8   | 6.5   | 4.5   | 4.0   | 3.6   | 2.6   | 2.3   | 2.8   | 2.2   | 2.5    | 2.5   | 2.8   | 3.3  | 5.0  | 3.7  |
| YoY change                 | 149%   | 55%    | (44%)  | (78%)  | (81%)  | (79%)  | (66%) | (11%) | 103%  | 169%  | 208%  | 120%  | (1%)  | (24%) | (60%) | (49%) | (45%) | (46%) | (9%)   | (37%) | 5%    | 8%   | (0%) | 3%   |
| Shanghai - Rotterdam       | 13.2   | 10.0   | 8.1    | 3.0    | 1.7    | 1.5    | 1.4   | 1.2   | 4.1   | 4.6   | 7.0   | 4.1   | 3.1   | 2.5   | 2.8   | 2.1   | 2.6   | 2.1   | 2.4    | 2.4   | 2.3   | 2.6  | 4.0  | 2.9  |
| YoY change                 | 56%    | 7%     | (40%)  | (78%)  | (87%)  | (85%)  | (83%) | (60%) | 140%  | 205%  | 395%  | 235%  | (23%) | (46%) | (60%) | (50%) | (35%) | (24%) | (5%)   | (23%) | (3%)  | 22%  | 33%  | 19%  |
| Rotterdam - New York       | 6.5    | 7.0    | 6.9    | 7.2    | 5.9    | 4.2    | 1.6   | 1.5   | 1.9   | 2.2   | 2.0   | 2.5   | 2.5   | 2.0   | 2.0   | 1.7   | 1.6   | 1.6   | 1.5    | 1.6   | 2.0   | 2.4  | 2.5  | 2.3  |
| YoY change                 | 179%   | 99%    | 15%    | 16%    | (9%)   | (41%)  | (76%) | (79%) | (67%) | (48%) | 22%   | 68%   | 29%   | (7%)  | (1%)  | (34%) | (41%) | (34%) | (33%)  | (36%) | (4%)  | 22%  | 28%  | 15%  |
| Backhaul                   |        |        |        |        |        |        |       |       |       |       |       |       |       |       |       |       |       |       |        |       |       |      |      |      |
| Los Angeles-Shanghai       | 1.3    | 1.3    | 1.3    | 1.2    | 1.1    | 1.0    | 0.8   | 0.8   | 0.7   | 0.7   | 0.7   | 0.7   | 0.7   | 0.7   | 0.7   | 0.7   | 0.7   | 0.7   | 0.7    | 0.7   | 0.8   | 0.8  | 0.8  | 0.8  |
| YoY change                 | 134%   | 78%    | (10%)  | (9%)   | (12%)  | (19%)  | (33%) | (34%) | (34%) | (32%) | (16%) | (8%)  | (3%)  | 2%    | 1%    | (1%)  | (0%)  | 3%    | 3%     | 2%    | 9%    | 13%  | 13%  | 12%  |
| Rotterdam-Shanghai         | 1.5    | 1.4    | 1.2    | 0.9    | 0.7    | 0.6    | 0.5   | 0.5   | 0.9   | 0.7   | 0.6   | 0.5   | 0.5   | 0.5   | 0.5   | 0.5   | 0.5   | 0.5   | 0.6    | 0.5   | 0.6   | 0.6  | 0.6  | 0.6  |
| YoY change                 | 3%     | (7%)   | (30%)  | (46%)  | (49%)  | (58%)  | (56%) | (46%) | 15%   | 18%   | 20%   | 14%   | (42%) | (32%) | (23%) | (13%) | (2%)  | 6%    | 13%    | 5%    | 26%   | 40%  | 23%  | 30%  |
| New York - Rotterdam       | 1.2    | 1.2    | 1.3    | 1.3    | 1.2    | 0.9    | 0.8   | 0.6   | 0.6   | 0.6   | 0.7   | 0.8   | 0.8   | 0.8   | 0.9   | 0.9   | 1.0   | 1.0   | 1.0    | 1.0   | 1.0   | 1.0  | 1.0  | 1.0  |
| YoY change                 | 70%    | 30%    | 8%     | 11%    | (2%)   | (25%)  | (41%) | (51%) | (47%) | (29%) | (4%)  | 23%   | 34%   | 31%   | 18%   | 14%   | 18%   | 15%   | 13%    | 15%   | 25%   | 22%  | 18%  | 21%  |

Source: World Liner Data, Drewry, Bernstein analysis

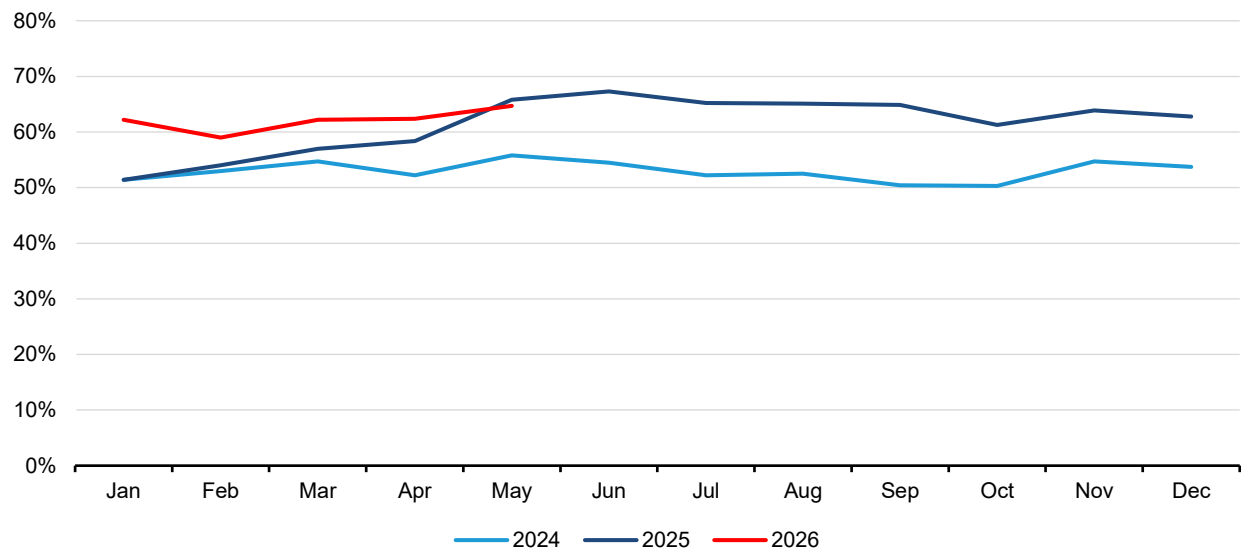
EXHIBIT 24: Suez Canal container vessel transits, both directions

30 day moving average



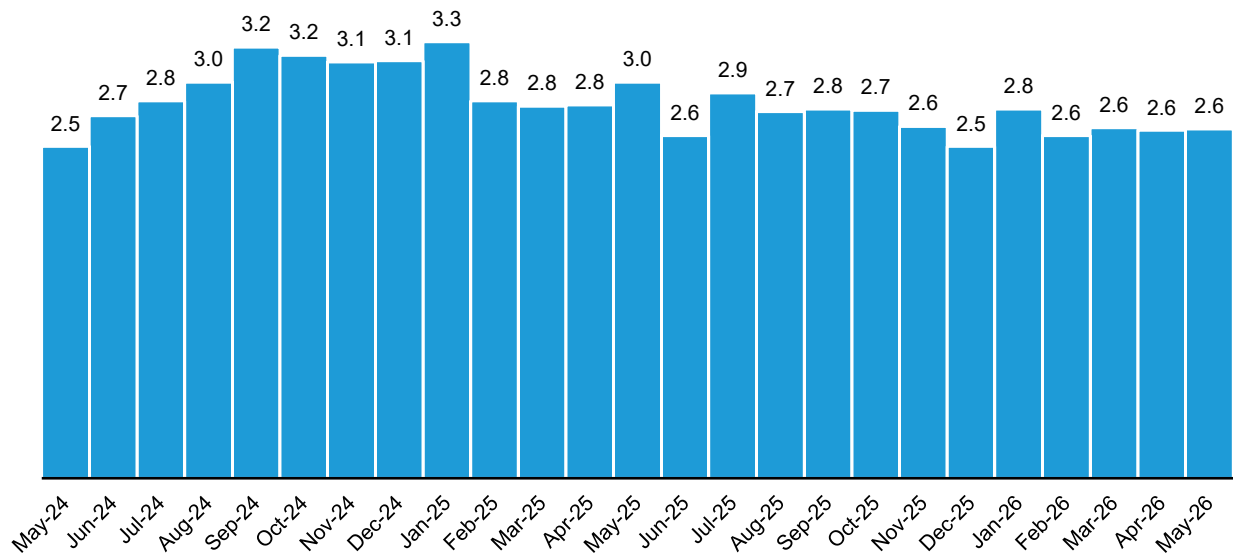
Source: Bloomberg, Bernstein analysis

EXHIBIT 25: Global schedule reliability for ocean shipping



Source: Sea-Intelligence.com, Bernstein analysis

EXHIBIT 26: **Weighted average dwell time of truck-bound containers at San Pedro Bay ports**

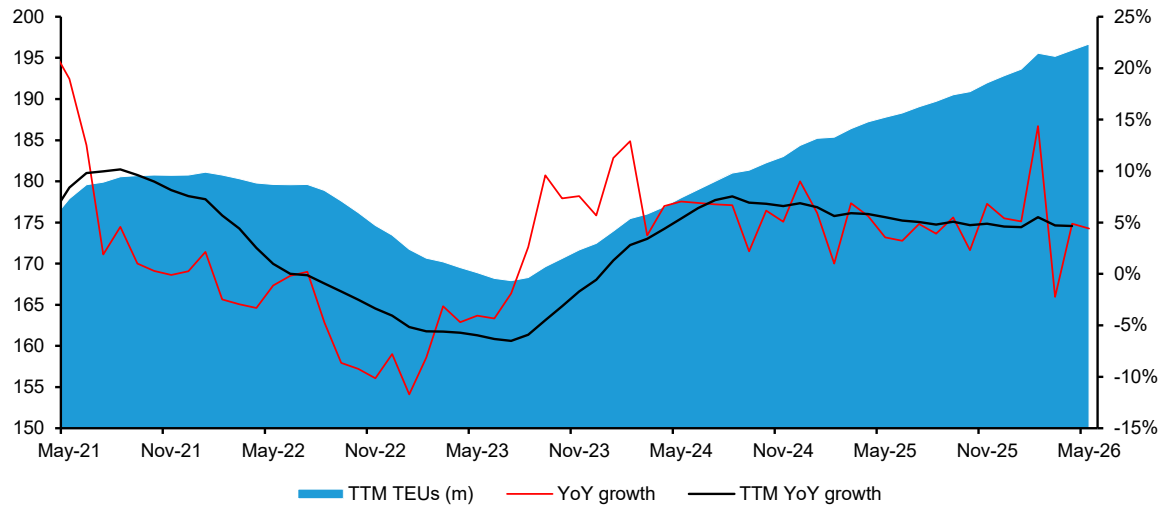


Source: PMSA, Bernstein analysis

**VOLUMES**

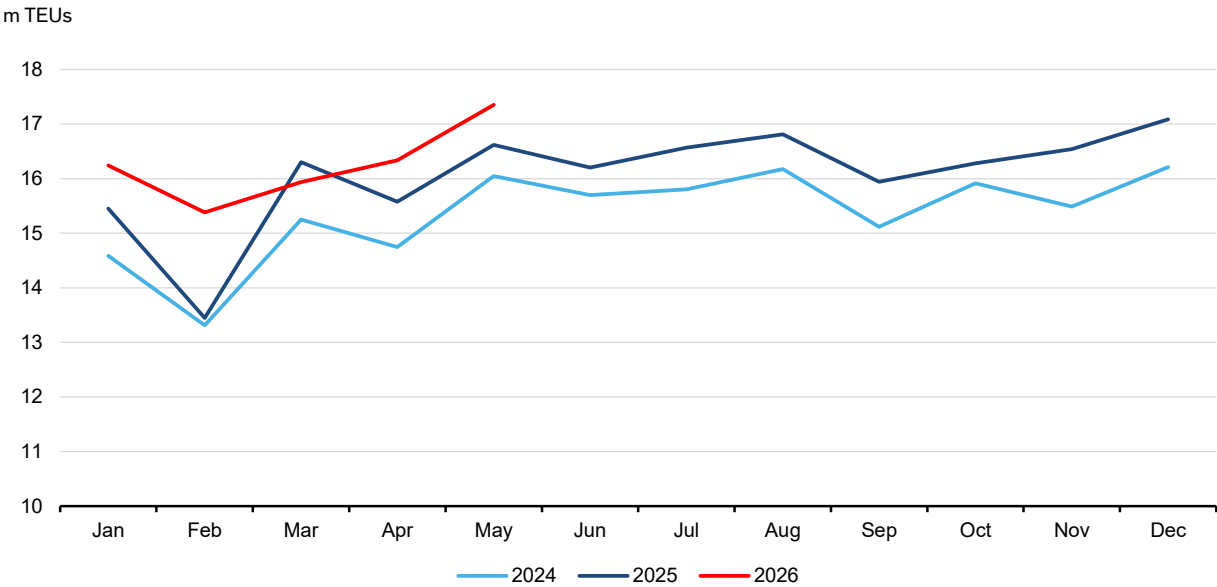
EXHIBIT 27: **Global Seafreight TEUs**

Global Seafreight TEUs



Source: World Liner Data, Bernstein analysis

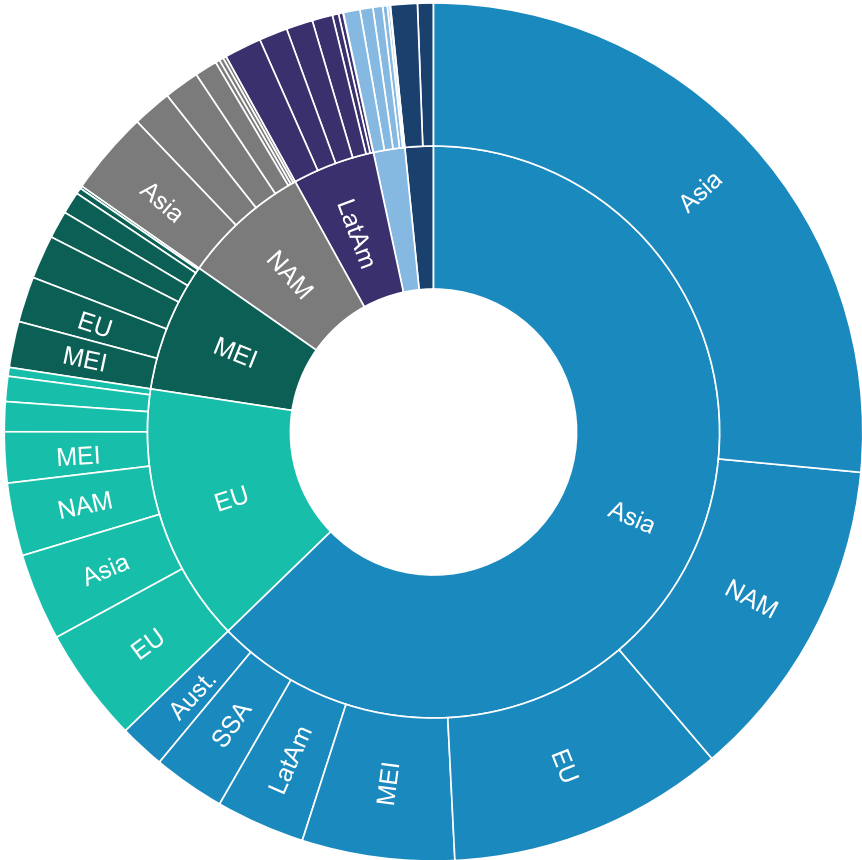
EXHIBIT 28: **Global Seafreight TEUs**



Source: World Liner Data, Bernstein analysis

EXHIBIT 29: Breakdown of sea volumes by trade lane, last 12 months

Trade lane volume share in world seaborne container trade

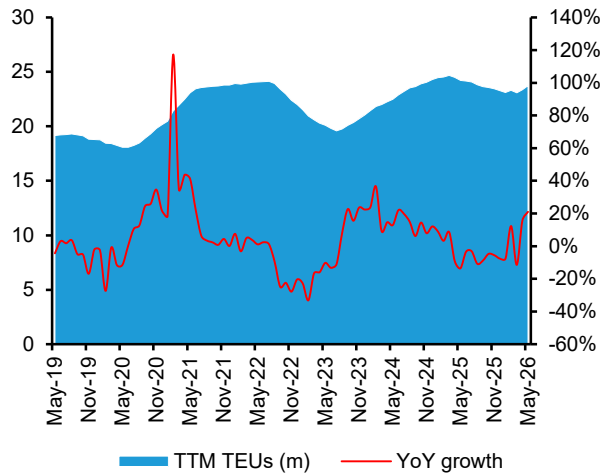


Source: World Liner Data, Bernstein analysis

Headhaul routes

EXHIBIT 30: Asia-North America TEUs

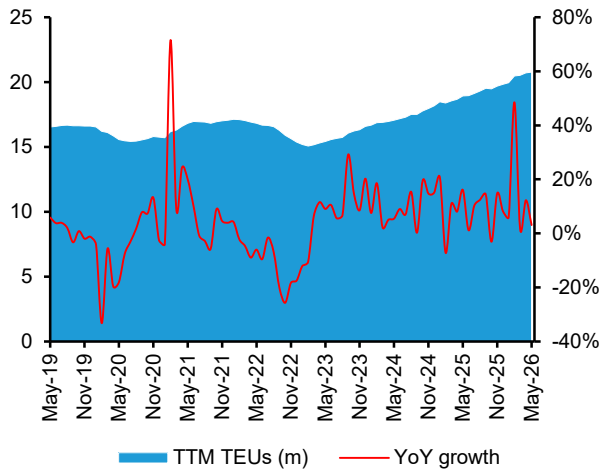
Asia-North America TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 31: Asia-Europe TEUs

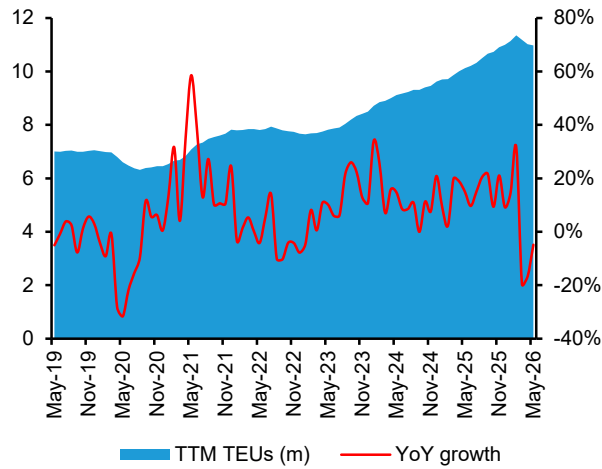
Asia-Europe TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 32: Asia-Indian subcontinent and Middle East TEUs

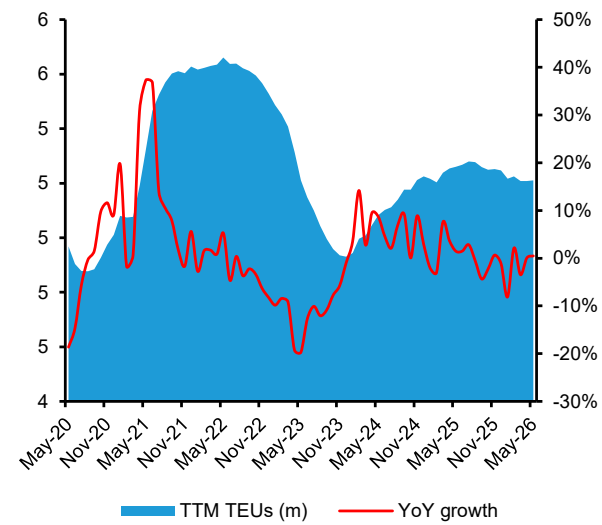
Asia-Indian subcontinent and Middle East TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 33: EU-North America TEUs

EU-North America TEUs

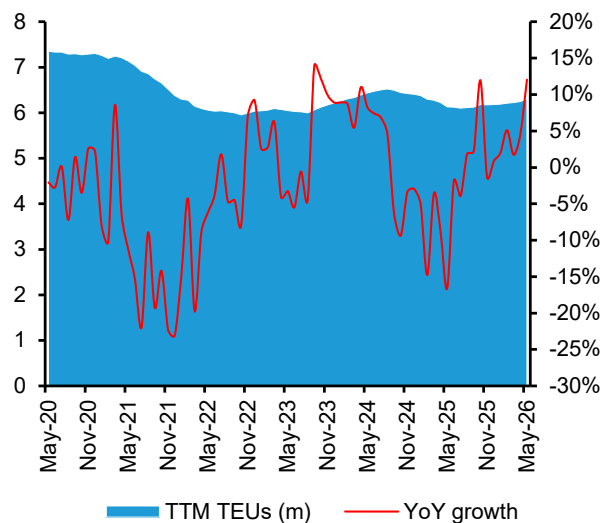


Source: World Liner Data, Bernstein analysis

## Backhaul routes

### EXHIBIT 34: North America-Asia TEUs

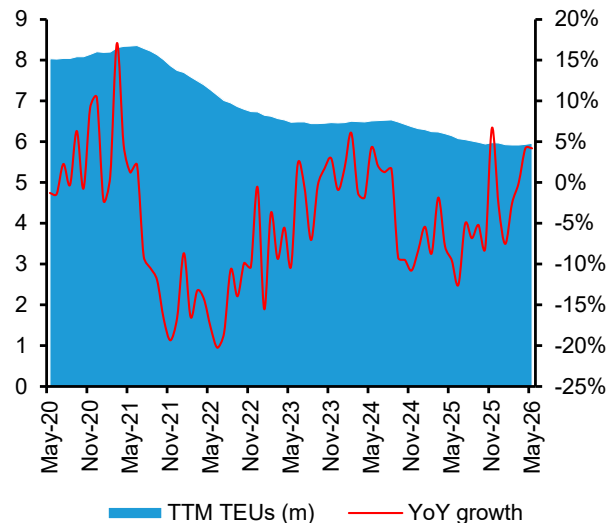
North America-Asia TEUs



Source: World Liner Data, Bernstein analysis

### EXHIBIT 35: EU-Asia TEUs

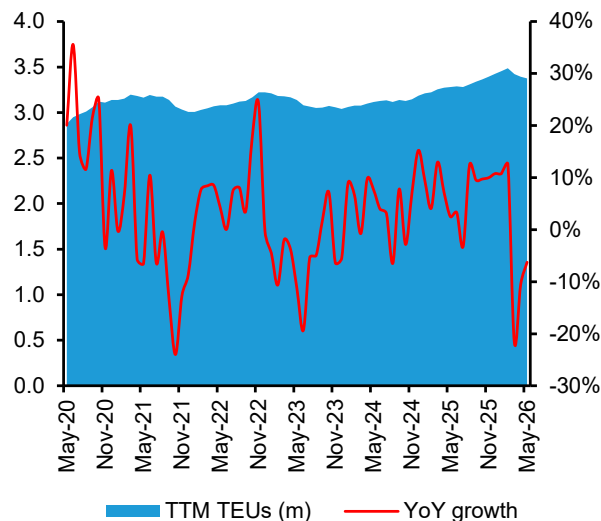
EU-Asia TEUs



Source: World Liner Data, Bernstein analysis

### EXHIBIT 36: Indian subcontinent and Middle East-Asia TEUs

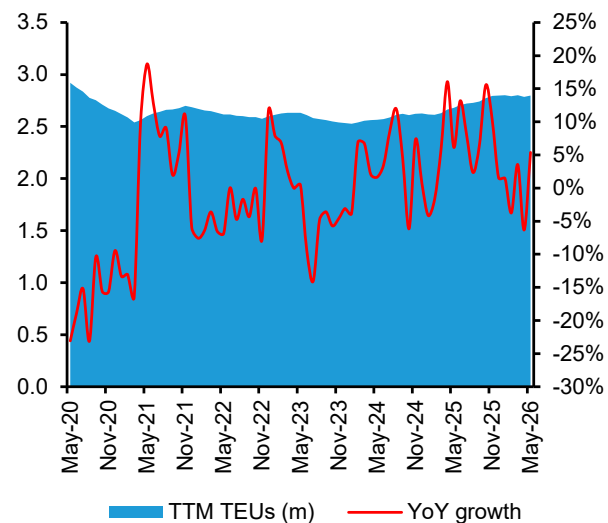
Indian subcontinent and Middle East-Asia TEUs



Source: World Liner Data, Bernstein analysis

### EXHIBIT 37: North America-Europe TEUs

North America-Europe TEUs

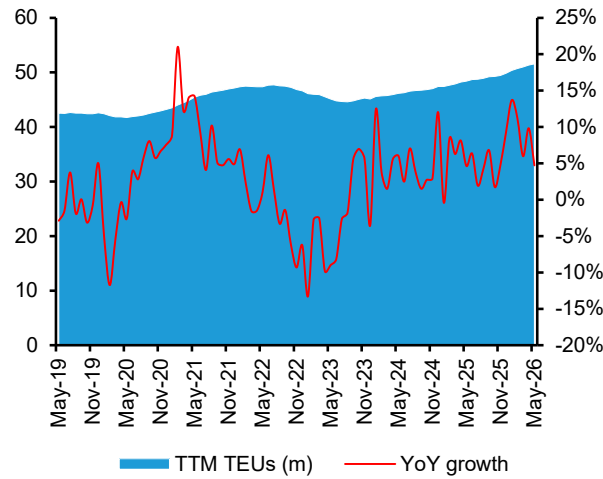


Source: World Liner Data, Bernstein analysis

Intra-regional routes

EXHIBIT 38: Asia-Asia seafreight TEUs

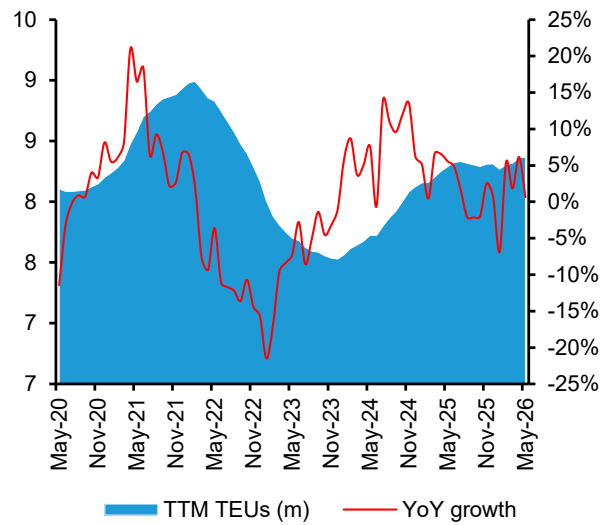
Asia-Asia seafreight TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 39: EU-EU TEUs

EU-EU TEUs

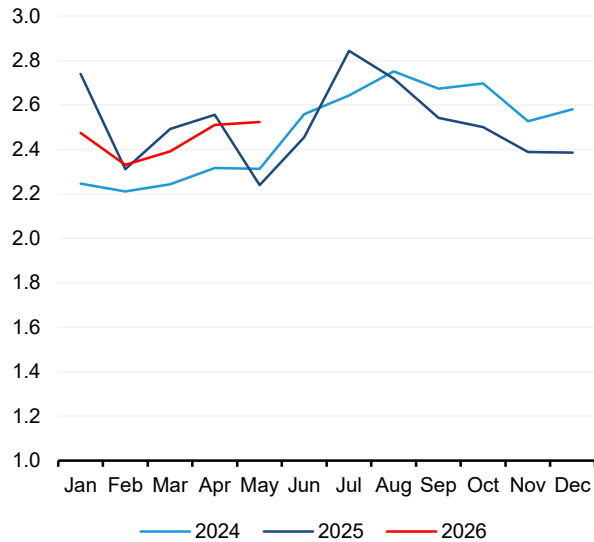


Source: World Liner Data, Bernstein analysis

Ports

EXHIBIT 40: US West Coast port volumes

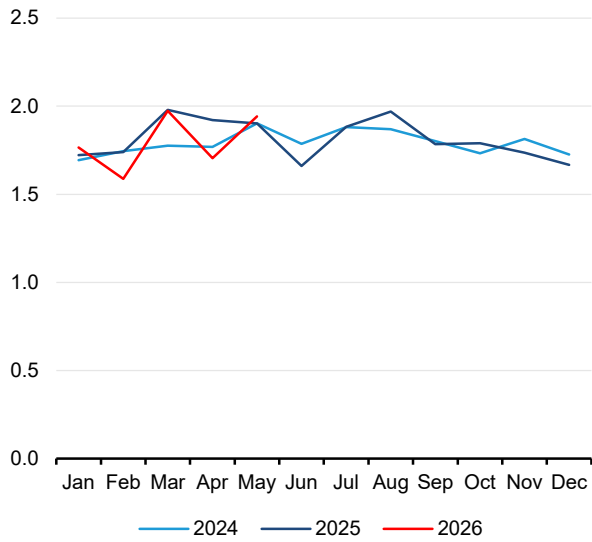
million TEUs



Source: Various US ports, Bernstein analysis

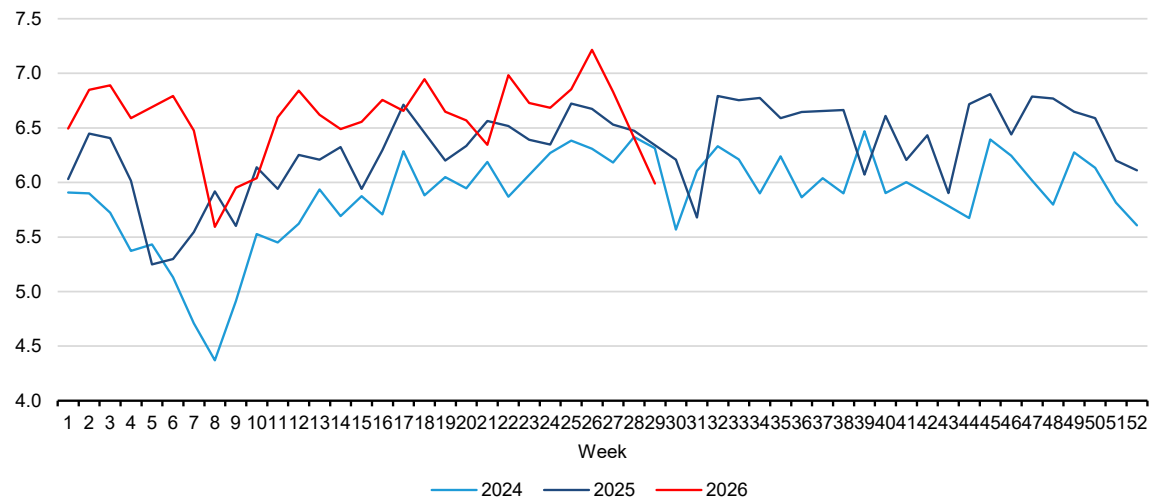
EXHIBIT 41: US East Coast port volumes

million TEUs



Source: Various US ports, Bernstein analysis

EXHIBIT 42: **China container port weekly throughput**  
million TEU

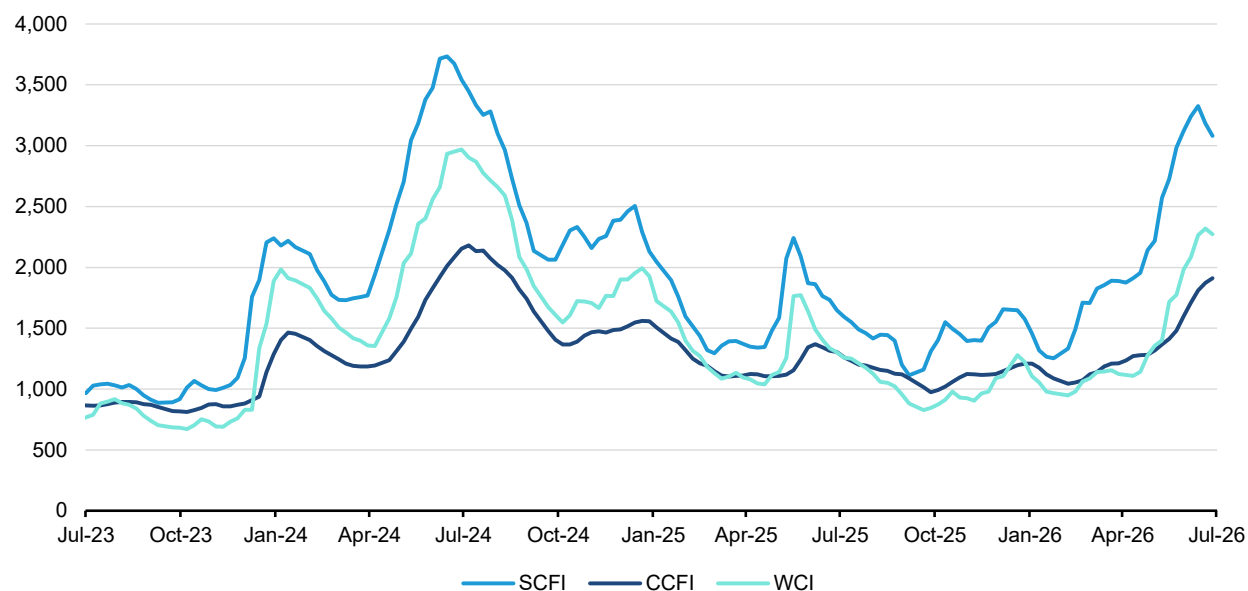


Source: Ministry of Transport, Bernstein analysis

## FREIGHT RATES

### EXHIBIT 43: Ocean rates: WCI, SCFI, CCFI

\$/TEU

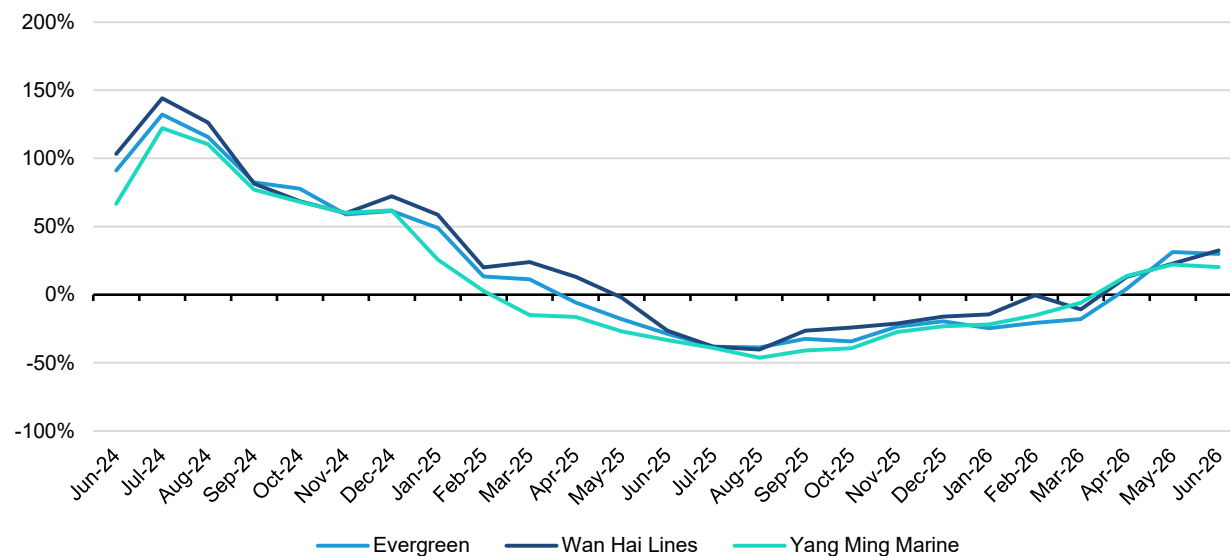


WCI: Global spot index (actual data) - reported in FEU, divided by two to approximate per TEU; SCFI: Global China export spot index (survey data); CCFI: Global China export spot and contract index (survey data)

Source: Drewry, Shanghai shipping exchange, Bernstein analysis

### EXHIBIT 44: Taiwanese shipping lines revenue growth

YoY change

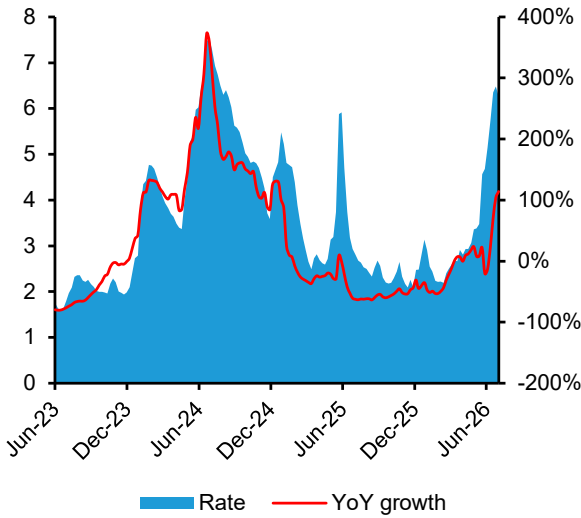


Source: Company reports, Bernstein analysis

## Headhaul

EXHIBIT 45: **Shanghai-LA freight rate (\$k/FEU)**

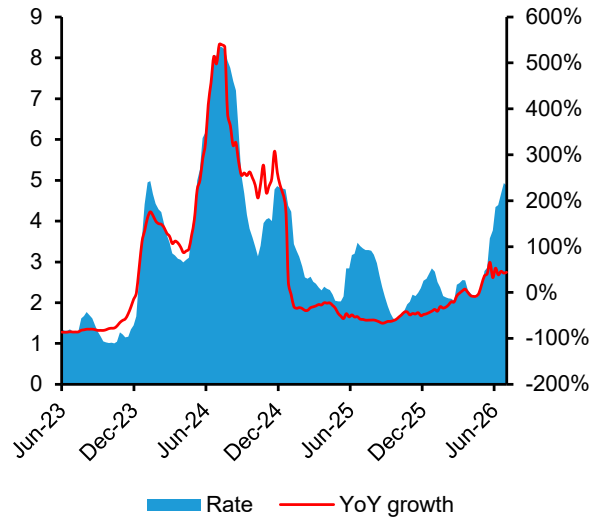
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 46: **Shanghai-Rotterdam freight rate (\$k/FEU)**

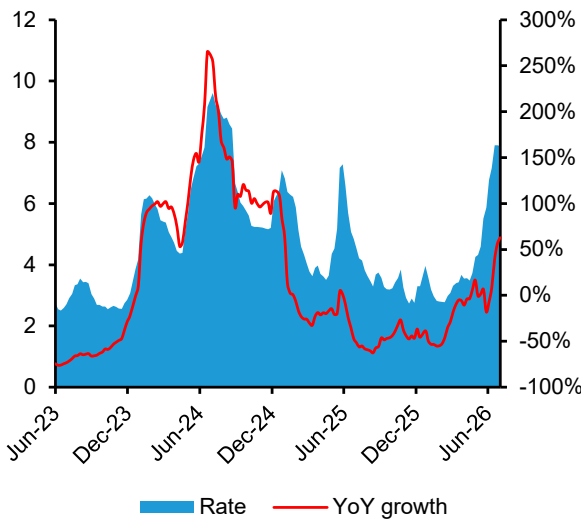
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 47: **Shanghai-New York freight rate (\$k/FEU)**

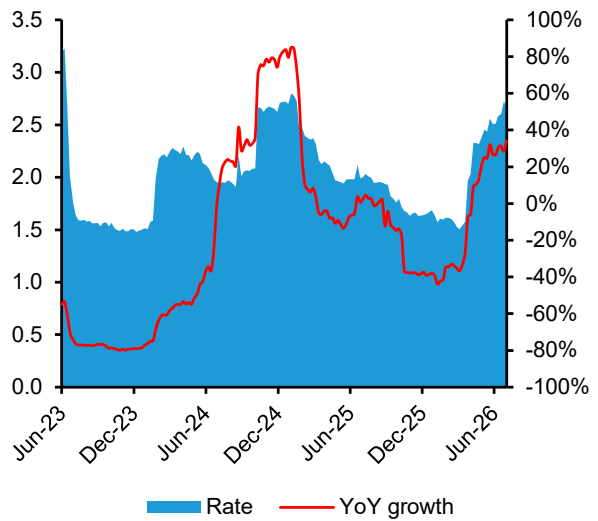
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 48: **Rotterdam-New York**

\$k / FEU

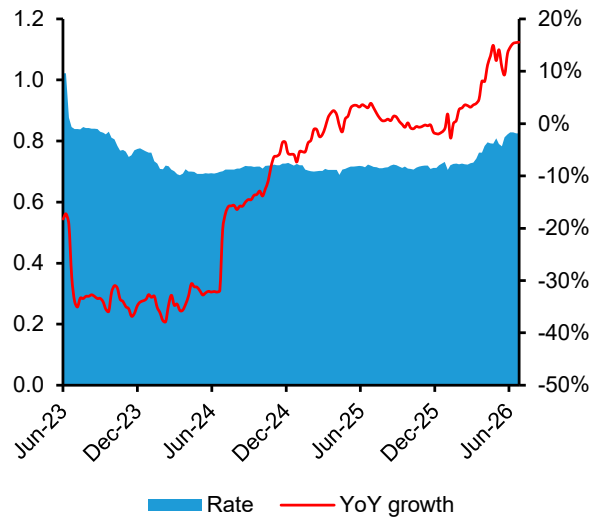


Source: Drewry, Bernstein analysis

Backhaul

EXHIBIT 49: Los Angeles - Shanghai

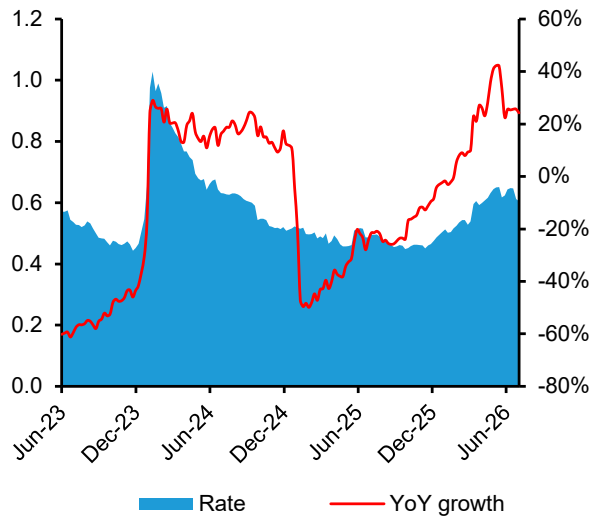
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 50: Rotterdam - Shanghai

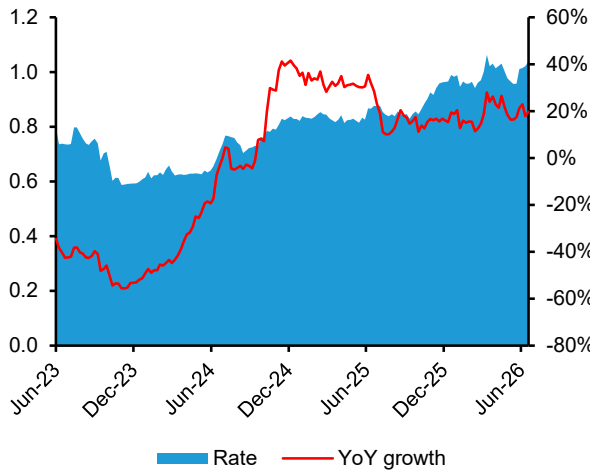
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 51: New York-Rotterdam

\$k / FEU

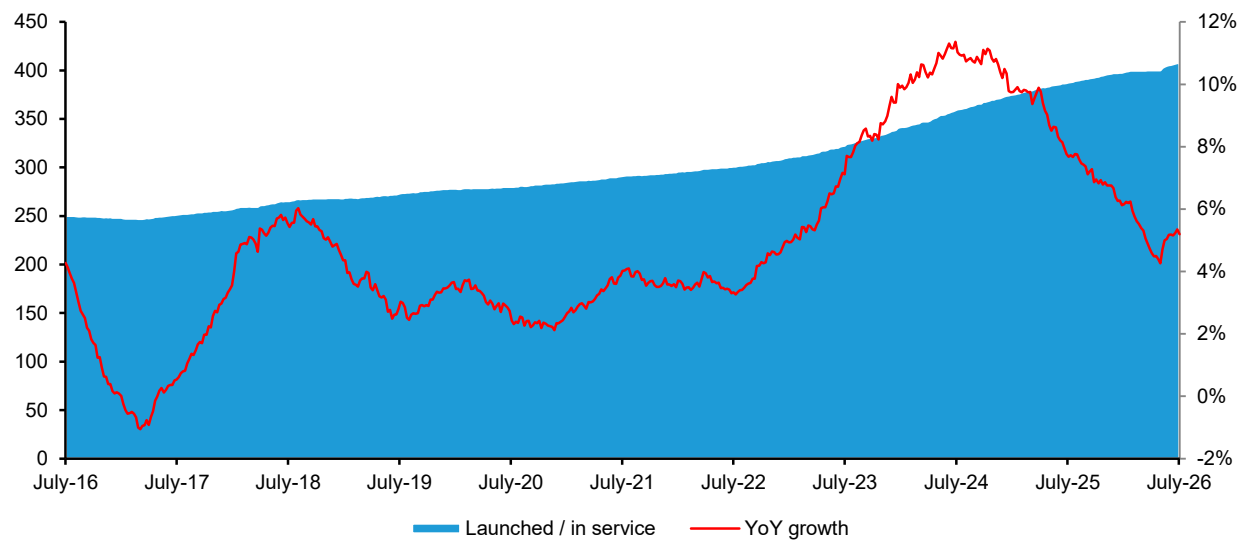


Source: Drewry, Bernstein analysis

## FLEET

### EXHIBIT 52: Container shipping DWT

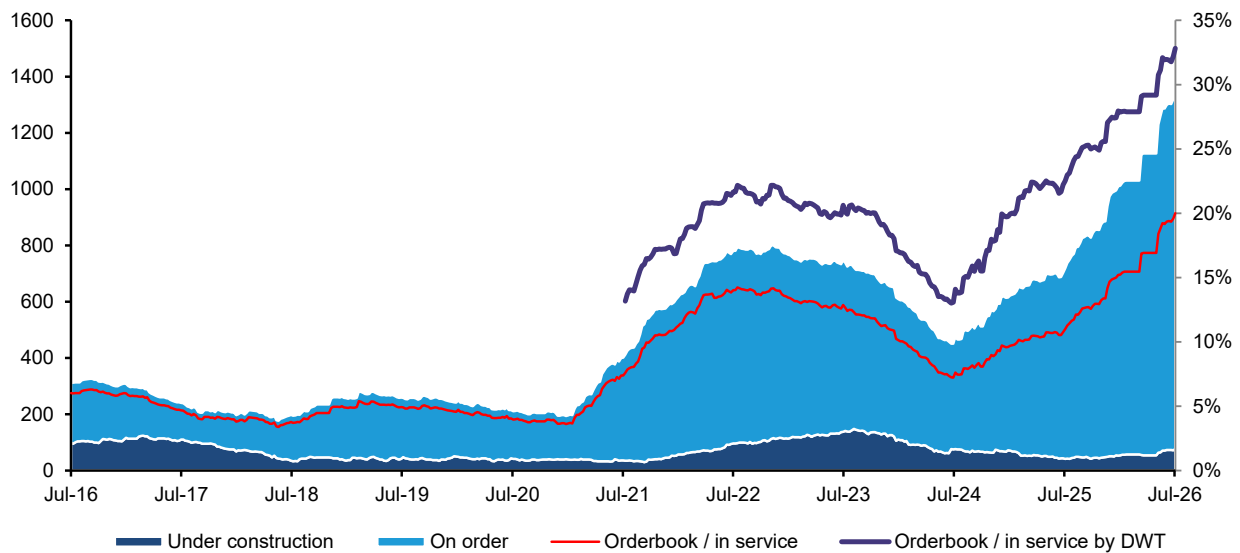
Container shipping DWT (M)



Source: IHS Global, Bernstein analysis

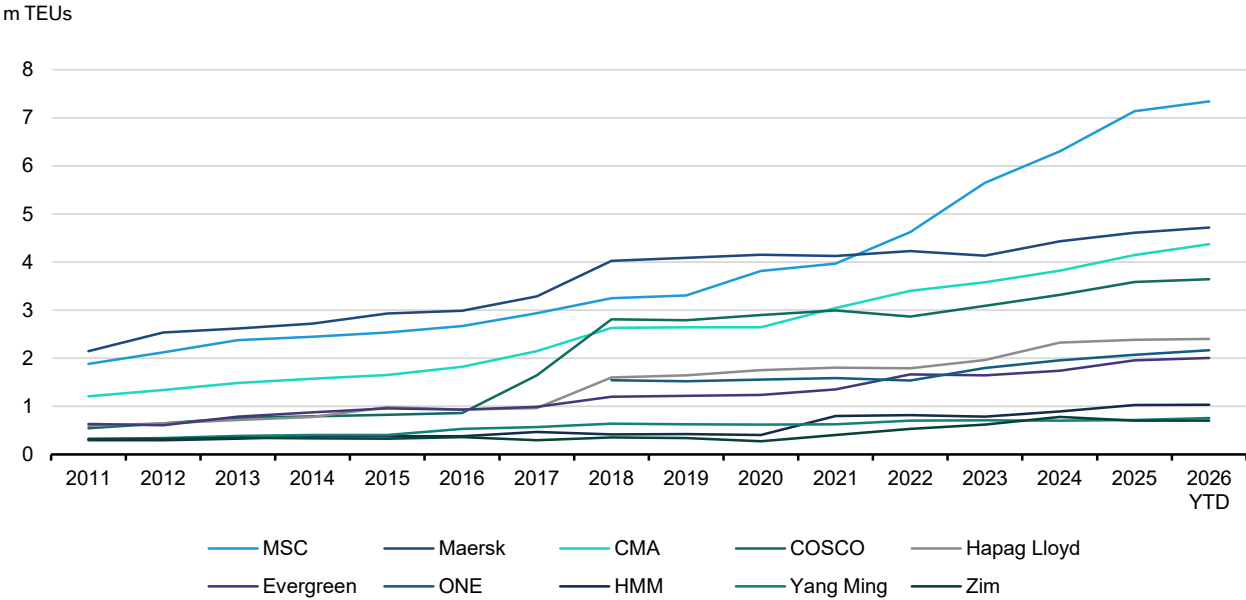
### EXHIBIT 53: Containership orders and orders / in service ratio

Containership order books



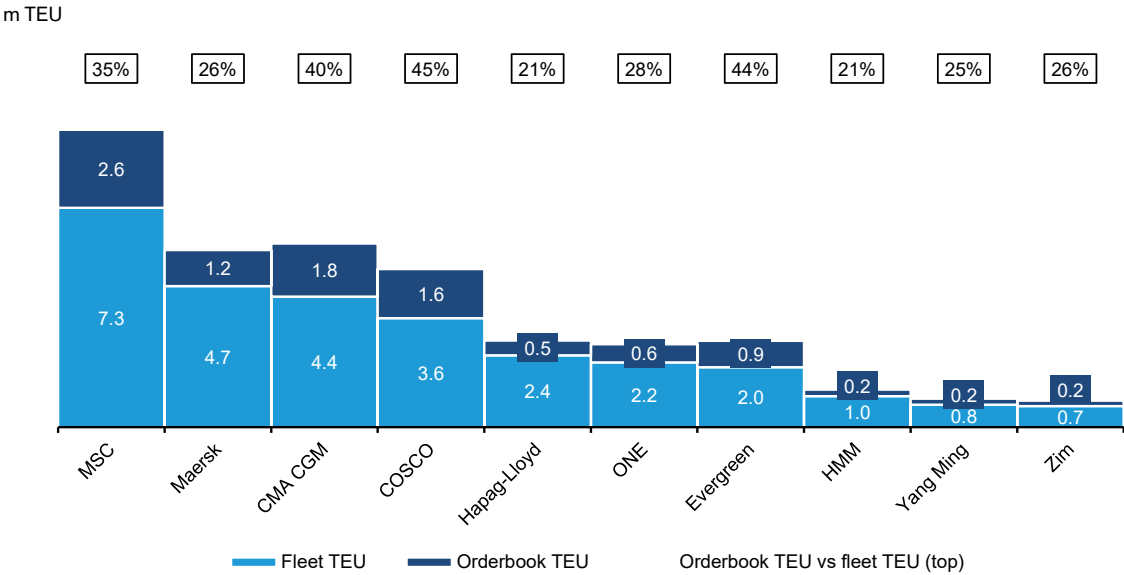
Source: IHS Global, Bernstein analysis

EXHIBIT 54: Largest shipping lines capacity evolution



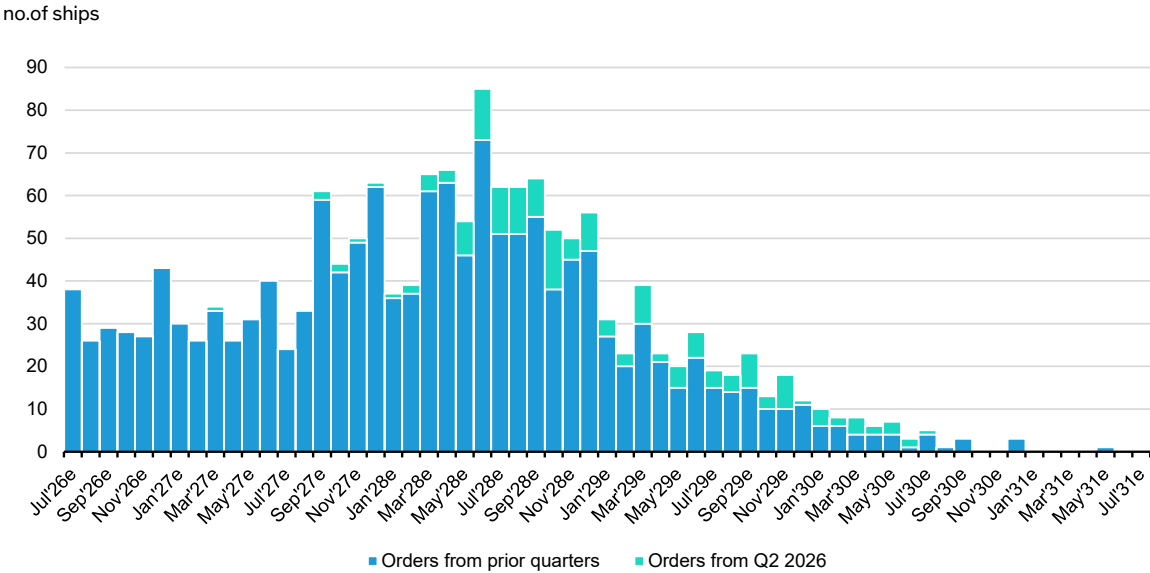
Source: Alphaliner, Bernstein analysis

EXHIBIT 55: Top 10 shipping lines: current fleet and orders



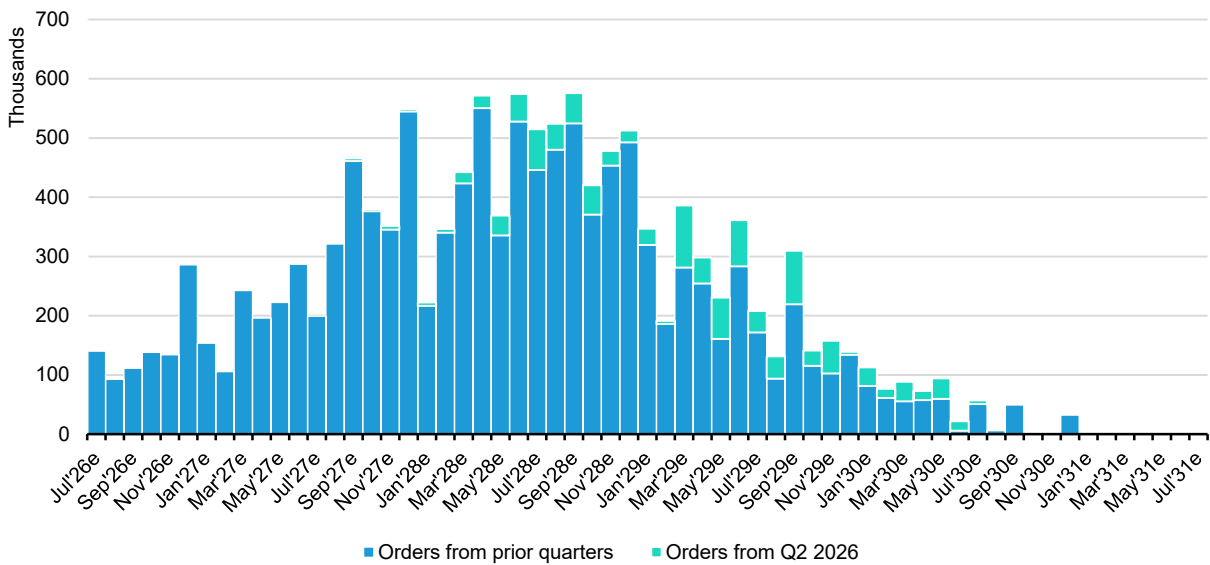
Source: Alphaliner, Bernstein analysis

EXHIBIT 56: **Delivery schedule of ships**



Source: Alphaliner, Bernstein analysis

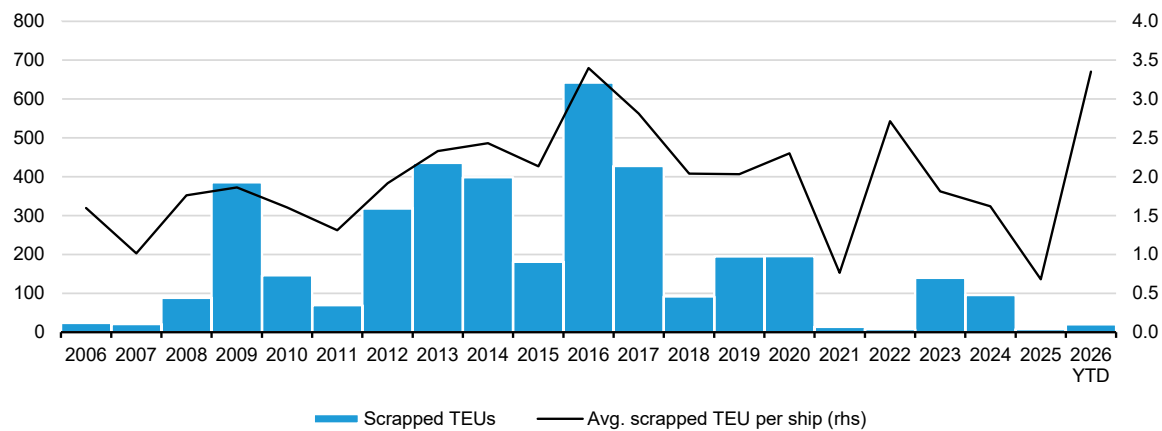
EXHIBIT 57: **Delivery schedule (TEUs)**



Source: Alphaliner, Bernstein analysis

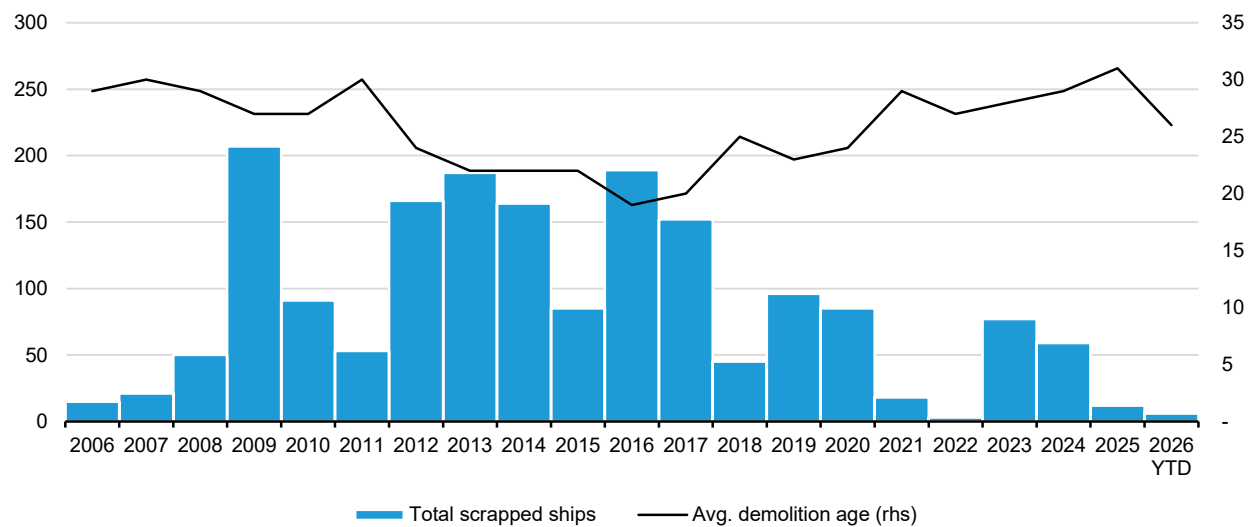
EXHIBIT 58: **Scrapped ships (TEUs)**

in 000TEUs



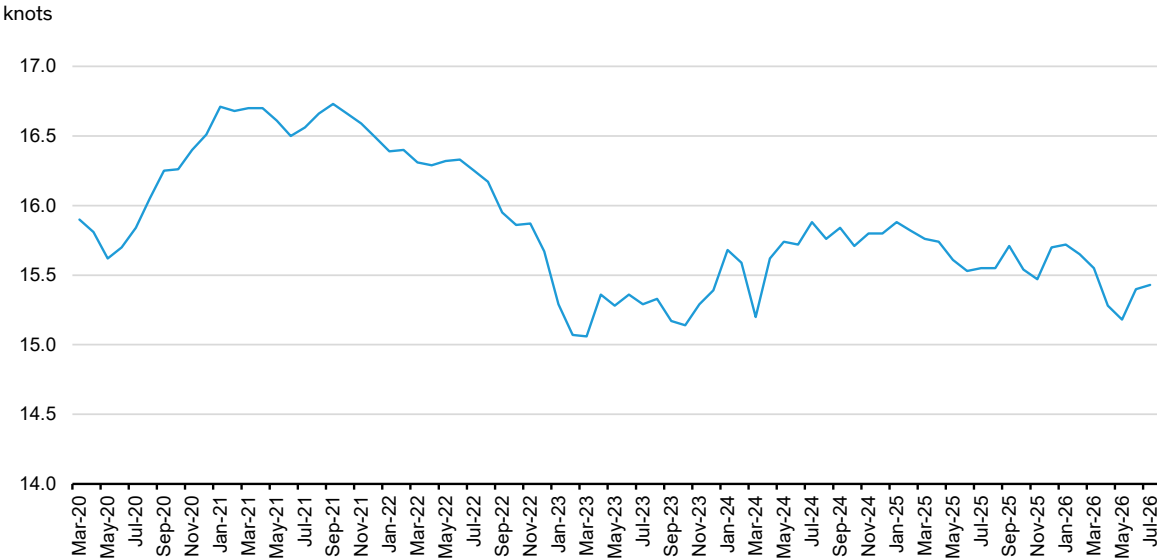
Source: Alphaliner, Bernstein analysis

EXHIBIT 59: **Scrapped ships and avg.age**



Source: Alphaliner, Bernstein analysis

EXHIBIT 60: **Average global containership speed**



Source: Alphaliner, Bernstein analysis

## AIRFREIGHT

## EXHIBIT 61: Air dashboard

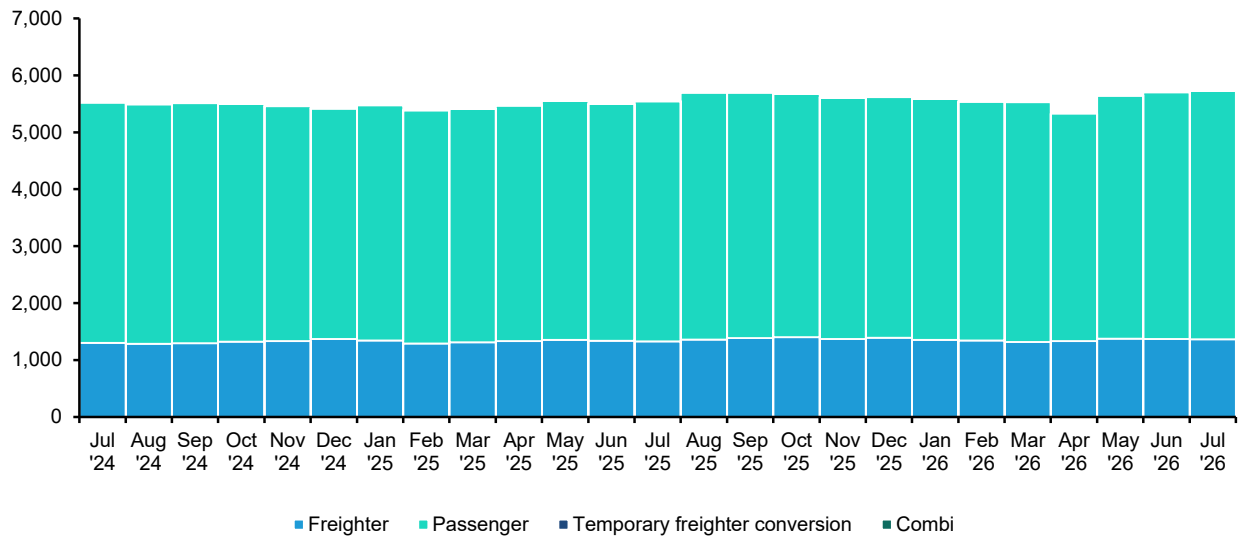
|                                     | Q2<br>2021 | Q3<br>2021 | Q4<br>2021 | Q1<br>2022 | Q2<br>2022 | Q3<br>2022 | Q4<br>2022 | Q1<br>2023 | Q2<br>2023 | Q3<br>2023 | Q4<br>2023 | Q1<br>2024 | Q2<br>2024 | Q3<br>2024 | Q4<br>2024 | Q1<br>2025 | Q2<br>2025 | Q3<br>2025 | Q4<br>2025 | Jan<br>2026 | Feb<br>2026 | Mar<br>2026 | Q1<br>2026 | Apr<br>2026 | May<br>2026 | Jun<br>2026 | Q2<br>2026 |
|-------------------------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|-------------|-------------|-------------|------------|-------------|-------------|-------------|------------|
| <b>Aggregate</b>                    |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| International Tons (000s)           | 18.5       | 18.7       | 19.9       | 17.6       | 17.8       | 17.3       | 17.3       | 15.9       | 16.7       | 16.7       | 18.4       | 17.6       | 18.8       | 18.9       | 20.3       | 18.5       | 19.7       | 20.2       | 21.6       | 6.3         | 6.0         | 6.4         | 18.7       |             |             |             |            |
| YoY change                          | 36%        | 22%        | 13%        | 2%         | (4%)       | (7%)       | (13%)      | (9%)       | (6%)       | (3%)       | 7%         | 11%        | 13%        | 13%        | 10%        | 5%         | 5%         | 7%         | 6%         | 5.9%        | 7.0%        | (7.4%)      | 1%         |             |             |             |            |
| Composite rate (\$/kg)              | 5.3        | 5.4        | 6.7        | 5.9        | 5.8        | 5.1        | 4.4        | 3.8        | 3.7        | 3.5        | 4.1        | 3.4        | 3.6        | 3.5        | 4.2        | 3.1        | 3.1        | 3.2        | 3.6        | 3.3         | 3.3         | 3.4         | 3.3        | 3.8         | 4.0         | 4.3         | 4.0        |
| YoY change                          | (9%)       | 2%         | 36%        | 31%        | 9%         | (6%)       | (35%)      | (36%)      | (36%)      | (32%)      | (5%)       | (11%)      | (2%)       | 1%         | 0%         | (7%)       | (14%)      | (11%)      | (14%)      | 2%          | 8%          | 10%         | 7%         | 22%         | 27%         | 41%         | 30.0%      |
| <b>Regional volumes (000s tons)</b> |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Asia Pacific                        | 9.3        | 9.5        | 9.8        | 8.6        | 8.4        | 8.4        | 8.2        | 7.7        | 8.3        | 8.6        | 9.2        | 8.8        | 9.2        | 9.5        | 10.2       | 9.3        | 10.0       | 10.2       | 10.8       | 3.2         | 2.9         | 3.5         | 9.6        |             |             |             |            |
| YoY change                          | 31%        | 17%        | 7%         | (1%)       | (9%)       | (12%)      | (17%)      | (11%)      | (1%)       | 3%         | 12%        | 15%        | 11%        | 11%        | 11%        | 6%         | 9%         | 7%         | 7%         | 5.7%        | 8.1%        | (1.5%)      | 4%         |             |             |             |            |
| North America                       | 8.8        | 8.8        | 9.5        | 8.2        | 8.4        | 8.4        | 8.7        | 7.4        | 7.8        | 7.9        | 8.5        | 7.5        | 8.1        | 8.1        | 8.5        | 7.6        | 7.9        | 7.9        | 8.6        | 2.4         | 2.4         | 2.7         | 7.5        |             |             |             |            |
| YoY change                          | 17%        | 9%         | 8%         | 2%         | (4%)       | (4%)       | (9%)       | (10%)      | (7%)       | (7%)       | (3%)       | 2%         | 4%         | 4%         | 0%         | 1%         | (3%)       | (2%)       | 1%         | (3.3%)      | 2.2%        | (3.6%)      | (2%)       |             |             |             |            |
| Europe                              | 5.3        | 5.2        | 5.8        | 5.1        | 5.1        | 5.1        | 5.0        | 4.7        | 4.8        | 4.8        | 5.3        | 5.0        | 5.4        | 5.4        | 5.7        | 5.2        | 5.6        | 5.6        | 5.9        | 1.7         | 1.8         | 1.9         | 5.4        |             |             |             |            |
| YoY change                          | 39%        | 22%        | 13%        | 4%         | (5%)       | (3%)       | (13%)      | (8%)       | (5%)       | (4%)       | 4%         | 8%         | 12%        | 12%        | 8%         | 3%         | 3%         | 4%         | 4%         | 6%          | 9%          | (1%)        | 4%         |             |             |             |            |
| Middle East                         | 1.8        | 1.8        | 1.8        | 1.6        | 1.7        | 1.7        | 1.6        | 1.6        | 1.7        | 1.7        | 1.9        | 1.8        | 1.9        | 1.8        | 2.1        | 2.0        | 2.0        | 2.1        | 2.3        | 0.7         | 0.7         | 0.3         | 1.6        |             |             |             |            |
| YoY change                          | 57%        | 31%        | 7%         | (8%)       | (6%)       | (10%)      | (13%)      | 2%         | 1%         | 4%         | 20%        | 14%        | 13%        | 5%         | 8%         | 9%         | 3%         | 18%        | 9%         | 12%         | 9%          | (64%)       | (17%)      |             |             |             |            |
| Latin America                       | 1.2        | 1.3        | 1.3        | 1.2        | 1.2        | 1.2        | 1.3        | 1.3        | 1.2        | 0.9        | 1.3        | 1.3        | 1.4        | 1.3        | 1.5        | 1.4        | 1.4        | 1.4        | 1.6        | 0.4         | 0.4         | 0.5         | 1.3        |             |             |             |            |
| YoY change                          | 51%        | 37%        | 13%        | 6%         | 3%         | (1%)       | (0%)       | 4%         | (1%)       | (26%)      | (4%)       | 5%         | 14%        | 46%        | 15%        | 3%         | 6%         | 7%         | 7%         | (3%)        | (16%)       | (2%)        | (6%)       |             |             |             |            |
| Africa                              | 0.4        | 0.4        | 0.5        | 0.4        | 0.5        | 0.4        | 0.5        | 0.5        | 0.5        | 0.4        | 0.5        | 0.5        | 0.5        | 0.4        | 0.5        | 0.5        | 0.5        | 0.4        | 0.6        | 0.2         | 0.1         | 0.2         | 0.5        |             |             |             |            |
| YoY change                          | 28%        | 14%        | 3%         | 7%         | 14%        | (1%)       | 9%         | 8%         | 4%         | (2%)       | (0%)       | 5%         | 3%         | (4%)       | (8%)       | (10%)      | (9%)       | 8%         | 25%        | 6%          | 10%         | 22%         | 12%        |             |             |             |            |
|                                     | Q2<br>2021 | Q3<br>2021 | Q4<br>2021 | Q1<br>2022 | Q2<br>2022 | Q3<br>2022 | Q4<br>2022 | Q1<br>2023 | Q2<br>2023 | Q3<br>2023 | Q4<br>2023 | Q1<br>2024 | Q2<br>2024 | Q3<br>2024 | Q4<br>2024 | Q1<br>2025 | Q2<br>2025 | Q3<br>2025 | Q4<br>2025 | Jan<br>2026 | Feb<br>2026 | Mar<br>2026 | Q1<br>2026 | Apr<br>2026 | May<br>2026 | Jun<br>2026 | Q2<br>2026 |
| <b>Regional rates (\$/kg)</b>       |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |            |             |             |             |            |             |             |             |            |
| Hong Kong to USA                    | 7.0        | 7.7        | 9.8        | 7.6        | 8.3        | 7.1        | 6.3        | 4.7        | 4.8        | 4.7        | 5.7        | 4.7        | 5.3        | 5.6        | 5.8        | 5.0        | 4.9        | 5.0        | 5.7        | 5.2         | 5.0         | 5.2         | 5.1        | 6.7         | 6.8         |             |            |
| YoY change                          |            |            |            | 47%        | 19%        | (7%)       | (36%)      | (38%)      | (43%)      | (34%)      | (8%)       | 0%         | 12%        | 18%        | 1%         | 7%         | (8%)       | (11%)      | (2%)       | (3%)        | 4%          | 3%          | 1%         | 30%         | 43%         |             |            |
| Shanghai to Germany                 | 4.8        | 5.1        | 8.1        | 6.3        | 6.7        | 6.2        | 5.4        | 4.1        | 3.3        | 3.1        | 4.1        | 3.6        | 4.0        | 3.8        | 4.7        | 3.8        | 4.0        | 4.0        | 4.7        | 4.0         | 4.0         | 4.5         | 4.2        | 5.3         | 5.2         |             |            |
| YoY change                          |            |            |            | 39%        | 39%        | 23%        | (33%)      | (35%)      | (50%)      | (49%)      | (25%)      | (12%)      | 21%        | 19%        | 17%        | 5%         | (2%)       | 6%         | (1%)       | 4%          | 13%         | 10%         | 9%         | 32%         | 34%         |             |            |
| Amsterdam to USA                    | 4.0        | 3.7        | 4.5        | 4.1        | 3.5        | 2.8        | 2.9        | 2.9        | 2.4        | 1.7        | 2.0        | 2.0        | 1.9        | 1.7        | 2.4        | 2.2        | 2.0        | 1.9        | 2.6        | 2.7         | 2.9         | 2.8         | 2.8        | 2.6         | 2.5         |             |            |
| YoY change                          |            |            |            | 6%         | (11%)      | (26%)      | (36%)      | (30%)      | (33%)      | (40%)      | (30%)      | (29%)      | (21%)      | 0%         | 17%        | 9%         | 9%         | 16%        | 9%         | 17%         | 34%         | 21%         | 24%        | 12%         | 26%         |             |            |
| Frankfurt to China                  | 1.5        | 1.9        | 2.5        | 2.6        | 3.2        | 2.6        | 2.2        | 2.0        | 1.6        | 1.1        | 1.0        | 1.1        | 1.0        | 1.0        | 0.8        | 0.8        | 0.7        | 0.7        | 0.7        | 0.7         | 0.7         | 0.7         | 0.7        | 0.8         | 0.8         |             |            |
| YoY change                          |            |            |            | 70%        | 110%       | 37%        | (15%)      | (23%)      | (52%)      | (56%)      | (53%)      | (46%)      | (35%)      | (14%)      | (19%)      | (29%)      | (31%)      | (24%)      | (19%)      | (12%)       | (13%)       | (4%)        | (10%)      | 17%         | 22%         |             |            |
| Mumbai to UK                        | 3.0        | 3.1        | 3.3        | 3.3        | 3.1        | 2.7        | 2.2        | 1.8        | 1.5        | 1.5        | 1.6        | 2.8        | 2.8        | 2.7        | 2.6        | 2.4        | 2.4        | 2.3        | 2.2        | 2.1         | 2.1         | 3.4         | 2.6        | 3.7         | 3.6         |             |            |
| YoY change                          |            |            |            | 10%        | 5%         | (11%)      | (33%)      | (45%)      | (51%)      | (44%)      | (28%)      | 57%        | 80%        | 73%        | 59%        | (16%)      | (15%)      | (14%)      | (15%)      | (11%)       | (11%)       | 46%         | 8%         | 56%         | 48%         |             |            |

Source: Airports Council International, TAC Index, Bernstein analysis

FLEET

EXHIBIT 62: Active global widebody planes

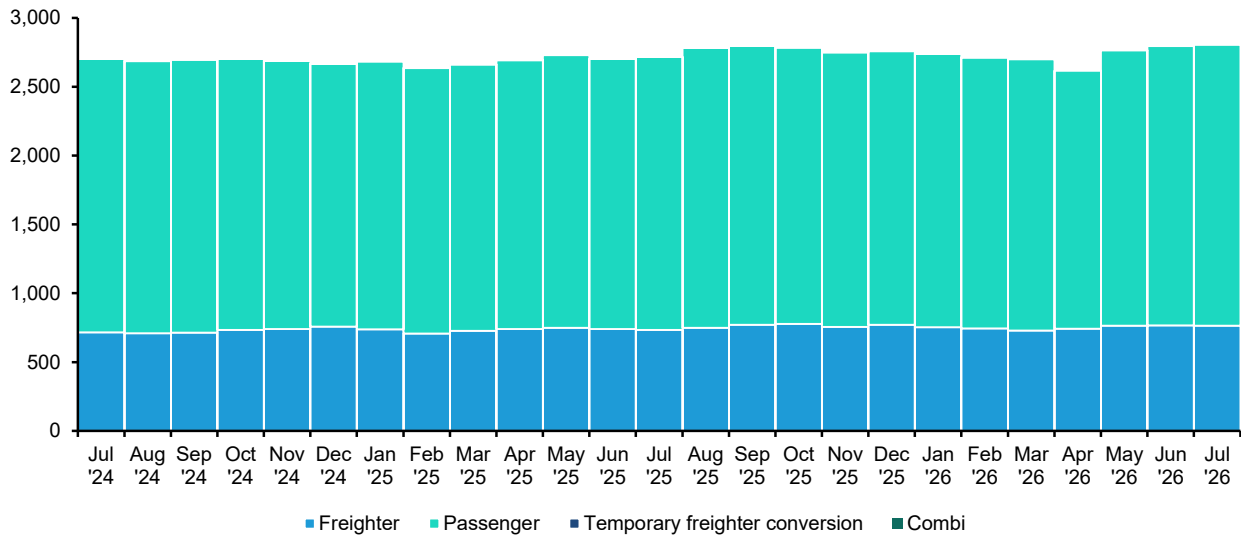
no. of planes



Source: IBA insight, Bernstein analysis

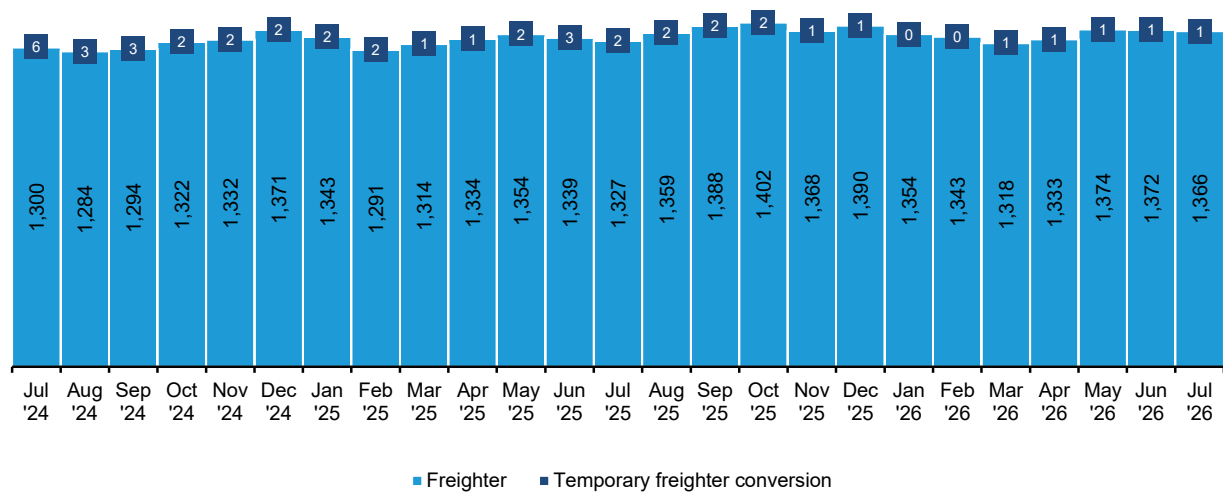
EXHIBIT 63: Active global widebodies maximum takeoff weight

MTOW (m)



Source: IBA insight, Bernstein analysis

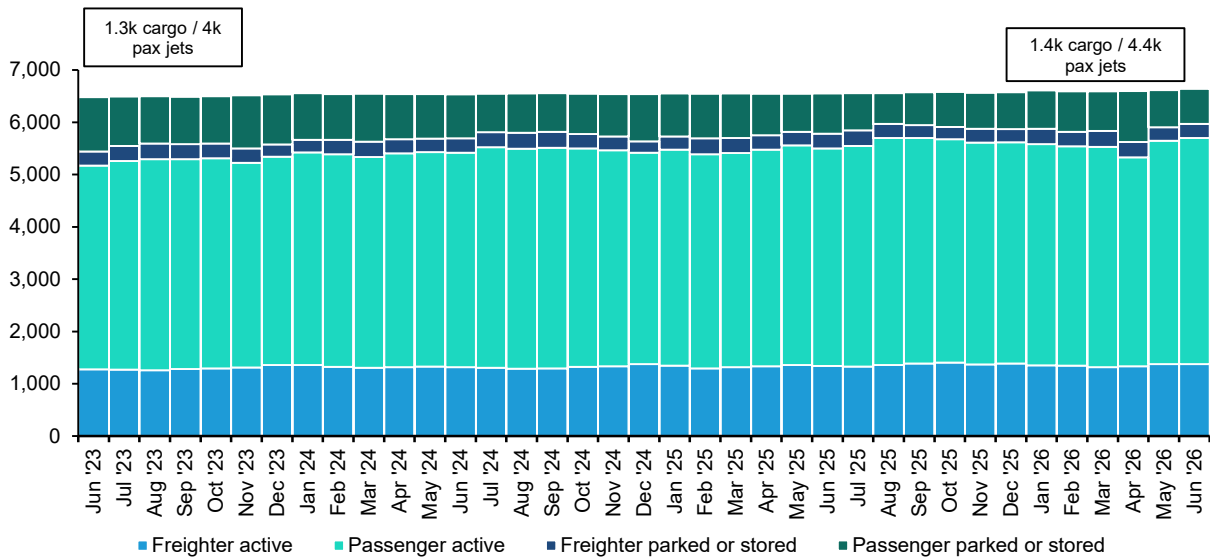
EXHIBIT 64: Global widebody jets in service, primary use as cargo



Source: IBA Insight, Bernstein analysis

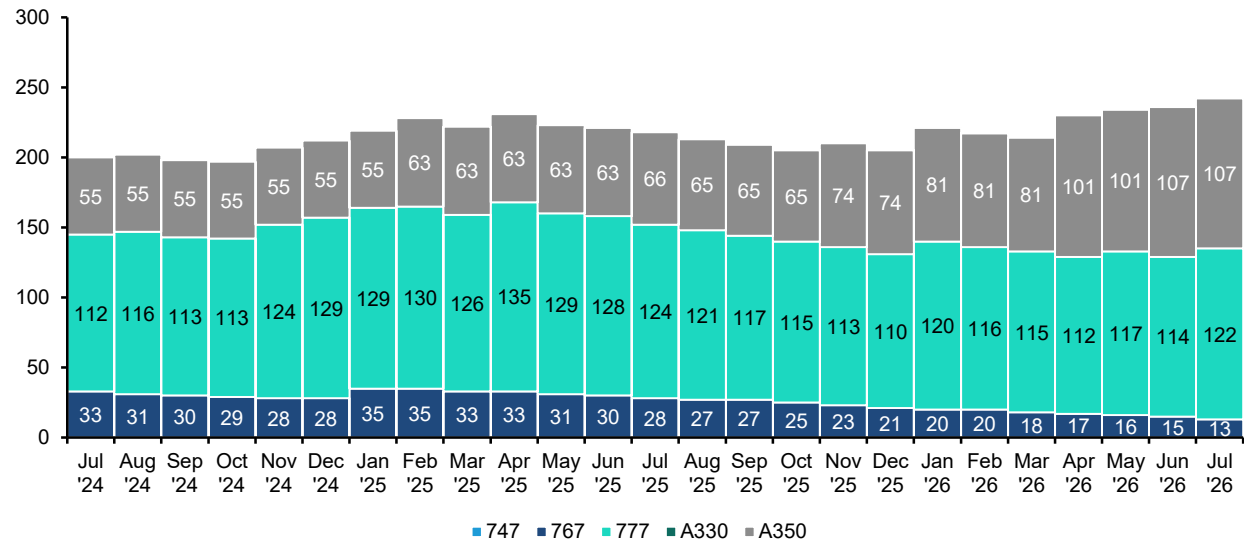
EXHIBIT 65: Widebody jets in service / storage

Widebody jets in service / storage



Source: IBA InsightIQ, Bernstein analysis

EXHIBIT 66: **Freighter orderbook**

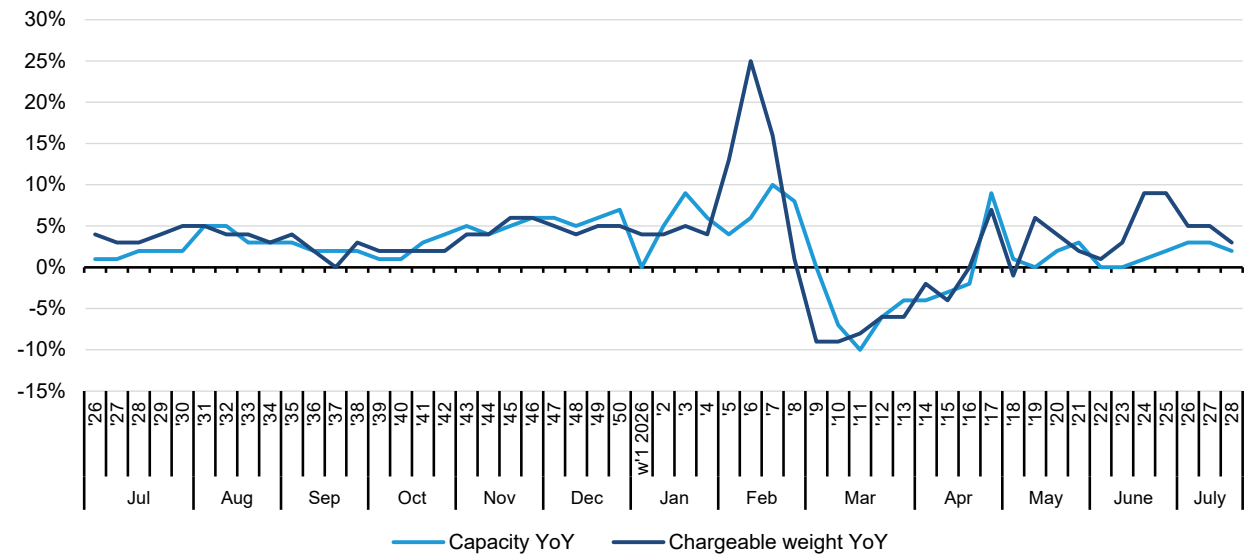


Source: IBA Insight, Bernstein analysis

CAPACITY BALANCE AND LOAD FACTOR

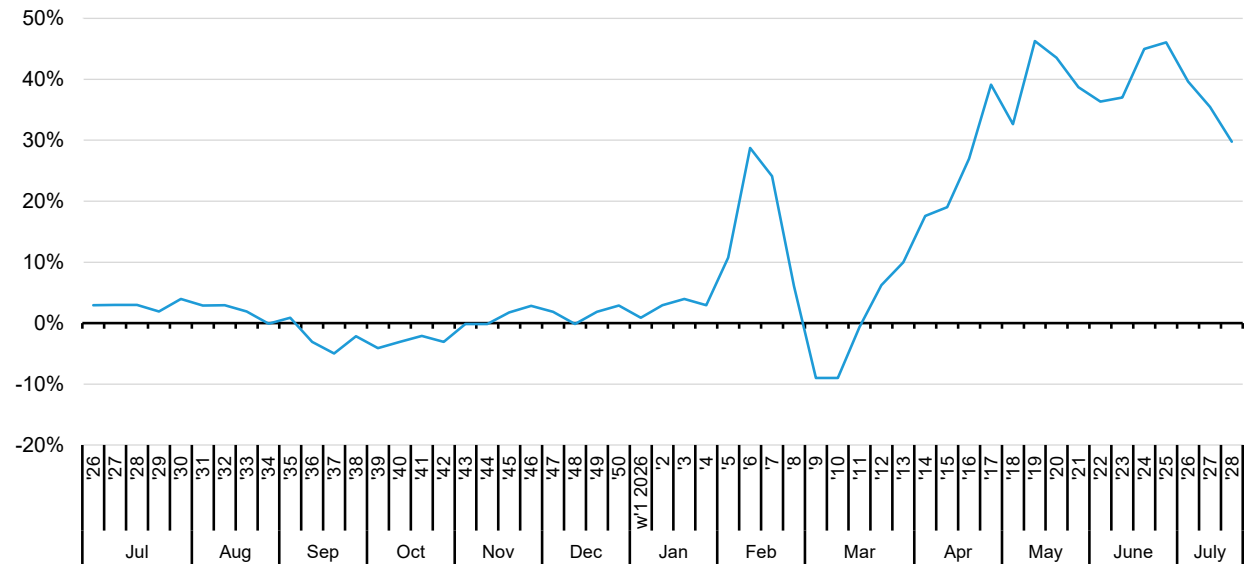
EXHIBIT 67: **Air cargo capacity and chargeable weight YoY**

YoY change



Source: WorldACD, Bernstein analysis

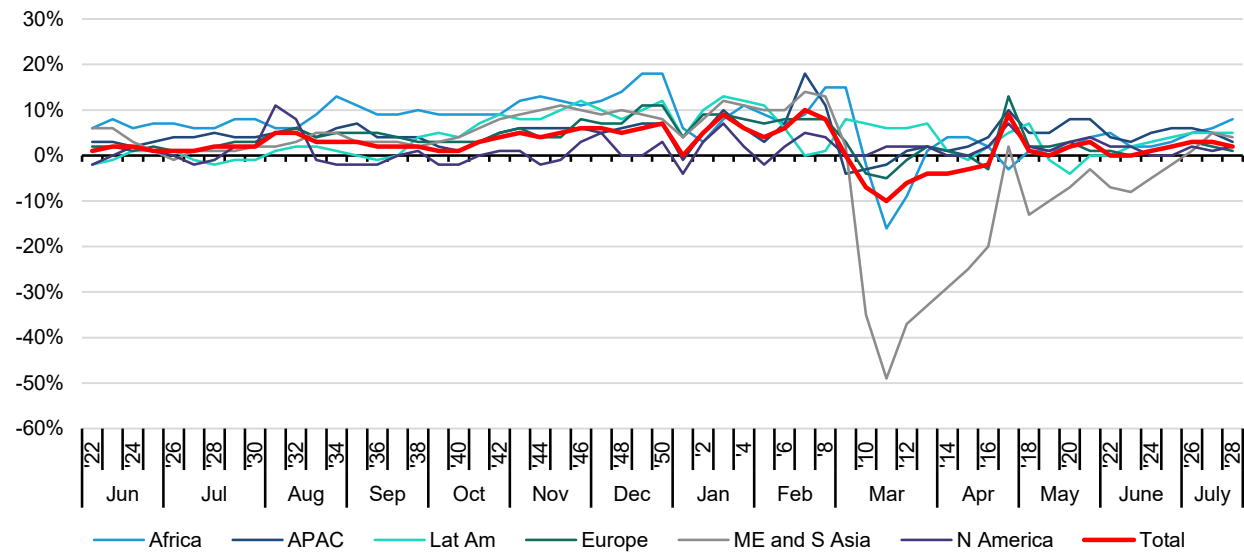
EXHIBIT 68: Total air cargo revenue growth YoY



Source: WorldACD, Bernstein analysis

EXHIBIT 69: Air cargo capacity growth YoY

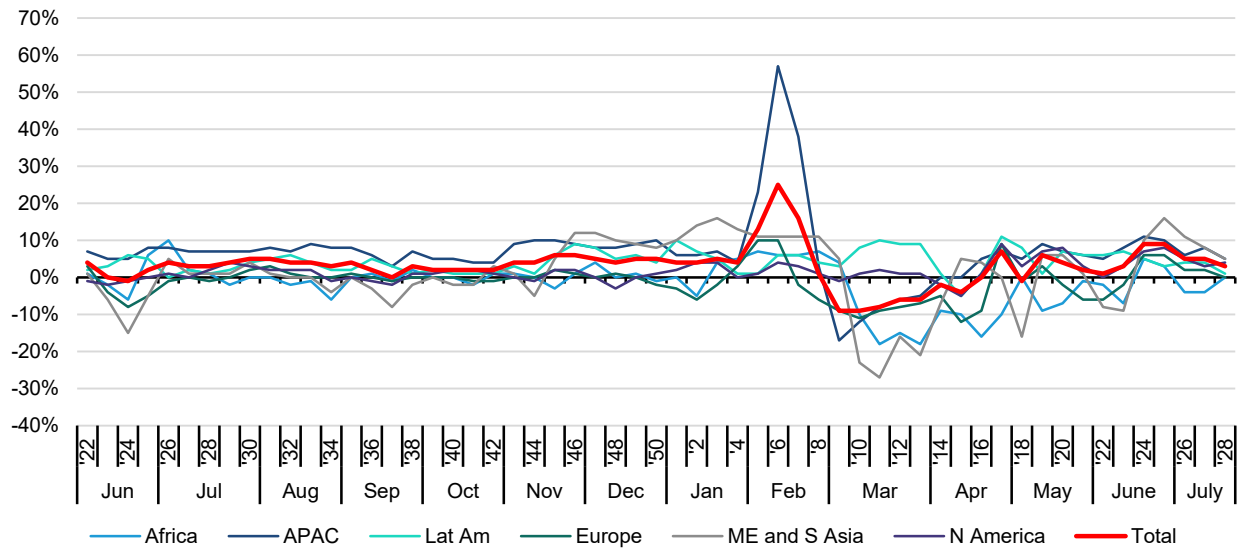
YoY change



Source: WorldACD, Bernstein analysis

EXHIBIT 70: Chargeable weight growth YoY

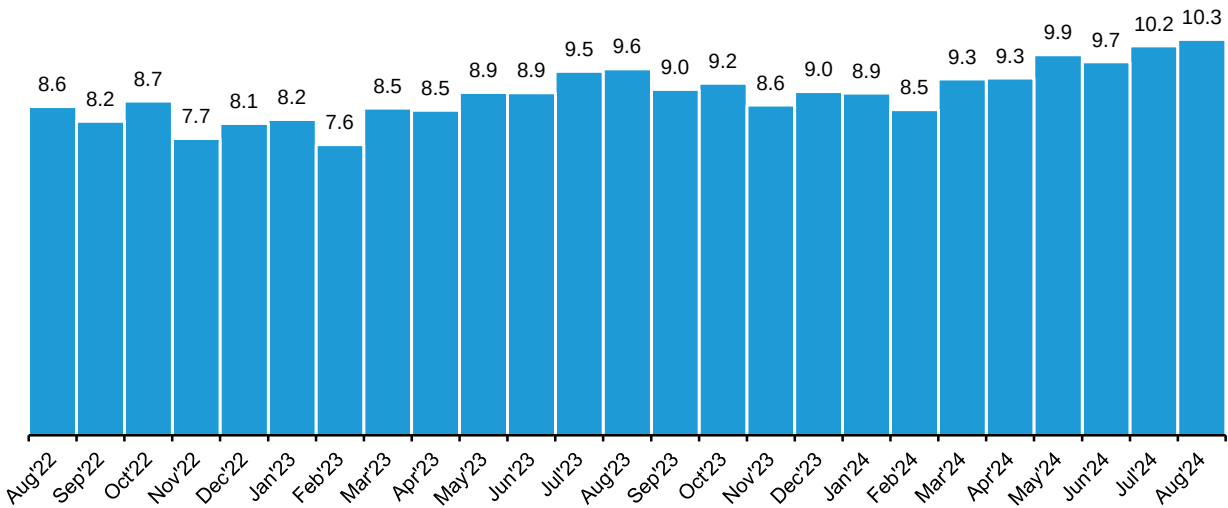
YoY change by origin region



Source: WorldACD, Bernstein analysis

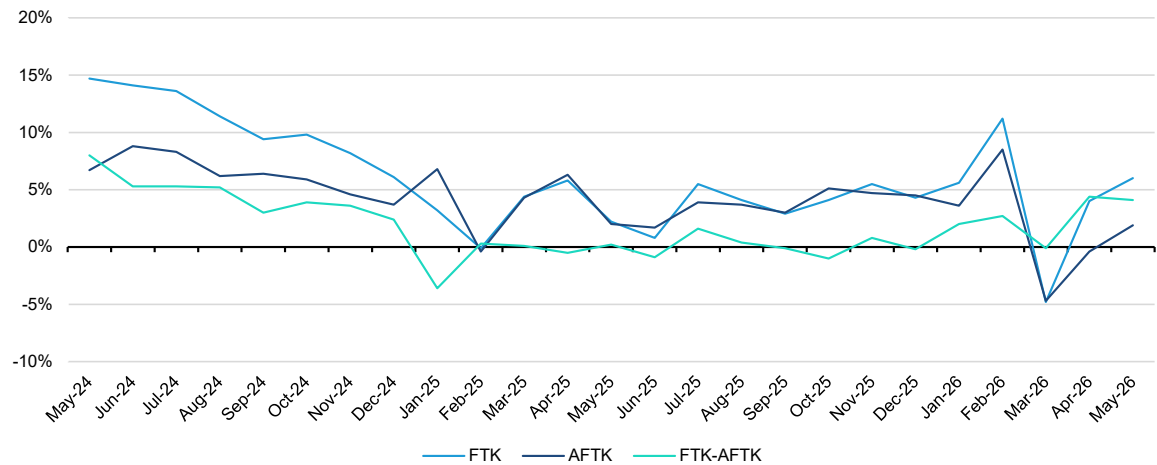
EXHIBIT 71: Global Capacity Development

m tons



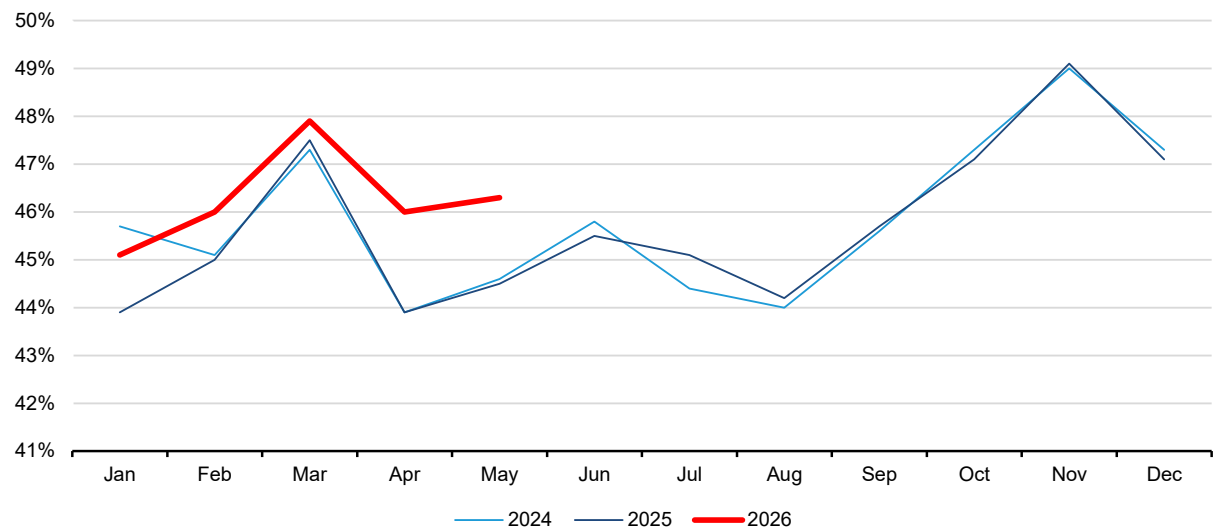
Source: Seabury, Bernstein analysis

EXHIBIT 72: **Total airfreight volumes and capacity (YoY)**



FTK: Freight Ton Km; AFTK: Available Freight Ton Km  
Source: IATA, Bernstein analysis

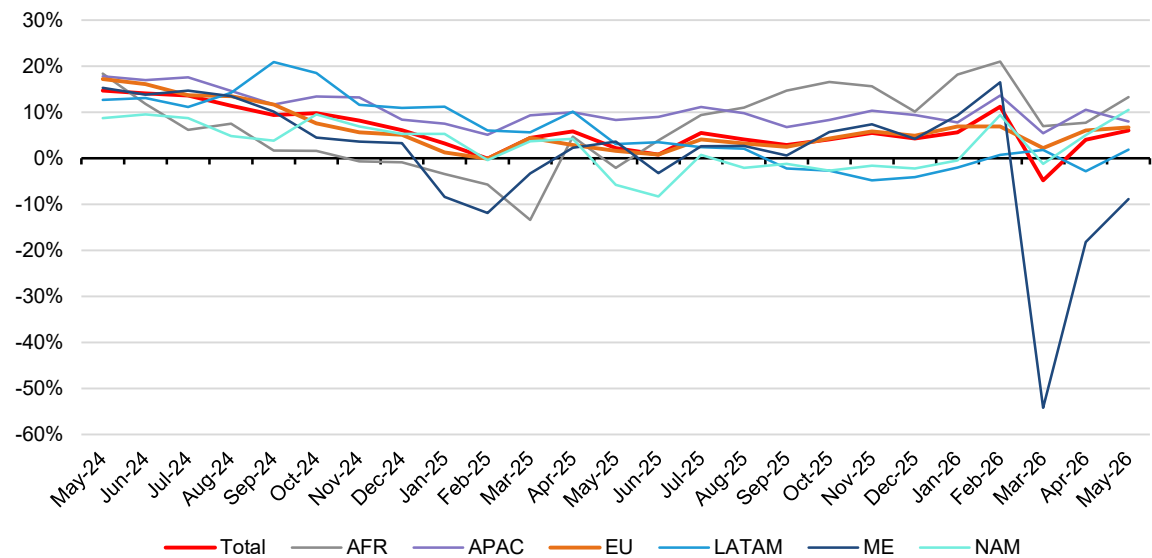
EXHIBIT 73: **Total airfreight load factor**



Source: IATA, Bernstein analysis

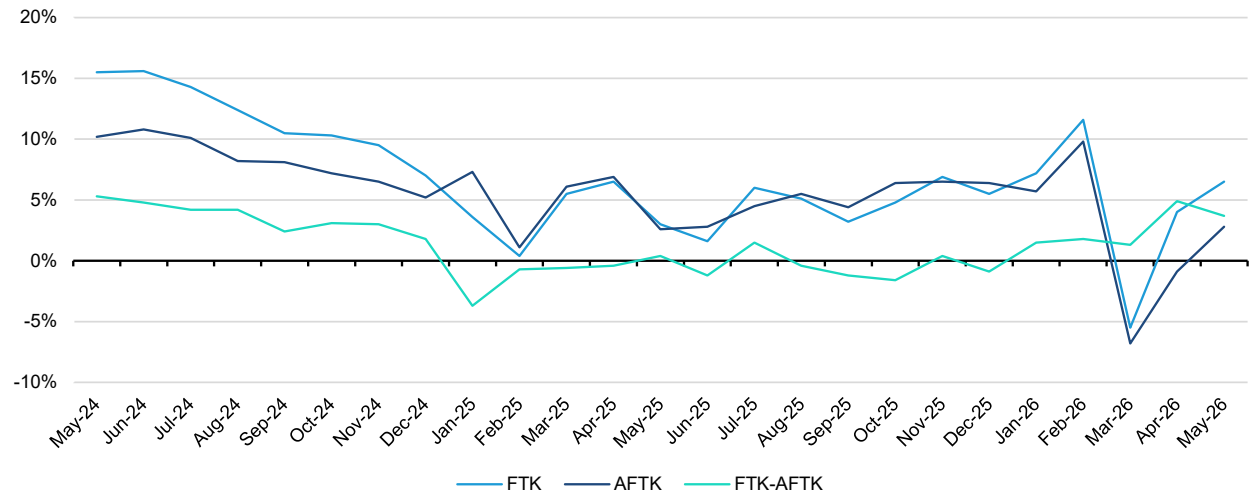
EXHIBIT 74: **Total freight ton kms (YoY)**

Global freight ton kms



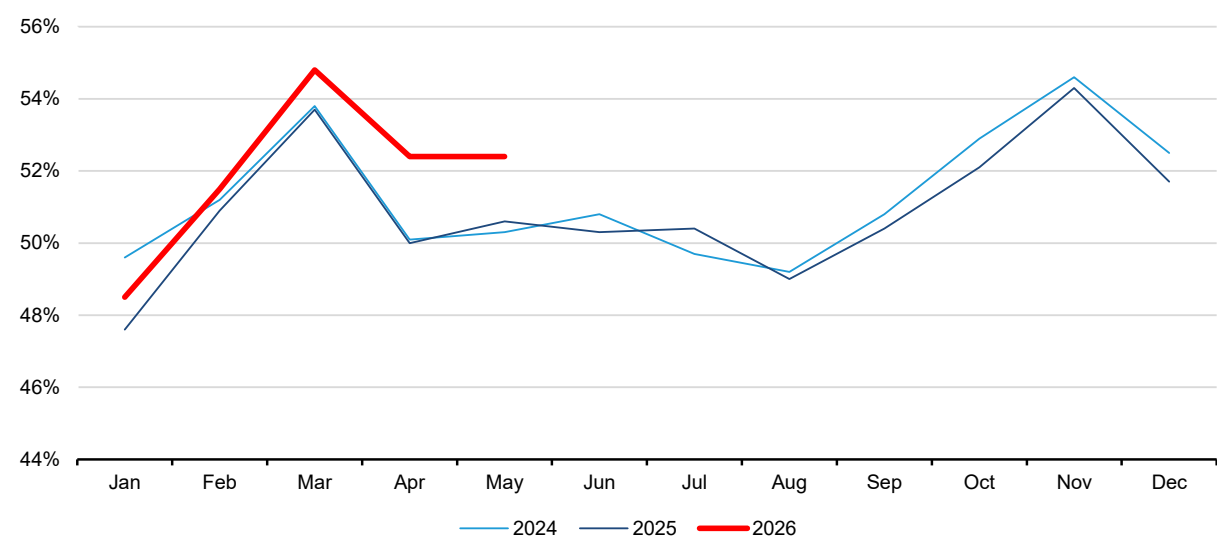
Source: IATA, Bernstein analysis

EXHIBIT 75: **International airfreight volumes and capacity (YoY)**



FTK: Freight Ton Km; AFTK: Available Freight Ton Km  
Source: IATA, Bernstein analysis

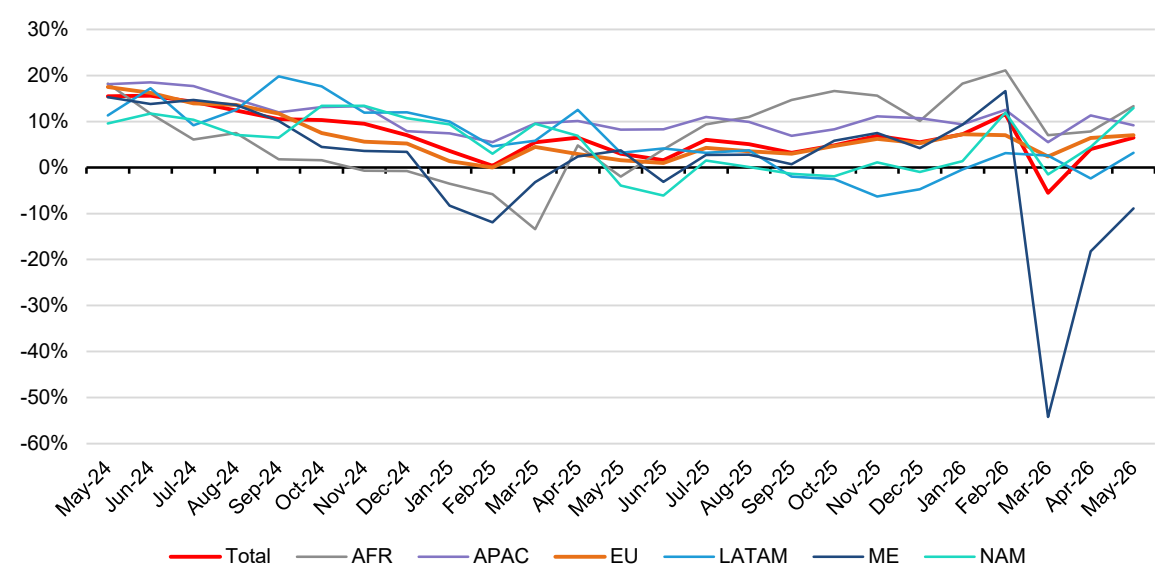
EXHIBIT 76: International airfreight load factor



Source: IATA, Bernstein analysis

EXHIBIT 77: International FTKs (YoY)

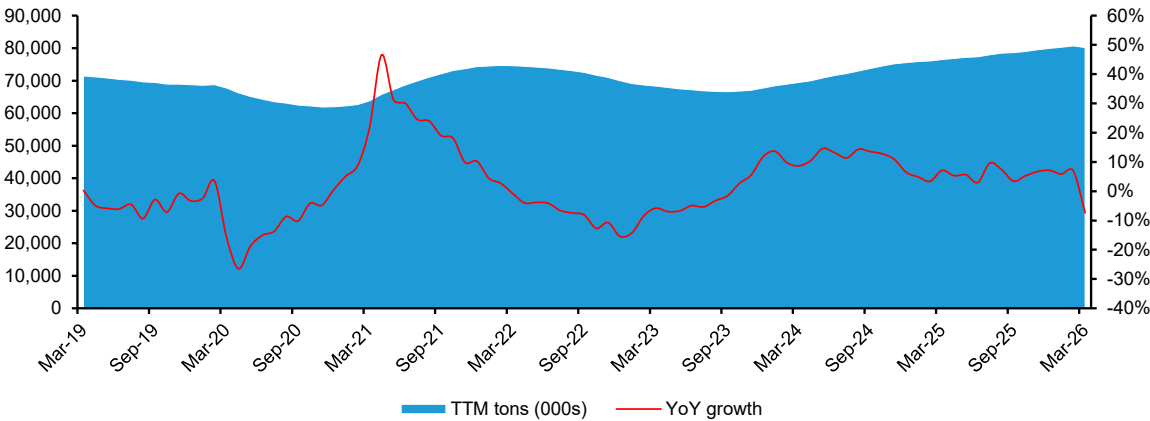
International freight ton kms YoY



Source: IATA, Bernstein analysis

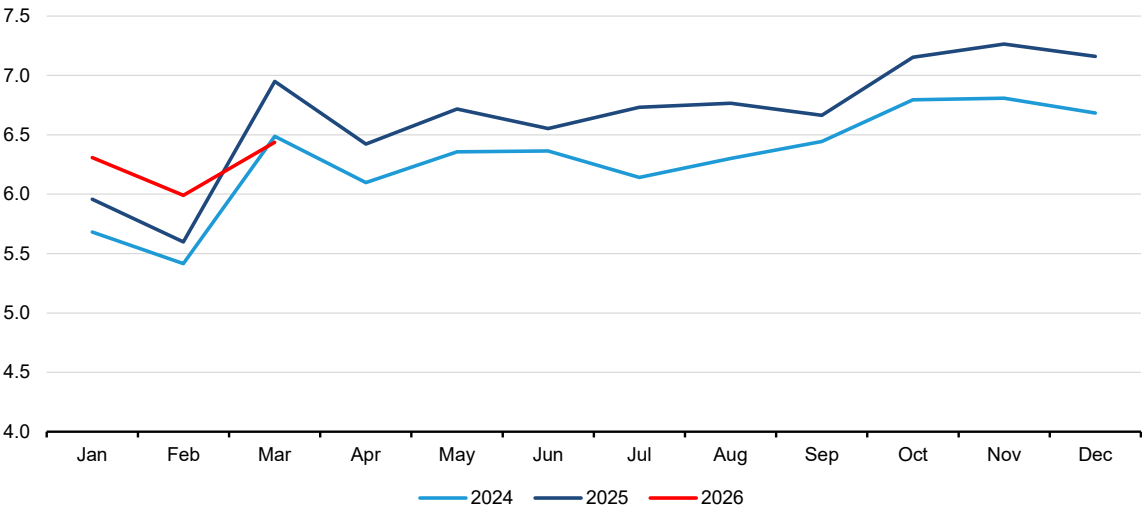
VOLUMES

EXHIBIT 78: International airfreight tons  
m



Source: Airports Council International, Bernstein analysis

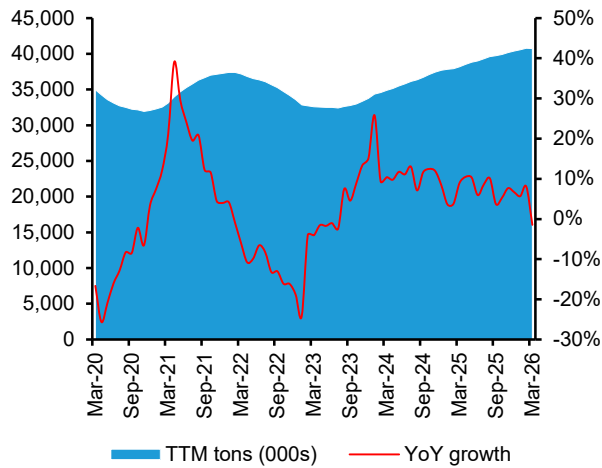
EXHIBIT 79: International airfreight tons  
m



Source: Airports Council International, Bernstein analysis

EXHIBIT 80: Asia-Pacific airfreight

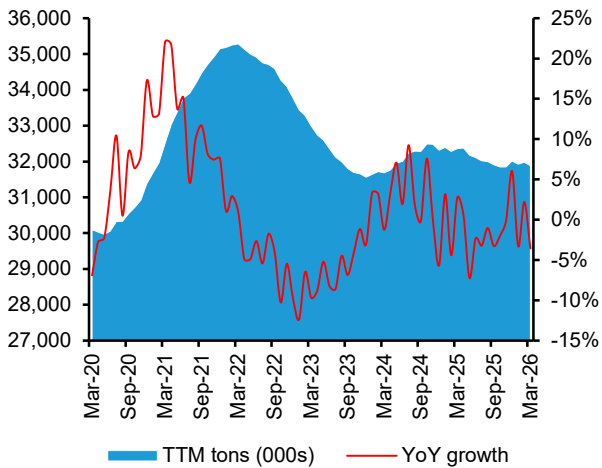
Asia Pacific airfreight tons



Source: Airports Council International, Bernstein analysis

EXHIBIT 81: North America airfreight

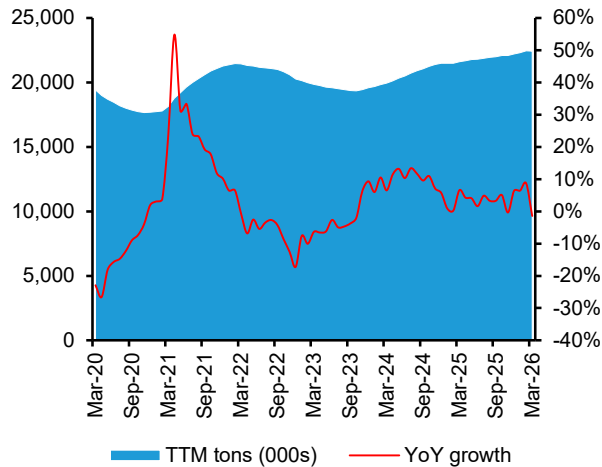
North America airfreight tons



Source: Airports Council International, Bernstein analysis

EXHIBIT 82: Europe airfreight

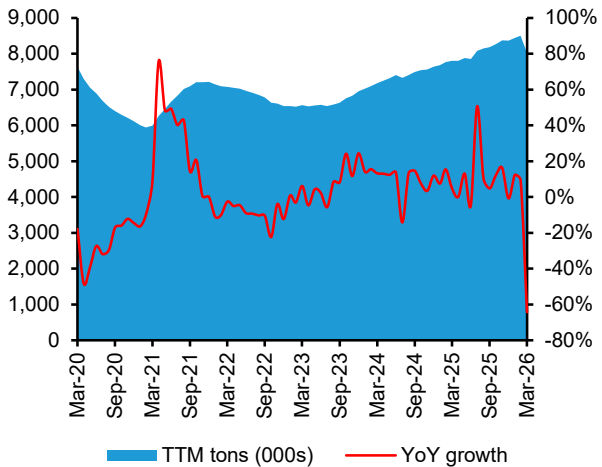
Europe airfreight tons



Source: Airports Council International, Bernstein analysis

EXHIBIT 83: Middle East airfreight

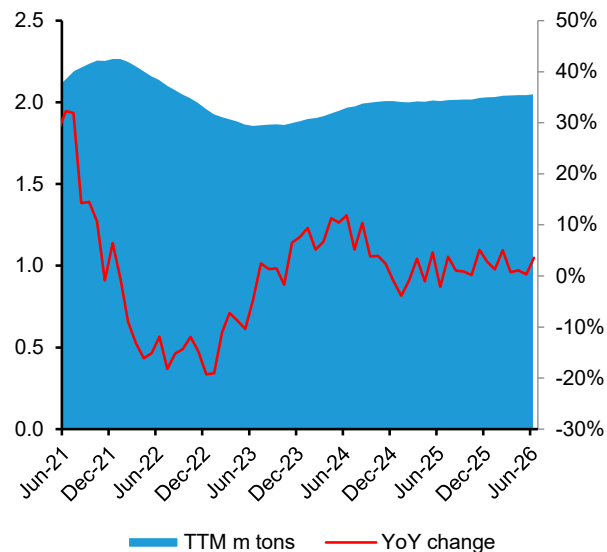
Middle East airfreight tons



Source: Airports Council International, Bernstein analysis

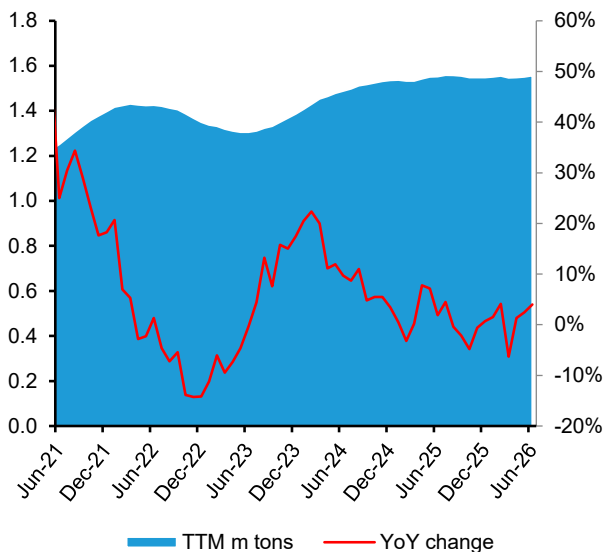
## AIRPORT GATEWAYS

EXHIBIT 84: **Frankfurt**



Source: Fraport, Bernstein analysis

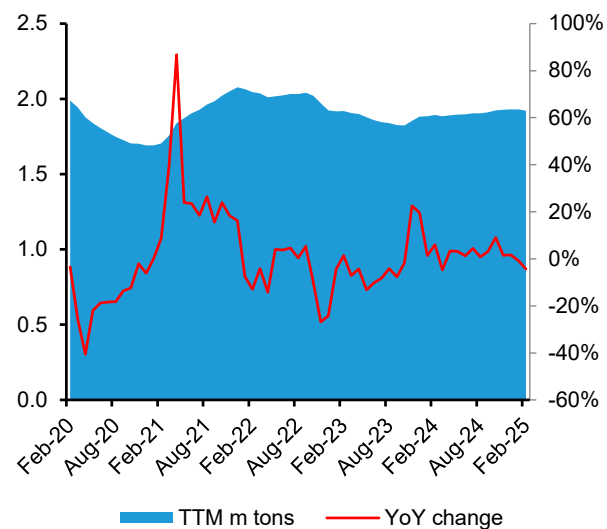
EXHIBIT 85: **Heathrow**



Source: Heathrow, Bernstein analysis

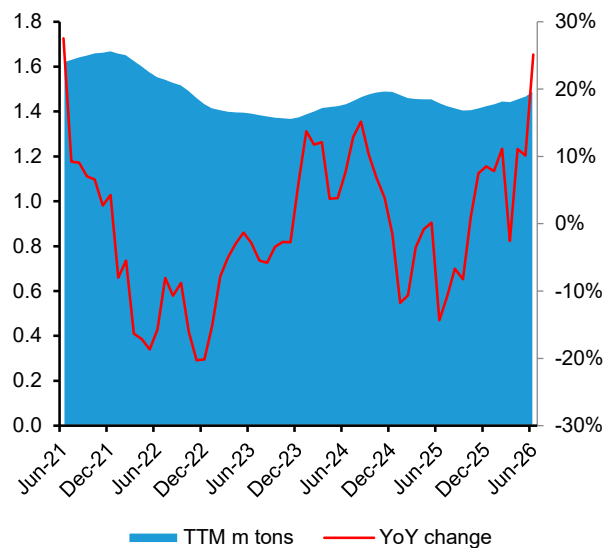
EXHIBIT 86: **Paris**

Paris cargo volumes



Source: Paris Airport, Bernstein analysis

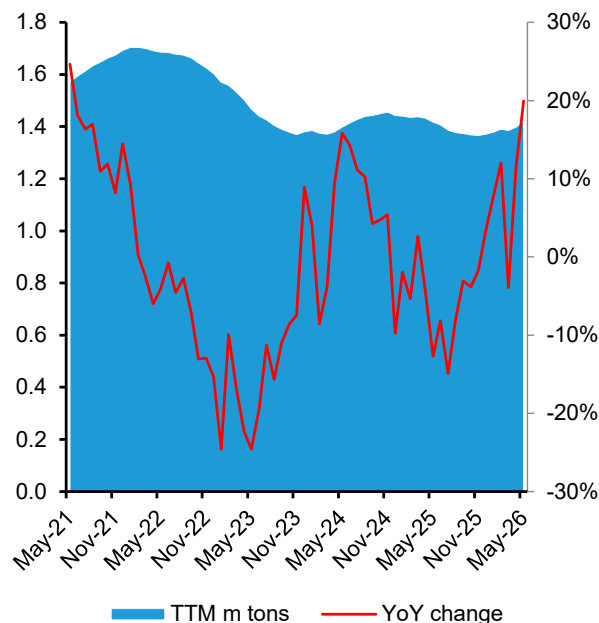
EXHIBIT 87: **Amsterdam Schipol**



Source: Amsterdam Schipol, Bernstein analysis

## EXHIBIT 88: Los Angeles

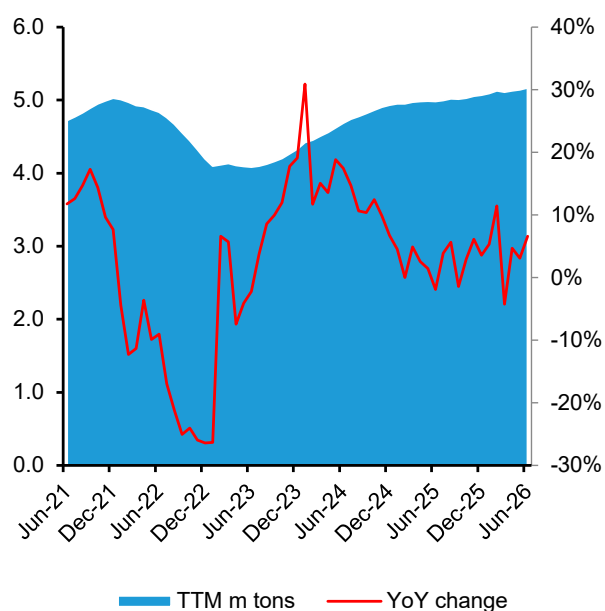
LAX international cargo volumes



Source: Los Angeles World Airport, Bernstein analysis

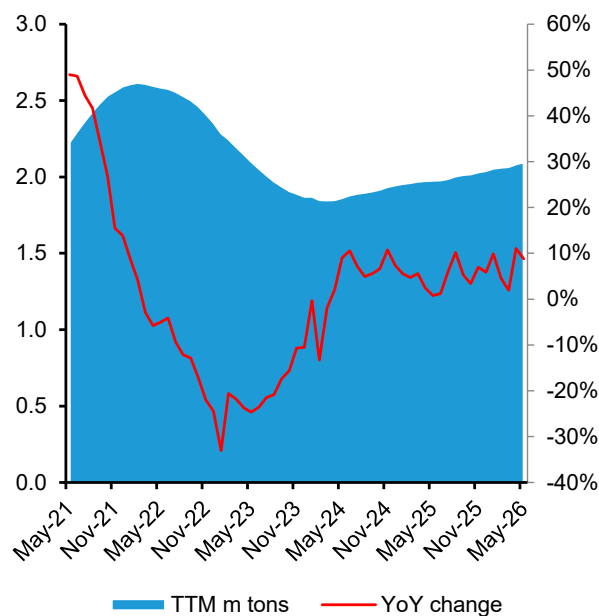
## EXHIBIT 89: Hong Kong

Hong Kong cargo volumes



Source: Airport Authority Hong Kong, Bernstein analysis

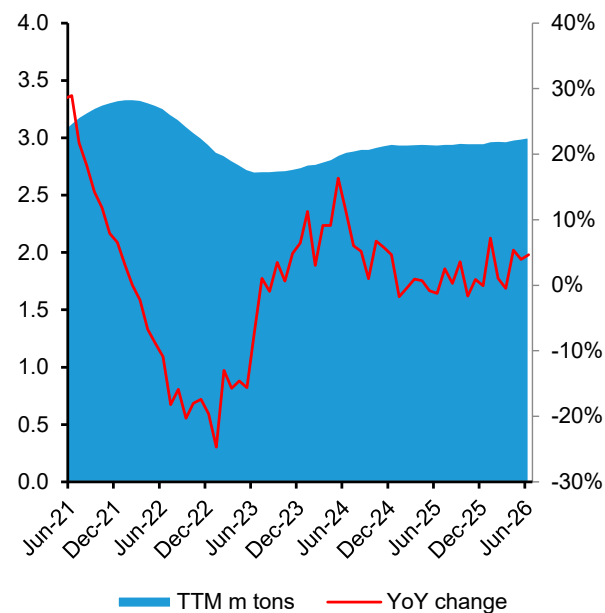
## EXHIBIT 90: Narita cargo volumes



Source: New Tokyo Airport, Bernstein analysis

## EXHIBIT 91: Seoul Incheon

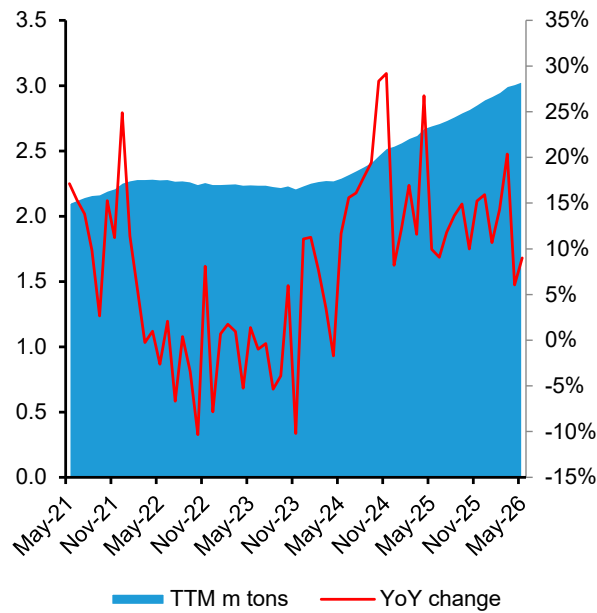
Korea cargo volumes



Source: Incheon International Airport, Bernstein analysis

EXHIBIT 92: **Miami-Dade**

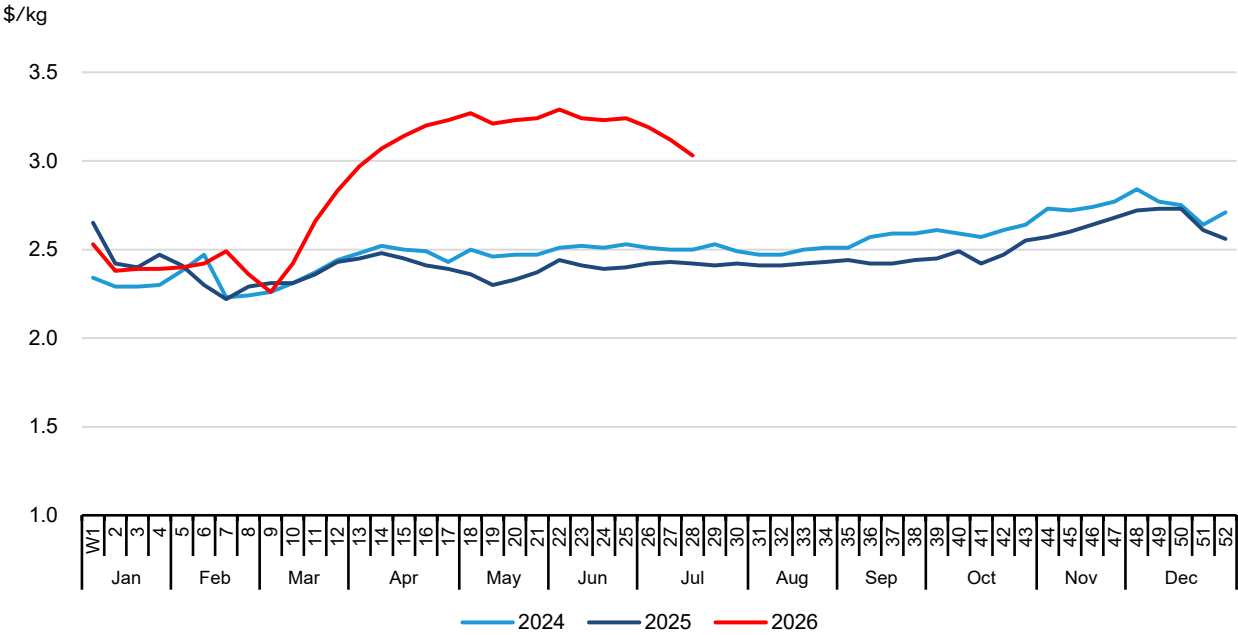
Miami international cargo volumes



Source: Miami-Dade Aviation Department, Bernstein analysis

RATES

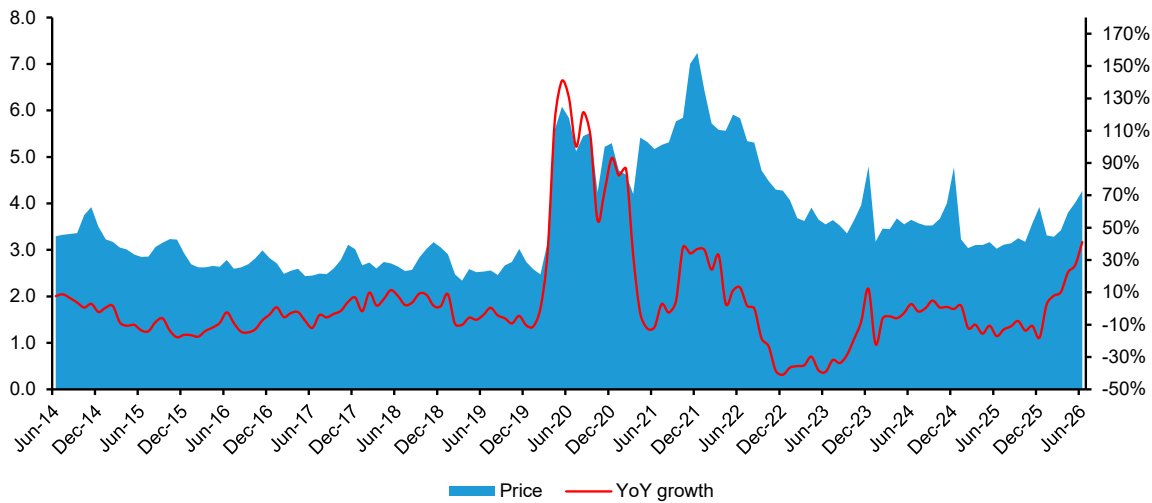
EXHIBIT 93: **Aggregate airfreight rate**



Source: WorldACD, Bernstein analysis

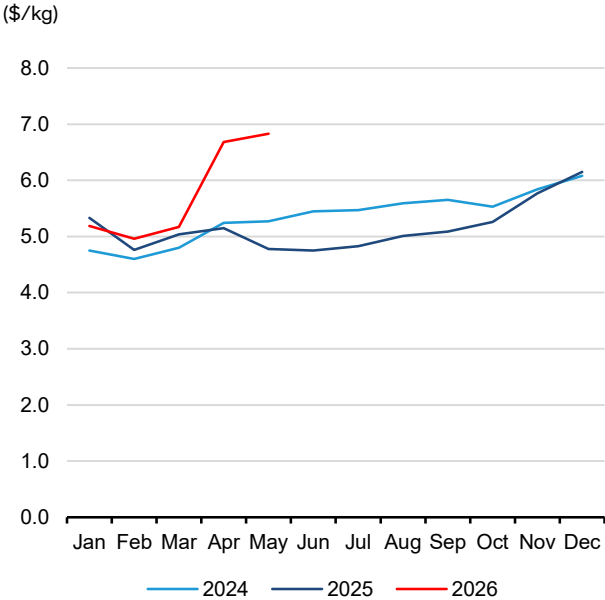
EXHIBIT 94: **Global composite airfreight rate**

Global composite airfreight rate (\$/kg)



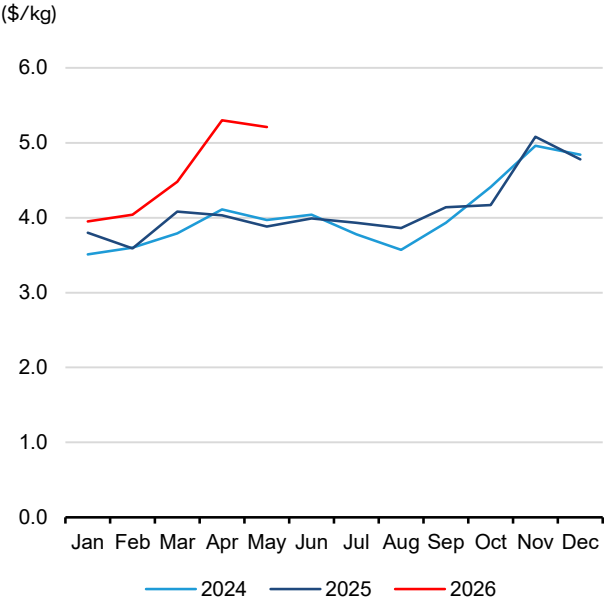
Source: TAC Index, Bernstein analysis

EXHIBIT 95: **Hongkong to USA yields**



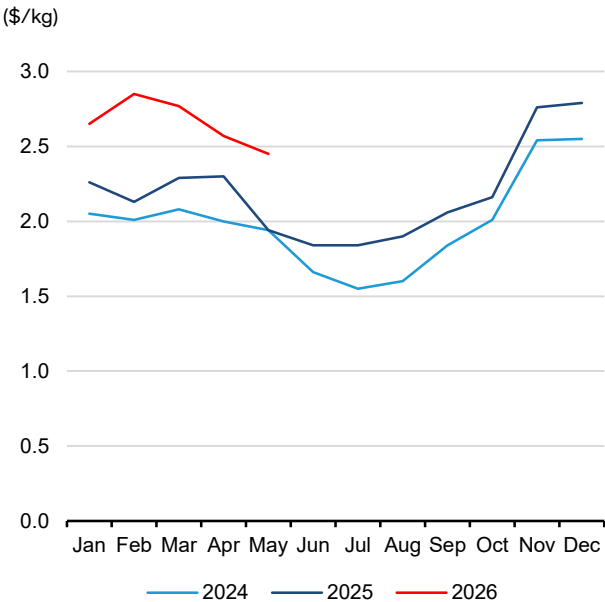
Source: World ACD, Bernstein analysis

EXHIBIT 96: **Shanghai to Germany yields**



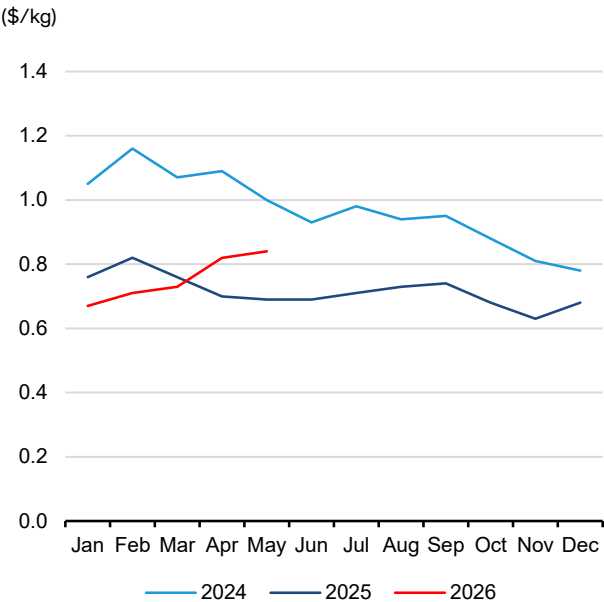
Source: World ACD, Bernstein analysis

EXHIBIT 97: **Amsterdam to USA yields**



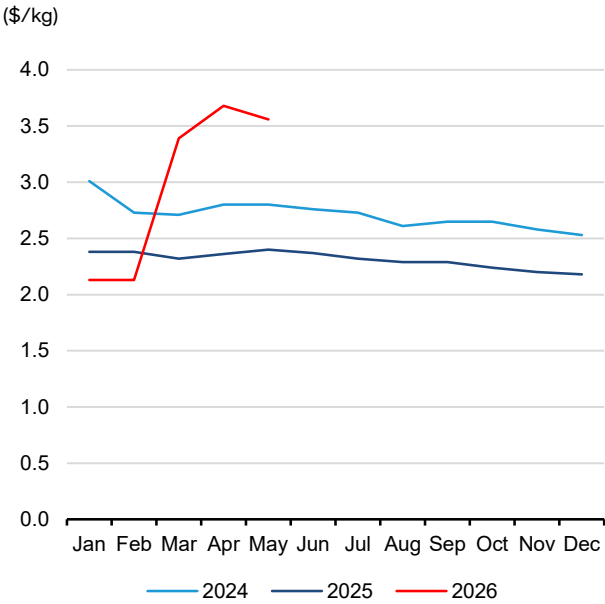
Source: World ACD, Bernstein analysis

EXHIBIT 98: **Frankfurt to China yields**



Source: World ACD, Bernstein analysis

EXHIBIT 99: **Mumbai to UK yields**

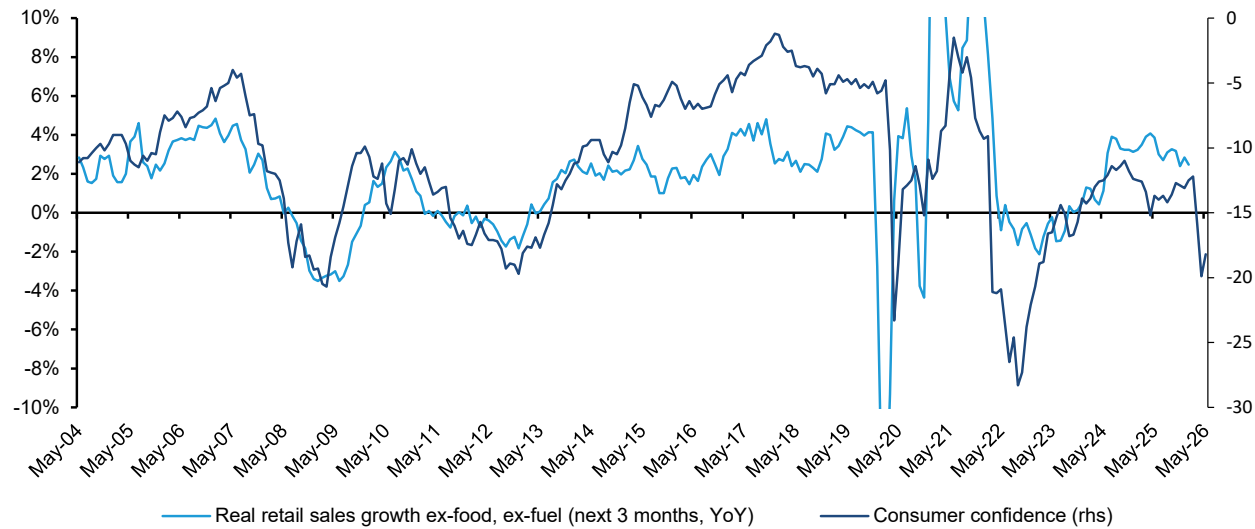


Source: World ACD, Bernstein analysis

PARCEL

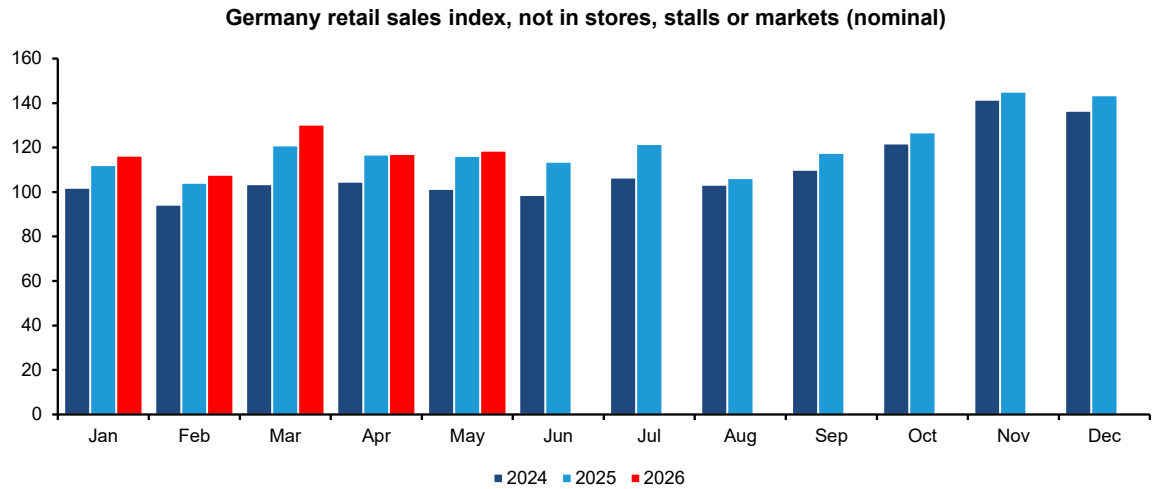
GERMANY

EXHIBIT 100: EU consumer confidence and real retail sales growth



Source: Eurostat, Bernstein analysis

EXHIBIT 101: Germany retail sales index, not in stores, stalls or markets



Source: Federal Statistical Office of Germany, Bloomberg, Bernstein analysis

## DISCLOSURE APPENDIX

**I. REQUIRED DISCLOSURES**

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

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Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

**RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION****EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

**Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
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Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

### **Autonomous brand – preferred stocks**

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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